Solicitation Requirements
Request for Proposal (RFP) Part 1 of 2

Solicitation No.: **BPM003908**

Description: **UI Benefits Modernization**

DEPARTMENT OF ECONOMIC SECURITY
Your Partner For A Stronger Arizona

DESCRIPTION: In accordance with A.R.S. §41-2534, the Arizona Department of Economic Security (ADES) is requesting sealed proposals from responsible vendors for **Unemployment Insurance (UI) Benefits Modernization.**

SOLICITATION NUMBER	BPM003908
SOLICITATION DUE DATE/TIME:	January 10, 2022 at 3:00 P.M. local AZ time
SUBMITTAL LOCATION	Submit via Arizona Procurement Portal (https://app.az.gov) Note: Questions on how to submit the bid shall be directed to the Arizona Procurement Portal Help Desk at app@azdoa.gov or (602) 542-7600
PRE-OFFER CONFERENCE:	November 17, 2021 at 10:00 A.M. local AZ time via Google Hangouts Meet You are encouraged to RSVP to Jennifer Muñoz at JenniferMunoz@azdes.gov to receive a calendar invite. Include the attendee's name(s), organization, email(s) and phone number(s) for those that will be in attendance. Google hangouts meet link: https://meet.google.com/wgv-dqge-dqm (US) +1 224-592-5621 PIN: 214 408 181#
CONTACT PERSON:	Jennifer Muñoz, Senior Procurement Officer Tel. 480-815-0916 Email: JenniferMunoz@azdes.gov

Prospective Offerors are strongly encouraged to read the RFP in its entirety before submitting Offers, to ensure that all requirements in the RFP are understood.

- **RFP Solicitation Requirements** is comprised of the Notice Page, Scope of Work, Special Terms and Conditions, Uniform Terms and Conditions, and Exhibits.
- **RFP Solicitation Instructions** contains the Special Instructions to Offerors, Uniform Instructions to Offerors, and Submittal Documents that should be submitted as the Offeror's response.

Sealed offers in response to this solicitation shall be submitted within the State's e-Procurement System, Arizona Procurement Portal (https://app.az.gov) by the due date and time indicated in the State's e-Procurement System as the Bid Due Date. Late submittals will not be considered. Offers received by the due date and time will be electronically opened. Offers submitted outside the State's e-Procurement System, or those that are received after the due date and time, shall be rejected. Additional instructions for preparing an Offer are included in this solicitation.

Offerors shall download and save attachments to their computer, save the information entered, and submit (upload) the completed information as a new, appropriately renamed Attachment in the State's e-Procurement System. The State's e-Procurement System will not save information entered directly on the attachments.

It is Offeror's responsibility to routinely check the State's e-Procurement System for Solicitation Amendments.

Inquiries regarding the solicitation are required to be submitted online through the State's e-Procurement System using the Discussion Forum tab, seven (7) calendar days prior to the Bid Due Date.

For submittal of an exception or to request a substitution to the solicitation, see Uniform Instructions to Offerors, section 2.4, Timeliness**.**

With seventy-two (72) hours prior notice, persons with disabilities may request special accommodations such as interpreters, alternative formats, or assistance with physical accessibility. Such requests are to be addressed to the Solicitation contact person named above

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Scope of Work	
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Scope of Work

1. ADES Mission and Vision Statements

1.1 ADES Mission: The Arizona Department of Economic Security makes Arizona stronger by helping Arizonans reach their potential through temporary assistance for those in need, and care for the vulnerable.

1.2 ADES Vision: All Arizonans who qualify receive timely ADES services and achieve their potential.

1.3 DERS Mission/Vision: The Division of Employment and Rehabilitation Services (DERS) administers a comprehensive range of employment programs, services, and supports to Arizonans and their families that includes employment, education, and training services to individuals receiving Temporary Assistance for Needy Families (TANF) Cash Assistance and Supplemental Nutrition Assistance, child care assistance for eligible recipients, assistance to individuals with disabilities in achieving and/or maintaining employment, independent living services and supports to individuals with significant disabilities, Workforce Innovation and Opportunity Act (WIOA) programs for adults, dislocated workers, and economically disadvantaged youth administered through Local Workforce Development Areas (LWDAs), Unemployment Insurance benefits to eligible individuals and collection of payroll taxes from employers to fund the payment of those benefits, and Division of Employment and Rehabilitation Services Operations provides administrative oversight and operating support for all Division programs.

1.4 Unemployment Insurance Administration (UIA) Mission: UIA provides Unemployment Insurance benefits to eligible individuals based on their past earnings and collects payroll taxes from subject employers to fund the payment of those benefits.

2. Purpose

2.1 Purpose Statement: The purpose of the Unemployment Insurance (UI) Benefits Modernization effort is to enable DERS to improve service to claimants and streamline operations by implementing a modernized Solution that allows ADES to retire the existing network of Systems that support UI Benefits.

2.2 Legal Authority: A.R.S. § 41-1954 Section (A)(6) provides the ADES the authority to contract and incur obligations within the general scope of its activities and operations.

2.3 Projected Awards: It is the intent of ADES to award a single contract for the UI Benefits Modernization project.

2.4 Funding: Funding from the Families First Coronavirus Response Act, the American Rescue Plan Act of 2021, and UI Administration funding is anticipated.

3. Service Description

3.1 Actual Service Description: It is the intent of ADES to replace its legacy Systems across UI Benefits, UI Tax, and Workforce areas in a cloud hosted environment. At present, UI Benefits modernization is the first priority, and modernization for the other areas is expected to follow. As these projects continue to develop, coordination between multiple Contractors and multiple systems may be necessary.

3.2 Background:

3.2.1 Background and Context for Unemployment Insurance Benefits Technology Modernization Effort: In Arizona, the two (2) main systems used for the Unemployment Insurance (UI) program (GUIDE and TEAM) are based on COBOL programmed mainframe systems that are more than thirty (30) years old. Partnered with these two (2) main systems are twenty-nine (29) other ancillary systems and components used to process payments, take internet-based claims, support employer tax collections, and provide reporting capabilities. The data and information related to each claimant transaction is comprehensive and must be maintained to ensure future eligibility. COBOL

programming language has long been considered a "legacy language," that is no longer considered viable or practical to maintain or support for systems post 2000.

3.2.2 DERS UI's current legacy systems can be described as patchwork and were purely developed to keep the System operational, as there was a lack of funding to replace this aged technology. Engineers are able to manage through issues as they arise, but a legacy language System provides little ability to make substantial foundational improvements. This strategy creates an ongoing cycle of limited solutions with no real improvement in outcome.

3.2.3 During the 2008/2009 recession and the 2020 pandemic, there were several types of transactions and federal programs that required additional programming, including Extended Benefits (EB), Emergency Unemployment Compensation (EUC) Tiers 1-4, Federal Additional Compensation (FAC), Pandemic Emergency Unemployment Compensation (PEUC) and Pandemic Unemployment Assistance (PUA). Although these programs have ended, they are likely to return in some form during the next downturn in the economy. These programs have different rules, guidelines, and payment types to which DERS must adhere. Benefits charged to employers, rate calculations, overpayment, tax withholding, child support withholding, and many other intrinsic details are also ways in which these programs vary. The complexity and volume of adding code to support these detailed functions is very challenging in the current System environment and historically has been a major contributor to very significant disruptions in services to claimants and employers.

3.2.4 In preparation for this modernization effort, the ADES has been actively working with state partners, federal partners and other states to find opportunities and best practices to support its current System. Most recently, DERS has been engaged with the Information Technology Service Center (ITSC), an agency that Department of Labor (DOL) partners with on UI and Workforce modernization efforts to assist the Division. DERS has participated in meetings with ITSC representatives to obtain feedback on strategies regarding potential solutions to replace UI Systems.

3.2.5 Capacity and Volumes: The expected transaction volume for the UI Benefits Modernization Solution is shown in the table below. Volume can increase significantly at various times so the Solution must be able to scale horizontally and vertically to support the maximum scalability shown below.

3.2.5.1 UI Benefits Capacity and Volume

Metrics	Maximum Scalability	Current Volume
Number of Claimants	500,000	~30,000
Number of Internal users	2,000	850
Number of General Benefit Calls Per Year	15,400,000	500,000
Percent of Applications Received in Digital Channel	95%	95%
Number of Status Inquiry Calls Per Year	15,400,000	500,000

4. Acronyms and Definitions

4.1 API: Application Programming Interface.

4.2 Application Lifecycle Management (ALM): The toolset that supports the design, development, testing, deployment, and management phases of a software development project. ALM tools should enable documentation and traceability throughout the development lifecycle.

4.3 Benefit Accuracy Measurement (BAM): The BAM program is designed to determine the accuracy of paid and denied claims in three (3) major UI programs. It does this by reconstructing the UI claims process for samples of weekly payments and denied claims using data verified by trained investigators.

4.4 Benefit Timeliness and Quality (BTQ): The BTQ measures which programs have been implemented, timeliness and quality of a States' performance, various administrative actions and administrative decisions concerning UI benefit operations.

4.5 CCB: Change Control Board.

4.6 Claimant: An individual registering or filing for Unemployment Insurance benefits.

4.7 COBOL: Common Business Oriented Language.

4.8 Combined Wage Claim (CWC): A type of claim that is established when base period wages from more than one state are used. Wages may be transferred in from other states or transferred out to other states.

4.9 Disaster Unemployment Assistance (DUA): A special form of unemployment compensation payable to unemployed workers and self-employed individuals when they lose their jobs as a direct result of a major disaster and do not qualify for regular UI Benefits in AZ or any other state.

4.10 EB: Extended Benefits.

4.11 EUC: Emergency Unemployment Compensation.

4.12 US DOL: United States Department of Labor.

4.13 FAC: Federal Additional Compensation.

4.14 FTI: Federal Tax Information.

4.15 GUIDE: General Unemployment Insurance Development Effort (UI claims application).

4.16 ICON: Interstate Connection.

4.17 Independent Verification and Validation (IV&V) Contractor: The person or entity with whom the ADES contracts for UI Modernization-related IV&V services.

4.18 IRS: Internal Revenue Service.

4.19 JAD: Joint Application Design.

4.20 JTD: Joint Technical Design.

4.21 LWA: Local Workforce Area.

4.22 NASWA ITSC: National Association of State Workforce Agencies Information Technology Support Center: An organization that partners with US DOL.

4.23 OCM: Organizational Change Management.

4.24 PII: Personally Identifiable Information.

4.25 PMBOK: Project Management Body of Knowledge.

4.26 Prime Contractor: a corporation, partnership, business association of any kind, or individual that has entered into a prime contract with ADES.

4.27 PUA: Pandemic Unemployment Assistance.

4.28 Reemployment Services and Eligibility Assessments (RESEA): A grant program for states to assist individuals receiving UI benefits. The funds are used to connect participants with in-person assessments and reemployment services through Job Centers.

4.29 RTM: Requirements Traceability Matrix.

4.30 Shared Work Program: An alternative for employers faced with a reduction in force, which allows businesses to divide available work or hours among affected employees in lieu of layoffs and allows employees to receive a portion of UI benefits while working reduced hours.

4.31 SME: Subject Matter Expert.

4.32 Solution or UI Modernization Solution or UI Benefits Solution: The overall systems being provided to fulfill the functional and non-functional requirements that will support the Unemployment Insurance Benefits program.

4.33 Source Code Management (SCM): The tool used to store and manage multiple versions of computer programs and files.

4.34 System: A component of the Solution that performs a specific function.

4.35 System Development Life Cycle (SDLC): A structured and standardized process for all phases of any system development effort. These phases track the development of a system through several development stages from feasibility analysis; design; development; integration and testing; deployment and acceptance; through deployment and production; and ultimately to system retirement.

4.36 TANF: Temporary Assistance for Needy Families.

4.37 TEAM: Tax Employer Account Maintenance.

4.38 UAT: User Acceptance Testing.

4.39 UIA: Unemployment Insurance Administration.

5. General Requirements

The Contractor shall:

5.1 Improve Digital Service Capabilities.

5.1.1 Increase service level compliance and staff productivity by establishing a dynamic claim intake capability for initial claims.

5.1.1.1 Key Requirements:

5.1.1.1.1 Dynamic digital claim that can present the claimant with additional questions and document requests depending on the responses to the initial questions;

5.1.1.1.2 Configurable program rules that can trigger additional questions and document requests depending on the response to the initial questions;

5.1.1.1.3 Ability for a claimant to securely upload a document via the Internet and automatically attach it to the initial claim;

5.1.1.1.4 Dynamic scalability where the screen scales to fit a handheld device (mobile phone, iPad, etc.) and the user can take a picture of their document with their mobile device and directly upload it to the UI Benefits Solution and attach to the claim.

5.1.2 Increase claimant satisfaction and staff productivity by establishing complete digital servicing capabilities.

5.1.2.1 Key Requirements:

5.1.2.1.1 Ability for claimants to view the status of an initial claim (received, approved, pended) or continued claim (received, approved, pended,

paid) via the Internet and complete any relevant actions. Ability to display the reason for a pended initial claim or continued claim;

5.1.2.1.2 Ability for claimants to provide additional information or documents that are needed to satisfy pended initial or continued claims via self-service.

5.2 Improve Work Management and Tracking for Claims Exceptions.

5.2.1 Increase service quality and staff productivity by establishing intelligent assignment, queue management and response management for resolving claims exceptions.

5.2.1.1 Key Requirements:

5.2.1.1.1 Ability to configure queues for individual staff or teams processing claims exceptions;

5.2.1.1.2 Ability to configure rules to drive the assignment of claims based on information on the initial claim (for pended initial claim) or continued claim (for pended continued claim), the prioritization of work in the queues or the escalation of items that haven't been acted upon in the specified timeframes (escalation timeframe and disposition);

5.2.1.1.3 Ability to assign initial claim or continued claim to resolution queues based on the assignment rules;

5.2.1.1.4 Ability to automatically escalate items that have not been acted upon within the specified timeframes;

5.2.1.1.5 Ability to identify the inventory in queue on a real-time basis and reallocate work across queues as needed.

5.3 Establish Robust Customer Service Capabilities.

5.3.1 Improve service quality and staff productivity by establishing robust customer service capabilities.

5.3.1.1 Key Requirements:

5.3.1.1.1 Provide staff with a clear view of the information around a particular claimant, initial claims and continued claims information and conversations they have had with UI Benefits staff across UIA.

5.3.1.1.2 Ability to capture call reason code (why the claimant contacted the contact center) and resolution code (what was done to resolve the inquiry) for subsequent reporting.

5.3.1.1.3 Integration with multi-channel support including email, chat and screen sharing. Provide readily accessible knowledge base staff can use to look up scripts for more complex questions.

5.3.1.1.4 Reporting of the types of calls received, how calls were resolved and handle time, by day, by month, by staff member by team.

5.3.2 Improve service quality and staff productivity by establishing effective capabilities for capturing client issues or requests and managing them through to resolution.

5.3.2.1 Key Requirements:

5.3.2.1.1 Ability to capture information about appeals, wage protests and complex customer service issues or requests and the supporting documentation (e.g., scanned image of wage protest);

5.3.2.1.2 Ability to define multi-step workflow that specifies the routing for resolving particular types of client issues or requests;

5.3.2.1.3 Ability to assign an appeal, wage protest or other client issue or request to a pre-existing queue or workflow for follow up and resolution;

5.3.2.1.4 Ability for staff to view items in their queue and open the issue or request and view all the notes and documents captured to date;

5.3.2.1.5 Ability for staff resolving the issue or request to log notes from conversation, the actions taken and how the issue or request was resolved;

5.3.2.1.6 Ability to store supporting documents with the issue or request;

5.3.2.1.7 Ability to record a time stamp time whenever staff members take an action on the issue or request;

5.3.2.1.8 Ability to escalate the issue or request if it has not been resolved with a specified time interval;

5.3.2.1.9 Ability to send letters and notifications to the claimant using preexisting templates and the address on file and transmit to the client via the preferred communications channel (mail, email, etc.) without having to retype the address.

5.4 Provide Ability to Support New Programs.

5.4.1 Provide the ability to rapidly support new programs at scale by providing the ability to configure new programs.

5.4.1.1 Key Requirements:

5.4.1.1.1 Ability to configure a new program or update program rules after initial configuration (effective date, etc.);

5.4.1.1.2 Ability to configure application intake, including data fields and required documents, for the new program;

5.4.1.1.3 Ability to configure benefits renewal intake, including data fields and required documents, for the new program;

5.4.1.1.4 Ability to configure program rules for eligibility including eligibility criteria (geographic criteria, time within the geographic region, employment thresholds, earnings thresholds, etc.) renewal criteria and renewal timeframe;

5.4.1.1.5 Ability to import external data (e.g., whether claimant attended workforce appointment), associate it with the claimant and apply program rules against it for eligibility determination;

5.4.1.1.6 Ability to automatically process claims and calculate benefits based on eligibility and benefits determination rules for the program and issue payments;

5.4.1.1.7 Ability to publish or expose the application for the new program in the claimant portal so that applicants can apply on-line and provide supporting documentation as needed according to program rules and attach the documentation to the claim;

5.4.1.1.8 Ability to publish or expose the benefits renewal for the new program in the claimant portal so that applicants can renew benefits on-line providing supporting documentation as needed according to program rules and attach to the benefits renewal;

5.4.1.1.9 Ability for System to apply date-driven rules to ensure that when anew rule is implemented that it applies to the intended population.

5.5 Establish Comprehensive Operational Reporting.

5.5.1 Improve service performance and staff productivity by establishing robust reporting to manage the operation.

5.5.1.1 Key Requirements:

5.5.1.1.1 The ability to report information needed to manage claims processing including the:

5.5.1.1.1.1 Number of initial claims and continued claims received by day, by week, by month;
5.5.1.1.1.2 Dates of initial claims or continued claims received by week, by month, by program;
5.5.1.1.1.3 Processing time (days) by month, by program.

5.5.1.1.2 The ability to report information needed to process claims exceptions including the:

5.5.1.1.2.1 Number of exceptions received by week, by month, by adjudication team, by program and currently (right now);
5.5.1.1.2.2 Number of exceptions by time period (e.g., 1 week, 2 weeks, 3 weeks, 4+ weeks);
5.5.1.1.2.3 Completion data by week, by month, by adjudication team, by staff member, by program;
5.5.1.1.2.4 Number of exceptions by type, by month, by program.

5.5.1.1.3 The ability to report information needed to process appeals, wage protests and other requests including the:

5.5.1.1.3.1 Number of requests by day (e.g., wage protests, customer service inquiries), received by week, by month, by program;
5.5.1.1.3.2 Number of transactions by time period (e.g., 1 week, 2 weeks, 3 weeks, 4+ weeks);
5.5.1.1.3.3 Completion rate by resolving unit, by staff member, by program;
5.5.1.1.3.4 Number of requests received by week, by month, by program;

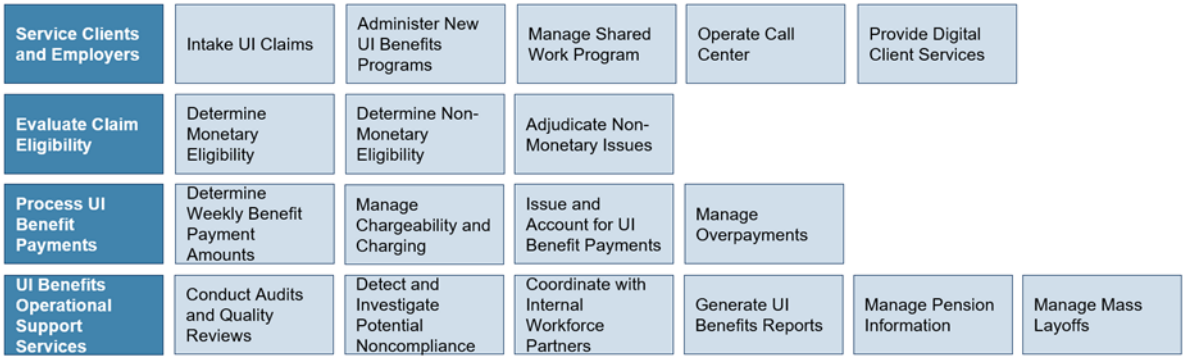
5.5.1.1.4 The ability to report information needed to manage inbound documents and correspondence including the:

5.5.1.1.4.1 Number of documents or correspondence received and by day, by month, by year, by type;
5.5.1.1.4.2 Number of unresolved documents or correspondence received and by time period (1 week, 2 weeks, 3+ weeks);
5.5.1.1.4.3 Resolution timeframe by type, by staff member, by month, by year.

6. Solution Functional Requirements

The Contractor Shall:

6.1 **Functional Scope**



6.2 **High-Value Use Cases:** Deliver a Solution that provides functionality to support the key requirements listed in Section 5. General Requirements. This includes the functionalities and shall, at a minimum, meet the mandatory requirements listed in Exhibit A. Detailed Requirements, High-Value Use Case Section**.**

6.2.1 File Initial Claim: Submit initial claim.

6.2.2 Inquiry/Update Claim: Inquire on the status of an initial claim and update the claim or provide additional information needed to enable the claim to be processed.

6.2.3 Continued Claim: Submit a continued claim/weekly certification.

6.2.4 Workload Assignment: The assignment of non-monetary issues, overpayments, investigations and other work items to staff for processing.

6.2.5 Process Claims Exceptions: Resolve pended initial claims or continued claims.

6.2.6 Reporting: Provide reporting needed to manage the operation.

6.3 **Detailed Functional Requirements:** Deliver a Solution for UI Benefits that provides functionality to service UI benefits clients and employers; evaluate UI claim eligibility; process UI benefit payments; provide UI benefits operational support services; and accommodate emerging requirements. These Functional Requirements shall be in accordance with the mandatory requirements in Exhibit A. Detailed Requirements, Detailed Functional Requirements Section.

6.3.1 Service UI Benefits Clients and Employers

6.3.1.1 Intake UI Claims

6.3.1.1.1 The Solution shall support processes for intaking UI claims, including new claims to initiate UI benefits claims when there is a break in filing (i.e., additional claims or reopen claims) and weekly claims to continue UI benefits. These intake processes shall be dynamic to support automated eligibility determinations when possible and reduce manual adjudication workloads.

6.3.1.2 Administer New UI Benefit Programs

6.3.1.2.1 The Solution shall support processes for administering additional programs, establishing and operating new programs including intaking

applications, intaking ongoing certifications, and determining the appropriate benefits.

6.3.1.3 Manage Shared Work Program

6.3.1.3.1 The Solution shall support processes for managing Shared Work, including intaking Shared Work applications, intaking Shared Work certifications, and determining the appropriate benefits according to State of Arizona business rules.

6.3.1.4 Operate Call Center

6.3.1.4.1 The Solution shall integrate with the Call Center Solution, (e.g., Genesys), to provide functionality to support Call Center functions, including scheduling, handling inquiries, and making updates related to Claimant accounts.

6.3.1.5 Provide Digital Client Services

6.3.1.5.1 The Solution shall provide an online portal that enables Claimants and Employers to submit information electronically, including but not limited to information related to claims, fact-finding, protests, audits, overpayments, and Shared Work. The Solution shall seamlessly receive and record this information, and automatically initiate subsequent processes when appropriate.

6.3.2 Evaluate UI Claim Eligibility

6.3.2.1 Determine Monetary Eligibility

6.3.2.1.1 The Solution shall determine the monetary eligibility of all new claims on an automated basis. The Solution shall also reevaluate the monetary eligibility of claims. Additionally, the Solution shall support wage protest processes for claimants that wish to protest a monetary eligibility determination.

6.3.2.2 Determine Non-Monetary Eligibility

6.3.2.2.1 The Solution shall determine the non-monetary eligibility of claims on an automated basis. In the event that non-monetary eligibility cannot be determined automatically, or if an issue is found, the Solution shall establish an issue record for adjudication.

6.3.2.2.2 The Solution shall support processes that allow adjudication staff to screen non-monetary issues, conduct non-monetary issue fact-finding, issue adjudication determinations, and maintain adjudication tools.

6.3.3 Process UI Benefit Payments

6.3.3.1 Calculate Weekly Benefit Payment Amounts

6.3.3.1.1 The Solution shall automatically calculate weekly payment amounts when weekly certifications are filed and must also recalculate weekly payment amounts on an automated basis.

6.3.3.2 Manage Chargeability and Charging

6.3.3.2.1 When a claim is received, the Solution shall automatically determine the potentially chargeable employers and calculate the chargeability percentage for each. The Solution shall also redetermine and

recalculate chargeability on an automated basis, as well as enable staff to maintain certain chargeability information. For employers that wish to protest chargeability determinations, the Solution shall support chargeability protest processes. The Solution shall additionally provide functionality to handle Combined Wage Claims, which can also impact employer chargeability. Upon the payment of benefits, the Solution shall automatically distribute the appropriate charges to employers and also adjust employer charges on an automated basis.

6.3.3.3 Issue and Account for UI Benefit Payments

6.3.3.3.1 The Solution shall automatically initiate the appropriate benefit payments to claimants and account for those payments via automated journal entries. Based on those payments, the Solution shall also automatically calculate and account for daily drawdown and pushup amounts (e.g., how much needs to be drawn down from the Federal Trust System to cover benefits being paid that day; how much has been deducted/withheld from benefit payment amounts on behalf of the IRS or Child Support and subsequently needs to be provided to the appropriate entity; etc.). The Solution shall additionally support processes for accounting for rejected payments on a daily basis. Finally, the Solution shall generate 1099-G forms for claimants on an annual basis, and corrected forms as needed.

6.3.3.4 Manage Overpayments

6.3.3.4.1 The Solution shall support processes for managing overpayments, including establishing records of overpayments, managing repayment waivers, offsetting overpayments (i.e., reducing future benefit amounts to be paid out, in order to recoup prior overpayments made), and accounting for received or rejected/returned overpayments.

6.3.4 UI Benefits Operational Support Services

6.3.4.1 Conduct Audits and Quality Reviews

6.3.4.1.1 The Solution shall support processes for conducting Benefit Accuracy Measurement (BAM) audits, Benefit Timelines Quality (BTQ) reviews, and wage audits. Depending on the type of audit or review, this functionality includes but is not limited to sampling processes, data cross-matching processes, case management tools for staff, and sending and receiving questionnaires to and from claimants and employers.

6.3.4.2 Detect and Investigate Potential Noncompliance

6.3.4.2.1 The Solution shall provide tools for detecting potential noncompliance and fraud on an automated basis, including eligibility noncompliance/fraud and identify theft fraud. Additionally, the Solution shall support processes for investigating potential noncompliance and fraud cases, issuing determinations on cases, and taking the appropriate actions based on case determinations.

6.3.4.3 Coordinate with Internal Workforce Partners

6.3.4.3.1 The Solution shall automatically send claimant information to the Workforce System for enrollment in Workforce programs.

Subsequently, the UI Benefits Solution shall receive information from Workforce Systems about RESEA participants and automatically initiate actions in the UI Benefits System based on Workforce information received.

6.3.4.4 Generate UI Benefits Reports

6.3.4.4.1 The Solution shall produce all Federal regulatory reporting throughout the life of the contract and any extension to the contract term, including supporting agency staff in testing updates and modifications to all required Federal reports. The Solution shall also provide functionality for UI Benefits staff to perform data validation as required by the US DOL. Additionally, the Solution shall produce executive and management reporting, including dynamic dashboards that highlight current UI Benefits activity, management reporting related to each of the various areas of UI Benefits activity, and reporting that is specific to various grants. Finally, the Solution shall provide the ability for staff to generate ad hoc reports on all areas of UI Benefits activity via an intuitive user interface.

6.3.4.4.2 The specifications for all US DOL Federal Reports can be found via the following links:

6.3.4.4.2.1 ETA401 Handbook:
https://wdr.doleta.gov/directives/corr_doc.cfm?DOCN=7774

6.3.4.4.2.2 ETA 402 Handbook:
https://wdr.doleta.gov/directives/corr_doc.cfm?DOCN=2633

6.3.4.5 Manage Pension Information

6.3.4.5.1 The Solution shall provide functionality to account for cost-of-living allowance increases for pensions, including increasing the gross monthly retirement amount for Claimant pensions according to cost-of-living allowance percentage increases and calculating weekly pension reduction amounts for Claimants.

6.3.4.6 Manage Mass Layoffs

6.3.4.6.1 The Solution shall provide functionality to intake mass layoff information and track which Employer and Claimant accounts are impacted.

6.4 Requirements Discovery

6.4.1 Additional requirements may be discovered over the course of this implementation project. If an additional requirement is discovered and does not significantly depart from the solution requirements, the Contractor shall make a reasonable effort to accommodate the additional requirement. If a newly discovered requirement significantly departs from the defined solution requirements, a change order may be required, but does not necessarily constitute a change; including clarifications to business rules. The Contractor shall work with DERS to identify the costs and benefits of implementing the added requirement.

7. Non-Functional Technical Requirements

The Contractor Shall:

7.1 **Core Technical Requirements:** Provide a Solution that, at a minimum, meets the mandatory requirements listed below and in Exhibit A. Detailed Requirements, Core Technical Requirements Section.

7.1.1 Technology Requirements

7.1.1.1 The Solution shall possess the technical attributes needed to meet accessibility requirements, support different user devices (desktop computer, handheld devices…etc.) and mitigate the risk of fraud. In addition, the Solution shall integrate with the technical standards shown in the table below:

7.1.1.2 ADES Technology Standards

Area	DES Standard
Directory services	Microsoft Active Directory
Access management	SAML-based SSO - OKTA SAML or OPENID CONNECT
API/ESB/Rule/Transform Engine	MuleSoft
Call Center/Telephony	Finesse (Current) /Genesys (Future)

7.1.2 Performance, Resiliency, and Agility Requirements

7.1.2.1 The Solution shall provide performance, scalability, resiliency, and availability to meet the requirements in Section 6.1 Functional Scope.

7.1.3 Data-Related Requirements

7.1.3.1 The Solution shall provide reasonable general reporting capabilities and a mechanism for data archiving. It must also provide agility to interoperate with master data management Solutions in the future.

7.1.4 Integration Requirements

7.1.4.1 The Solution shall integrate with other ADES and DERS Systems (Workforce, UI Tax, etc.). The Solution shall support real-time and batch updates with DES internal and external Systems. The Solution architecture shall provide integration design and interface placement to improve maintainability and extensibility and control support cost.

7.1.5 Security Requirements

7.1.5.1 The Solution shall have robust security and privacy features to meet DES/DERS, State of Arizona and Federal policies and requirements.

7.1.6 SDLC and Operational Requirements

7.1.6.1 The Contractor must establish a reasonable process for change and release management, ongoing testing, and maintenance. The implementation must include 30% automated functional and performance testing using industry-standard tools and processes.

7.1.7 Cost Allocation Requirements

7.1.7.1 The Solution shall provide cost reporting to enable DERS to forecast budgets and allocate costs to programs.

7.2 **Detailed Technical Requirements**

7.2.1 The Contractor shall develop and implement a scalable Solution that meets the Systems' Functional and Technical (non-functional) requirements that are required to support the business needs as well as technical needs to support security and auditability. These non-functional requirements shall adhere to Exhibit A. Detailed Requirements, Detailed Technical Requirements Section.

7.2.2 The Solution shall be capable of scaling to support future workforce and UI tax programs.

8. Planning, Analysis, Design, Development, UAT and Implementation Requirements

The Contractor Shall:

8.1 Act as the Prime Contractor for all planning, analysis, design, development, UAT and implementation efforts. The Contractor may opt to enhance its project team with subcontractors over the course of the project; however, the Contractor will retain all responsibility for successful implementation of the Solution. This includes but is not limited to ensuring implementation occurs on time, and within budget. The Contractor shall be responsible for coordinating and managing all project resources that are external to ADES.

8.2 Project Management

8.2.1 The Contractor's Project Manager shall:

8.2.1.1 Work with the ADES Project Manager to ensure that all work is executed and controlled in accordance with the terms and conditions of the contract entered into as a result of this solicitation.

8.2.1.2 Ensure the awarded Contractor is meeting its contractual obligations.

8.2.1.3 Coordinate with the ADES PMT to develop a project management plan for the Contractor's portion of the project. The Contractor's PM will report on the health of the project monthly, including; Project Schedule variance, development outcomes, defect rate, and Milestone delivery. The project plans shall follow the guidelines of the PMI PMBOK version 7 and address all management areas.

8.2.2 In coordination with the ADES Project Manager, develop and maintain a project schedule that specifies all project phases, milestones, tasks, deliverables, and resources necessary to provide a quality Solution that is successfully adopted by users. Project phases, at a minimum shall include gap analysis, iterative design and development (from prototypes to production), unit testing, system integration testing, user acceptance testing, user training, cutover, post go-live support, ongoing operations and maintenance.

8.2.2.1 Break down tasks into subordinate units, or, at a minimum, system planning, functional and technical design, software development, data conversion, testing, training, and implementation deliverables.

8.2.2.2 Report any project risks or issues to the ADES PMT.

8.2.2.3 ADES will hold the official authority for making decisions, and maintaining schedules.

8.3 Planning

8.3.1 Provide assistance to ADES in the planning of the overall project plans to ensure that the project team has the necessary guidance to complete project activities.

8.3.2 Participate in periodic reviews of the planning documents and with ADES make any adjustments necessary.

8.3.3 Develop System Development Life Cycle (SDLC) preferably using Agile methodology, wherever possible to implement the Solution on time, with high quality and within budget. The SDLC methodology shall describe how the Contractor shall plan, design, develop, test, and deploy the new Solution. If the Contractor uses Agile methodologies, this Deliverable shall describe the manner and means by which such methodologies map to the master project waterfall methodology and the Requirement Traceability Matrix (RTM). All requirements management shall comply with the framework of the PMBOK, Seventh Edition (PMBOK) as applied to the Project; and describe how the Agile methodologies work within the limitations and constraints described in the Scope of Work.

8.4 Analysis

8.4.1 At a minimum, provide separate environments for Development, Test, Production and Training.

8.4.2 Verify that the design meets key requirements specified in Section 5. General Requirements.

8.4.3 Develop the Requirements Refinement Strategy which shall document how the Contractor will identify new and review existing requirements, document and validate those requirements, and analyze and refine the requirements for all System Requirements. The Requirements Refinement Strategy shall consist of the following:

8.4.3.1 The methodology for the review and analysis of existing requirements through a gap analysis session(s) against the proposed Solution;

8.4.3.2 The methodology for identifying and incorporating new requirements; (e.g., gaps) into Design Deliverables and System Development Tasks;

8.4.3.3 The methodology for refining requirements; and

8.4.3.4 The plan for creating and updating a verified set of Detailed Requirements, and the Contractor's strategy and methods for maintaining traceability in all System Documentation during Design; Data Conversion; Development; System Testing; User Acceptance Testing; Implementation; Post-Implementation Warranty Services; Operations and Maintenance; Enhancements; and Transition Services.

8.4.4 Develop Detailed Requirements consisting of the following:

8.4.4.1 Underpinning the development of the Solution, as part of the blueprint and base framework delivered by the Contractor for the processing, capturing, storing, transforming, and disseminating information in the Solution. The Contractor shall maintain this Deliverable throughout the Planning, Development, and Implementation Phases of the Project to enable the successful Design, Development, and Implementation of the Solution that meets requirements. The Detailed Requirements Deliverable shall show, to a relevant level of detail, the basis for each Functional and Technical feature of the Solution. This Deliverable shall capture the detailed Requirements for the Solution, including the following:

8.4.4.1.1 Detailed Functional Requirements for each business process containing business rules, information and data that is correct, complete, unambiguous, consistent, verifiable, modifiable, and traceable.

8.4.5 Develop RTM and maintain it throughout the Project's Planning, Development, and Implementation Phases to ensure that all entries conform to the Detailed Requirements, and to maintain a clear correlation of the progress towards the established Project goals and objectives. The Contractor shall provide an RTM management tool, licensed access for designated ADES staff, the PM Contractor, and the QA and IV&V Contractors. The RTM shall:

8.4.5.1 Document each of the Detailed Requirements and any changes that adjust or expand each Detailed Requirement, and the System component(s) to implement each Detailed Requirement; and

8.4.5.2 Track and provide status for each requirement from definition through acceptance. Any requirement that is not accepted shall either be tracked as an issue, deferred, or canceled.

8.4.5.3 If an Agile methodology is proposed for development, the Contractor shall map the Agile concepts such as “backlog” management and development task management back to the RTM. The core principle is to ensure that each Requirement has been met to the satisfaction of the ADES and that the backlog is being managed effectively.

8.4.6 Develop a Solution Architecture Document. This document shall describe the technical approach to developing the Solution, including a high-level architectural approach and the anticipated technologies, hardware, operating software, programming aids, application programs, third party products, and integration points. Elements of the technical approach may be modified prior to completion of the Technical Solution Design Deliverable. This task shall consist of the following:

8.4.6.1 A description of the hardware and software components, including programming platforms and tools, which shall be used for developing, implementing, enhancing, operating, and maintaining the Solution, and its interfaces to services partners and other organizations with which the ADES has cooperative agreements; Identification of the key technical requirements and constraints on the Solution;

8.4.6.2 Subsections providing details about the general System design, the detailed System design, System specifications, hardware, software requirements, the database model, the data dictionary, and use cases;

8.4.6.3 A System Capacity Plan describing the elements of System capacity and include:

8.4.6.3.1 An estimate of the System load, and specify the necessary performance requirements for operational memory, computing power, and data storage; and

8.5 Design

8.5.1 Develop a Functional System Design that shall describe the manner and means for designing and integrating the functional elements of the Solution. This shall consist of the following:

8.5.1.1 Documentation of the design process, including:

8.5.1.1.1 A summary of each JAD or gap analysis session. The summary shall be responsive to comments and revisions provided by the ADES during Design activities;

8.5.1.1.2 Functional design issues and decisions; and

8.5.1.1.3 Presentation materials from JAD or gap analysis sessions, presented in a logical manner for clarity of presentation.

8.5.1.2 Incorporate updates to the Design Deliverables made during design sessions, to accurately document Detailed Requirements to maintain the accuracy of the design.

8.5.1.3 Incorporate and address information and analyses presented in Project artifacts .

8.5.1.4 Cross reference each Functional Design element to the required business processes that it implements. This cross-reference to business processes shall establish traceability (within the RTM).

8.5.1.5 Describe from a user's perspective, the standard use of System functions and the interaction between staff and the Solution. This description shall include:

- 8.5.1.5.1 The goals and objectives of each function;
- 8.5.1.5.2 Citations to the relevant policy and statutory constraints, where applicable;
- 8.5.1.5.3 An overall workflow of System functions;
- 8.5.1.5.4 A layout of screen groupings, individual screen layouts and functions, navigation among screens; and,
- 8.5.1.5.5 All forms, letters, reports, and input and / or output files.

8.5.1.6 Describe from a Solution perspective the following details:

- 8.5.1.6.1 Data derivation formulas for complex operations;
- 8.5.1.6.2 Edit criteria;
- 8.5.1.6.3 System help text;
- 8.5.1.6.4 User alerts;
- 8.5.1.6.5 Workflow events and algorithms;
- 8.5.1.6.6 Entries to chronology files;
- 8.5.1.6.7 Documents to be generated;
- 8.5.1.6.8 Screen navigation options; and
- 8.5.1.6.9 User responses to error messages and alerts.

8.5.1.7 Describe known assumptions and identify issues. As issues relevant to a Requirement are resolved, the Contractor shall document the resolution in the Testing Issue Log.

8.5.1.8 Identify the staff roles of System component users and describe the security controls necessary to enable access to authorized users.

8.5.1.9 Define the method for documenting user actions in System logs.

8.5.2 Develop and design a Technical System Design that describes the manner and means for implementing the Functional System Design. The Technical System Design shall identify all the System components necessary for software development, deployment, and operation. This task shall also specify that initial set of Technical Requirements to a greater level of detail, such that the Technical Requirements provide the basis for each Technical Feature of the Solution. This task shall consist of the following:

8.5.2.1 Document the design process, including:

- 8.5.2.1.1 A summary of each JTD session. The summary shall be responsive to comments and revisions provided by the ADES during Design activities;
- 8.5.2.1.2 Documentation of issues and decisions;
- 8.5.2.1.3 Design presentation materials from JTD sessions, presented in a logical manner for clarity of presentation; and,
- 8.5.2.1.4 Updates to Design Deliverables made during the design sessions to accurately document Detailed Requirements to maintain the accuracy of the design.

8.5.2.2 Address the following aspects of the Solution:

- 8.5.2.2.1 The System architecture, including the distinct, decoupled tiers and all integration and interface points that define the System;
- 8.5.2.2.2 The major subsystems and details about each major subsystem's internal design;

8.5.2.2.3 Database design, including an initial Entity Relationship Diagram of the database tables together with descriptions of all System tables and columns;

8.5.2.2.4 Security architecture, including how the System shall implement roles-based security, ensure both at-rest and in-transit data security, and if and how the System shall segregate and protect more sensitive data (e.g. PII, and FTI);

8.5.2.2.5 Key application patterns and technical solutions to implementing those patterns;

8.5.2.2.6 Key System objects and services and their responsibilities in the architecture, including any separations of concerns; and

8.5.2.2.7 Sufficient information to convey the coding specifications to the developers.

8.5.3 Development

8.5.3.1 Develop an Application Development Plan. This task shall describe the software development workflow, and the roles and responsibilities to be involved in executing the workflow. This task also addresses the applicable development standards and conventions and conforms to the database design. This task shall consist of the following at a minimum:

8.5.3.2 Describe the protocols for designing and developing the System's software, testing the developed System, developing training materials, and preparing for Implementation.

8.5.3.3 Describe the assigned individuals' tasks to establish responsibility for each unit of work.

8.5.3.4 Describe the Functional and Technical Design standards, indicate the Project members who shall provide feedback on Design documents for consistency and completeness.

8.5.3.5 Describe the development and unit testing of the source code and the Project members who shall provide feedback on unit testing of the source code to determine if it is fit for use.

8.5.3.6 Describe the development of documentation and training materials and the Project members who shall provide feedback on these documents for consistency and completeness.

8.5.3.7 Describe the development of technical operational procedures and the Project members who shall provide feedback on the technical operational procedures for consistency and completeness.

8.5.3.8 Establish roles and responsibilities and development workflow of key activities including:

8.5.3.8.1 Requirements elaboration;
8.5.3.8.2 Functional design;
8.5.3.8.3 Technical design;
8.5.3.8.4 Development and unit testing;
8.5.3.8.5 Code review / technical review;
8.5.3.8.6 Testing;
8.5.3.8.7 Documentation (internal and external);
8.5.3.8.8 Development of training materials; and
8.5.3.8.9 Implementation and configuration management.

8.5.3.9 Identify development standard to be applied in the following areas (standards that are existing shall be fully described; standards to be developed during the course of

development shall be described in terms of how they shall be developed, by whom, and in what timeframe):

8.5.3.9.1 Coding conventions and standards;
8.5.3.9.2 Internal documentation conventions and standards;
8.5.3.9.3 Object and module naming conventions and standard; and
8.5.3.9.4 Database naming conventions and standards.

8.5.3.10 Identify roles and responsibilities for data modeling and database management, including protocols for:

8.5.3.10.1 Requesting database structure changes;
8.5.3.10.1.1 Analyzing database changes;
8.5.3.10.1.2 Implementing and communicating database changes; and
8.5.3.10.1.3 Managing data assets, “seed data”, and test fixtures.

8.5.3.11 Identify how the detailed functional specifications shall be developed and where the specifications shall be documented in such a manner that it can be provided to developers prior to the detail Technical Design.

8.5.3.12 Identify how the detailed technical specifications shall be developed and where the details shall be documented in such a manner that it can be provided to developers prior to code development.

8.5.4 Develop a Hardware and Software Plan that lists the required hardware and software identified in the System Architecture Document, as well as the purchasing schedule for all such items necessary to meet the Project Schedule. This plan shall describe optimized software and hardware purchases, particularly production and operational expenditures, so that purchases are not made significantly earlier than necessary, and so that software maintenance agreements are not started earlier than needed. This task shall consist of the following at a minimum:

8.5.4.1 Identify the needed hardware, software, and related components for each environment (Development, Testing, Training, and Production);

8.5.4.2 Include a Hardware and Software Procurement Plan that:

8.5.4.2.1 Describes the procurement steps the Contractor should take to authorize and effect the purchase, delivery, and installation of the needed hardware and software;
8.5.4.2.2 Identifies the maintenance arrangements needed to assure continuous operations;
8.5.4.2.3 Identifies and specifies configurations for the needed hardware, software, and communications components for the various environments needed for the Project through production deployment; and
8.5.4.2.4 Establishes a purchase calendar that optimizes the timings of software and hardware purchases so that components are available when needed by the development and implementation teams, and components are not purchased significantly earlier than needed (which causes expensive hardware to sit idle and may also cause maintenance agreements to be started earlier than needed and expire sooner than needed).

8.5.4.3 The Contractors must propose and procure all Commercial Off the Shelf (COTS) products except the licenses for software that will operate in ADES Cloud Infrastructure and be procured by ADES: Okta, MuleSoft, and Master Data Management (MDM).

Licenses for all COTS running in the Contractor's Cloud that match ADES enterprise COTS must be transferable to ADES, at ADES discretion, for the duration of the contract if applicable.

8.6 Data Conversion

8.6.1 The existing applications and data conversion requirements are shown in Exhibit B. Existing Applications and Components and Data Conversion Requirements.

8.6.2 Develop a Data Conversion Plan

8.6.2.1 This plan shall document all data sources, data targets, field mappings and programs that will be used or will need to be written to support data conversion. This plan shall also identify quality requirements for data conversions.

8.6.2.2 The Data Conversion Plan shall also document the deliverables necessary to complete the conversion effort and the acceptance criteria for each deliverable.

8.6.2.3 This plan shall include in detail the overall approach and processes used in the data conversion, including data conversion objectives, assumptions, and constraints.

8.6.2.4 An inventory and cross reference of source and target data elements, schema, metadata, and all self-describing files;

8.6.2.5 A description of the process for data extraction, transformation and loading for each data source;

8.6.2.6 A description of the tools needed to execute the conversion;

8.6.2.7 Identification and description of data conversion objectives;

8.6.2.8 Identification and description of any assumptions or dependencies regarding the data conversion effort;

8.6.2.9 Identification and description of constraints that shall be taken into consideration prior to the data conversion process;

8.6.2.10 A list of stakeholders and their roles and responsibilities in the conversion process;

8.6.2.11 A description of the strategy for data conversion quality assurance and control including:

8.6.2.11.1.1 Identification of any prerequisites;
8.6.2.11.1.2 Description of the general backup strategy;
8.6.2.11.1.3 Description of the data restoration process plan; and
8.6.2.11.1.4 Identification, description, and conversion plan for the types of data quality problems that may occur, including but not limited to the following considerations:
8.6.2.11.1.5 Data type redefinitions (e.g., alphas in dates and numbers, embedded information in codes and intelligent keys, implied content);
8.6.2.11.1.6 Garbled content (e.g., multiple uses for a single field, freeform text values, corrupted data, un-initialized data);
8.6.2.11.1.7 Invalid record relationships (e.g., broke chains in set relationships, orphan records, mismatched keys);
8.6.2.11.1.8 Invalid content (e.g. values out of defined range, code fiends not on a valid list of values or lookup table, blank fields);

8.6.2.11.1.9 Context changes (e.g., import of external data, historic changes to operational parameters (system upgrades), synchronization timing of duplicated, denormalized data); and

8.6.2.11.1.10 Behavior issues (e.g. variations in actual data from planned constraints of size, data type, validation rules, and relationships).

8.6.2.12 The remediation plan (including the acquisition, installation, or implementation of associated hardware and software) to address any adverse impacts the conversion may create for the existing infrastructure, and protocols for implementing the remediation plan; and

8.6.2.13 Description of any risks associated with the proposed data conversion and migration primary strategy. Include any risks that could affect conversion feasibility, technical performance of the converted System, the conversion schedule, costs, and backup and recovery procedures.

8.6.2.14 Ensure that Data Conversion activities for implementation are integrated with the rollout that is planned for this project.

8.6.2.15 Data conversion shall include measures to reconcile the converted data to ensure integrity (e.g., ensure dollars match).

8.6.2.16 Perform a data quality assessment early in the project and define specific conversion deliverables. The Data Quality Assessment document shall explain the quality of data sources that must be converted for this project. It shall also include an itemization of data sources and a quality assessment of each source.

8.6.3 Assist with data conversion quality assurance, monitoring and, as necessary, data fixes with support for verification and validation.

8.6.4 Provide input on data anomalies coming from the source Systems to enable ADES to correct and identify additional errors to be corrected prior to conversion.

8.6.5 Comply with protocols established by ADES for electronic transfer of records and meet all Federal and local laws and regulations in regard to the protection of confidential information and FTI data.

8.6.6 Develop and test conversion programs and processes.

8.6.7 Identify, track and correct data errors during data conversion.

8.6.8 Develop and deliver Data Conversion Test Results, for each conversion. At a minimum, this shall include:

8.6.8.1 Reports of likely duplicate cases and clients, error reports, and conversion gap reports for all conversion processes performed;

8.6.8.2 Reports of test errors and proposed solutions to the ADES on a schedule approved by the ADES;

8.6.8.3 Data Conversion verification results.

8.6.9 Assist ADES in any manual data conversion efforts, including manual data cleanup, any manual data entry, and manual client merges. Automated methods shall be used unless otherwise agreed upon by ADES. Manual efforts are defined as single record efforts. Automated efforts are defined as the processing groups and records.

8.6.10 Establish the standards and methodology for database development, deployment, operations, and maintenance;

8.6.11 Specify the methodology and rules for determining and documenting entity relationships; and

8.6.12 Describe the procedures for developers to use to identify new database tables and new or revised columns on existing database tables.

8.7 Integration

8.7.1 The required interfaces are listed in Exhibit C. Required Interfaces. The implementation effort shall include implementing these interfaces.

8.7.2 Develop an Integration Plan that:

8.7.2.1 Documents all System interfaces, data sources, frequency of transmissions, expected data volume and technical tools that will be used for data transformation, transport and error recovery.

8.7.2.2 Documents tasks, deliverables and resources necessary to complete interface development and implementation effort.

8.7.2.3 Documents a process for resolving errors that occur in interfaces.

8.8 System Testing

8.8.1 Deliver, at a minimum, a Testing Plan that documents the Contractor's test strategy and plan for all level of testing. This plan at a minimum shall include:

8.8.1.1 Testing Philosophy and Approach that includes:

8.8.1.1.1 Orientation and kickoff;
8.8.1.1.2 Test techniques and methods;
8.8.1.1.3 Test standards;
8.8.1.1.4 Test phases;
8.8.1.1.5 A description of the planned Test environment that shall be used for System, performance, and security Testing;
8.8.1.1.6 Types of automated testing tools depending on type of Testing (there may be a different automated Testing tool for load/stress, unit, System, performance and regression Testing);
8.8.1.1.7 Verification that Testing tools work as designed;
8.8.1.1.8 Configuration management of Test environment(s) and tools;
8.8.1.1.9 Test data, including use of sanitized test data (attributes that identify an individual are altered);
8.8.1.1.10 Roles and responsibilities of everyone involved in Testing;
8.8.1.1.11 Test documentation including documentation standards and templates;
8.8.1.1.12 Test schedule and work plan;
8.8.1.1.13 Test metrics and measurements;
8.8.1.1.14 Test preparations;
8.8.1.1.15 Test execution;
8.8.1.1.16 Test monitoring;
8.8.1.1.17 Test status meetings and reporting;
8.8.1.1.18 Go/no-go decisions or checkpoint decisions;
8.8.1.1.19 Test pass/fail criteria;
8.8.1.1.20 Test closure criteria;
8.8.1.1.21 Test closure evaluation criteria and wrap up;
8.8.1.1.22 Archiving, lessons learned, etc., to better promote continual process improvement; and
8.8.1.1.23 System Testing knowledge transfer.

8.8.1.2 Complete testing of connections with all other systems with which this Solution shall interface. The required interfaces are provided in Exhibit C. Required Interfaces.

8.8.1.3 Make use of a full-size database, simulated loads of production activity. The System Test shall continue until performance requirements are met under full operational conditions.

8.8.1.4 Make use of a full suite of security tests, including but not limited to, user role-based access and penetration Testing performed by an independent third party;

8.8.1.5 Provide System Test Plan(s), Test Cases, Test Scripts, and Test conditions that examine each functional objective of the System, and the expected Test results to verify that the Solution components have achieved each functional objective. These documents shall be maintained for the ADES review and audit; and

8.8.1.6 Provide procedures for creation, maintenance, and rebuilds of the Test Environment, and describe controls to maintain the integrity of the Test data and prevent rebuilds.

8.8.2 The implementation shall include performance testing at the maximum scalability specified in Section. 6.1.1. Functional Scope during pre-deployment testing.

8.8.3 Develop a Test Environment and Documentation to establish the Test Environment(s) the Contractor shall use to perform System Testing. The Test Environment shall allow testing of the Solution to occur without disruption of any other ADES computing activities, and fully support all Testing needs. The Testing Environment shall be transitioned to ADES at the conclusion of this contract in a manner that supports ongoing testing of the Solution. At a minimum the Test Environment and Documentation shall include:

8.8.3.1 All components that the Production Environment shall contain including copies of all software, database, tables, and files loaded with sanitized Test data;

8.8.3.2 Be available from the ADES network and appropriately configured to adequately emulate Production System use;

8.8.3.3 Provide copies of other systems' files and/or software involved in the interfaces in order to adequately Test system-to-system interfaces;

8.8.3.4 Ensure the Test Environment Documentation shall contain at a minimum:

8.8.3.4.1 An inventory of the hardware, software, network communication, and data storage components necessary to support the ongoing testing needs of the Solution;

8.8.3.4.2 A list of configuration, security, and change management processes;

8.8.3.4.3 The location of System passwords, license keys, and maintenance contract information;

8.8.3.4.4 All outbound and inbound data exchange connections; and

8.8.3.4.5 A platform architecture schematic that illustrates the technology components of the Solution.

8.8.4 Document and report the results of all System Testing. At a minimum, these reports shall include information and data concerning:

8.8.4.1 Recommended improvements. This section shall provide any recommended improvements in the Design, Operation, or Testing of the System. A discussion of each recommendation and its impact on the System shall be provided;

8.8.4.2 Detailed Test Results. This section shall describe the detailed results for each Test. At a minimum, this section shall include:

8.8.4.2.1 Test number;
8.8.4.2.2 Summary of test results;
8.8.4.2.3 Problems encountered;
8.8.4.2.4 Identification of test procedure step(s) where problems occurred;
8.8.4.2.5 Reference to backup material as appropriate;
8.8.4.2.6 Deviations from test cases/procedures; and
8.8.4.2.7 An assessment of the deviations' impact.

8.8.4.3 Test Log. This section shall present a chronological record of Test events covered by the report and include at a minimum:

8.8.4.3.1 The date(s), time(s), location(s), and tester(s) of the Tests performed;
8.8.4.3.2 The hardware and software configuration used for each Test; and
8.8.4.3.3 A record of the ADES Project Executive signoff on the completed and successful Tests.

8.8.4.4 An overall assessment of the System's Operation, at a minimum including:

8.8.4.4.1 An overall assessment of the System's Operation as demonstrated by the Test results in this Report;
8.8.4.4.2 Identification of any remaining deficiencies, limitations, or constraints that were detected by the Testing performed. Problem/change reports may be used to provide Defect information; and
8.8.4.4.3 For each remaining Defect, limitation, constraint, or anomaly, describe:
8.8.4.4.3.1 The impact on System performance, including identification of requirements not met;
8.8.4.4.3.2 The impact on System design;
8.8.4.4.3.3 A recommended Solution/approach for correction(s); and
8.8.4.4.3.4 Identify the resource needed to make correction(s).

8.9 User Acceptance Testing (UAT)

8.9.1 All key requirements that the Contractor indicated they can meet in Section. 5 General Requirements, shall be included in user acceptance tests.

8.9.2 The ADES will take the lead in UAT and the Contractor shall participate as required to ensure that the Solution meets all requirements and functions.

8.9.3 The Contractor and ADES will define entry and exit criteria for UAT.

8.9.4 Remediate all defects identified during UAT, and modify the associated deliverables before ADES sign-off on UAT.

8.9.5 Successful completion of UAT shall demonstrate that the Solution Replacement System is ready for Implementation in accordance with this Scope of Work. An Acceptance Test Team composed of ADES management, ADES SME with the support of the contractor SME shall perform User Acceptance Test activities. User Acceptance Testing shall evaluate the Solution to ensure all components work together and that the System meets all Requirements documented in the RTM. UAT shall include detailed tests of all requirements, features, and System operations. User Acceptance Testing shall include testing of the System under maximum operational load conditions. Additionally, all System interfaces and data exchanges are included in UAT.

8.9.6 Deliver the Test Environment and ensure that:

8.9.6.1 Test Environment is prepared with test data that mimics Production Environment data;

8.9.6.2 Test data is refreshed and managed as required by the ADES; and

8.9.6.3 The System is configured to the most current version of all underlying software, tools, and database, unless otherwise approved by ADES.

8.9.7 Provide Training and documentation for UAT, including Training to ADES staff and other Test participants on any automated testing tool(s). This may include versions of user materials that the Contractor shall deliver under Section 8.11. Training;

8.9.8 Assist with acceptance Testing as defined in the User Acceptance Test Plan. At a minimum, the Contractor's UAT activities shall include:

8.9.8.1 Defect corrections in accordance with one or more service level agreements that provide at least the Defect resolution timeframes described in the Contract;

8.9.8.2 Assisting ADES in identifying issues and problems discovered during UAT and in the resolution of those issues;

8.9.8.3 Report on UAT activities via User Acceptance Test Results Report; and

8.9.8.4 Conduct rework on regarding Design, Data Conversion and Development, and System Testing and update the associated Deliverables.

8.9.9 Update Deliverables to reflect any refinements or additional Requirements identified during UAT;

8.9.10 Submit the updated System Documentation, and update the Application Lifecycle Management (ALM) and Source Code Management (SCM) System as required; and

8.9.11 Notify the ADES in writing upon completion of the UAT that the Solution contains no known Level 1 Defects or Level 2 Defects and that the Contractor attests the Solution materially confirms to Solution requirements and is ready for the Implementation.

8.9.12 Prepare the Test Environment for UAT. The Contractor shall implement the tools required for UAT and ensure that the Test Environment is ready for use. The ADES will provide acceptance of this before UAT begins. This task shall consist of the following at a minimum:

8.9.12.1 Verify that the Test Environment is populated with the latest version of code and contains all components the Production Environment shall contain including copies of all software, database, tables, and files loaded with sanitized Test data;

8.9.12.2 Be available from the ADES network and appropriately configured to adequately emulate Production System use;

8.9.12.3 Include copies of other systems' files and/or software involved in the interfaces in order to adequately Test system-to-system interfaces;

8.9.12.4 Ensure all Testing tools are implemented and ready for UAT; and

8.9.12.5 Ensure all UAT participants are trained on UAT processes and Testing tools.

8.9.12.6 Assist ADES in creating/staging test data to be used in completing UAT test cases.

8.9.13 Develop a UAT Results Report, weekly, to include at least a summary and details on the overall progress and status, including:

8.9.13.1 Documentation of each issue or problem, at a minimum including:

8.9.13.1.1 Issue/Problem statement;
8.9.13.1.2 Tester name;
8.9.13.1.3 Date;
8.9.13.1.4 Resolution provided;
8.9.13.1.5 Name of person assigned to resolve the Defect;
8.9.13.1.6 Plan for further Testing;

8.9.13.1.7 Summary of problems found;
8.9.13.1.8 A weekly report of problem resolution progress to include at a minimum:
8.9.13.1.8.1 Problems open;
8.9.13.1.8.2 Problems resolved;
8.9.13.1.8.3 New problems logged; and
8.9.13.1.8.4 Progress against the UAT Plan.

8.9.13.2 A detailed list of Defects, at a minimum including:

8.9.13.2.1 Defects opened in the last week;
8.9.13.2.2 All Defects open;
8.9.13.2.3 Defects closed;
8.9.13.2.4 Details on all Test performed during the week; and
8.9.13.2.5 ADES acceptance status of Defects closed.

8.10 Develop and update the content of the ALM and SCM Systems in the Collaborative Workspace based on changes made as a result of UAT. This task shall reflect System code as of the conclusion of the UAT and task and at a minimum include:

8.10.1 Project Source Code;

8.10.2 Project tools (source code for non-production artifacts, e.g. conversion programs);

8.10.3 Related Code Documentation;

8.10.4 "Seed Data" (Non-transaction, non-case data that needs to be loaded into the System for base system operations, e.g. lookup tables, rate tables, workflow rules); and

8.10.5 Binary artifacts (these may be kept external but shall be maintained in a repository that is available to ADES-designated members of the Project team) including:

8.10.5.1 Libraries and third-party software components;

8.10.5.2 Frameworks;

8.10.5.3 Software binaries; and

8.10.5.4 Other associated artifacts as needed to build, maintain, and deploy the System.

8.11 Training

8.11.1 Begin work regarding training prior to the start of the Implementation Phase. The Contractor Shall provide user training services during UAT through the end of the operations and maintenance period. ADES anticipates that most of the User Training activities shall be conducted immediately prior to Implementation. ADES anticipates that training materials shall be used during UAT to verify their accuracy, comprehensiveness, understandability, and usability. The Contractor shall update the materials after UAT in response to ADES feedback and shall also modify the materials as needed to support changes during Implementation. For User Training to be delivered during the Implementation Phase, the Contract shall first train ADES DERS' training staff (i.e., "train the trainer" – up to thirty (30) people) on how to use the System. After successful completion of the "train the trainer' activities, the Contractor shall support ADES DERS training sessions either in-person or remotely to be available for any questions that may arise during the training sessions.

8.11.2 Provide one or more "train the trainer" sessions to approximately 30 ADES staff on full System operations and functionality, and delivery of Training sessions;

8.11.3 Develop User Training Materials. The Contractor shall conduct course-specific design sessions, including input from Program Subject Matter Experts, as part of the User Training Materials development process, up to the time of implementation. Training materials may include visuals, handouts, workbooks, manuals, computerized display, quick reference guides, demonstrations and

online help. ADES-specified training materials shall be available online as the User's Manual to supplement Arizona's policies and procedures. The User's Manual shall be available in two (2) versions: A Trainer's Version and a Student's Version. Training staff shall use the Trainer's Version in the delivery of Training to System users. Training materials shall be designed for hands-on use in a classroom, lab situation, and/or for future reference by users when the System is operational. All training materials shall be reviewed and accepted by the ADES before use. All training shall be supported with a specific set of training materials. This Deliverable shall consist of the following at a minimum:

8.11.3.1 Types of Training Materials. Descriptions of training materials and activities, including:

- 8.11.3.1.1 Training objectives;
- 8.11.3.1.2 Training scenarios;
- 8.11.3.1.3 Tools for evaluating whether trainees have effectively acquired the skills and understanding necessary to carry out their job functions;
- 8.11.3.1.4 Training manuals that parallel the content of user and procedure manuals;
- 8.11.3.1.5 User training manual and training materials;
- 8.11.3.1.6 Instructor guides;
- 8.11.3.1.7 Student evaluation forms for all training sessions;
- 8.11.3.1.8 Development and distribution of materials;
- 8.11.3.1.9 Classroom exercises;
- 8.11.3.1.10 Glossary; and
- 8.11.3.1.11 Descriptions of audio/visual presentations and web-based tutorials.

8.11.3.2 Content of User Training Materials. User training curricula and materials, including 'Train the Trainer' materials, shall be appropriate for adult learners and cover, at a minimum, the following topics:

- 8.11.3.2.1 System overview;
- 8.11.3.2.2 System benefits;
- 8.11.3.2.3 Data inputs, outputs, and reports generated;
- 8.11.3.2.4 Major system business functions;
- 8.11.3.2.5 User manual contents and usage;
- 8.11.3.2.6 System usage;
- 8.11.3.2.7 Entering data and data validation;
- 8.11.3.2.8 Data correction and user help features;
- 8.11.3.2.9 Menu and system function traversal;
- 8.11.3.2.10 Problem recovery;
- 8.11.3.2.11 Report contents and report generation;
- 8.11.3.2.12 Search and inquiry features;
- 8.11.3.2.13 Record update procedures;
- 8.11.3.2.14 System operation;
- 8.11.3.2.15 Seeking technical help;
- 8.11.3.2.16 Online help;
- 8.11.3.2.17 Test and training scenarios and scripts; and
- 8.11.3.2.18 Other documentation necessary to use and operate the System.

8.11.3.3 Updates/Revisions to Training Materials. Once training materials are developed, they shall be stored in the Collaborative Workspace, and subjected to the same kind of configuration management process as other System Documentation. Training materials shall remain current with System functionality and will be available to ADES training staff for a period of six (6) months after updates are made.

8.11.4 Conduct remote (teleconference/videoconference) question and answer sessions for each functional area within two (2) weeks following classroom Training;

8.11.5 Ensure that the Training Environment, and remote and web-based Training services are accessible through a secure user interface and functioning in accordance with all security requirements.

8.11.6 Provide the technology and staff to support all User Training activities; and

8.11.7 Ensure that Training activities are:

8.11.7.1 Conducted in compliance with standards for security and Training (including the Americans with Disabilities Act); and

8.11.7.2 Designed for users of varying learning styles and varied skill levels, and support trainees' reaching or exceeding the minimum level of knowledge, skills, and abilities required to perform the operational functions of their jobs.

8.11.8 Develop a Train-the-Trainer Report, which documents the satisfactory completion of the User Training Management Plan tasks for each pilot and statewide rollout. This Deliverable shall describe the method for reporting, reviewing, and correcting discrepancies identified during Contractor led training sessions. This Deliverable shall consist of the following at a minimum:

8.11.8.1 Names of the persons trained;

8.11.8.2 Training date;

8.11.8.3 Length of Training;

8.11.8.4 Recording of the Training session (when online);

8.11.8.5 Contractor comments regarding the Training session;

8.11.8.6 Training discrepancies identification and resolution;

8.11.8.7 Training evaluation. This Section shall identify evaluation results regarding the effectiveness of the training and shall use the industry standard Kirkpatrick Model which includes the following information:

8.11.8.7.1 Level 1; assess learners' initial reaction to a course (100% of training); and

8.11.8.7.2 Level 2; assess the extent to which learners achieved the objectives (50-60% of the training).

8.11.8.8 Training Plan Modifications. This section shall identify Contractor's recommended changes to the approved Training Materials, inclusive of any changes requested by the ADES.

8.11.9 Training Environment and Documentation: The Contractor shall develop a Training Environment and Documentation. This shall establish the Training Environment(s) the Contractor shall use in executing the User Training Management Plan. The Training Environment shall allow for Training users of the Solution without disruption of any other ADES computing activities, and fully support all user training needs. This shall consist of the following at a minimum:

8.11.9.1 Verify that the Training Environment is populated with the latest version of the code and contains all components the Production Environment shall contain including copies of all software, databases, tables, and files loaded with sanitized Test data;

8.11.9.2 Be available from the ADES network and appropriately configured to adequately emulate Production functionality;

8.11.9.3 Include copies of other systems' files and/or software involved in the interfaces in order to adequately train users on system-to-system interfaces; and

8.11.9.4 Training Environment Design documentation consisting of at least:

8.11.9.4.1 An inventory of the hardware, software, network communication, and data storage components necessary to support ongoing training needs regarding the operations of the UI Modernization Solution;
8.11.9.4.2 A list of configuration, security, and change management processes;
8.11.9.4.3 The location of System passwords, license keys, and maintenance contract information;
8.11.9.4.4 All outbound and inbound data exchange connections; and
8.11.9.4.5 A platform architecture schematic that illustrates the technology components of the Solution.

9. Post Implementation Requirements

9.1 Application Support

9.1.1 The Contractor shall provide application support after the Solution is live, including defect repair, small enhancements, package and 3rd-party tool upgrades, and business support.

9.2 Operations and Maintenance

9.2.1 Operations and Maintenance shall serve to ensure the Contractor provides the proper level of operations and maintenance service, including meeting the performance standards identified in the Contract. This includes ensuring that an appropriate level of the Contractor staffing resources are identified and available to reliably operate, maintain, and update the Solution.

9.2.2 Provide Solution Operations and Maintenance following the Post-Implementation Warranty Services;

9.2.3 Provide maintenance and support services that shall address at least the elements described in Section 14.1 subsection 3.8 Post Implementation Assessment and include commitments for each service level, capabilities for tracking and reporting performance, and other information necessary for determining performance of the Solution.

9.2.4 Contractor Key Personnel/Roles and Qualifications Requirements

9.2.4.1 Milestones and Deliverables within the timeframes described in this Scope of Work. In addition to the staffing necessary to complete the work for the Planning, Development, and Implementation Phases, the IM Contractor shall provide Warranty Support, O&M, Enhancement, and Transition Services.

9.2.4.2 ADES reserves the right to interview and accept/reject any replacement personnel in the event that the vendor's proposed personnel are not available for the project when the time comes or become unavailable during the course of the project.

9.2.5 Maintain appropriate support for the duration of O&M. Note that the titles provided below are descriptive in nature, not all are managers, and titles can be changed in order to facilitate Project execution. ADES anticipates that the Contractor shall provide at least the following Key Persons:

9.2.5.1 Project Executive;
9.2.5.2 Project Manager;
9.2.5.3 Business Analyst Manager;
9.2.5.4 Software Development Manager;
9.2.5.5 Testing Manager;
9.2.5.6 Environment Support Manager;
9.2.5.7 Quality Assurance Manager;
9.2.5.8 Systems Manager;
9.2.5.9 System Architect;
9.2.5.10 Training Manager; and
9.2.5.11 Quality Control Manager.

9.2.6 Provide a "core" of professional programming staff, and other technical, managerial and administrative personnel to support programming activities (such as workflow analysis, System testing, Documentation updates, administrative support). The experience of the Contractor's programming team shall be comprehensive in that each team member shall lend extensive knowledge in a certain subsystem or Solution function. All subsystems and all System functions shall be covered by at least one (1) programming team member with extensive knowledge and experience in that area. Team members should be sufficiently cross-trained to support temporary changes in priorities and/or responsibilities.

9.2.7 Deliver Help Desk Services for ADES. The Contractor's minimum requirements for Help Desk services for the Solution are:

9.2.7.1 Toll-free telephone technical support;

9.2.7.2 Telephone technical support availability offered at least during ADES business hours (6 AM – 5 PM, Monday through Friday, Local Arizona Time);

9.2.7.3 24/7 emergency telephone support access to technical staff;

9.2.7.4 Web-based technical support resources;

9.2.7.5 Single point of contact assigned to the ADES for problem tracking and resolution;

9.2.7.6 Guaranteed technical support response time; and

9.2.7.7 The Contractor shall provide at least Level 3 Help Desk Support.

9.2.8 Meet the following minimum Technical Services Requirements:

9.2.8.1 Maintenance. The Contractor shall perform regular and routine maintenance of the hardware and software associated with the UI Modernization Solution. Maintenance notifications shall be distributed via email no less than seven (7) calendar days prior to scheduled maintenance and as soon as reasonably possible for emergency maintenance;

9.2.8.2 Excluded Down-Time. Excluded Down-Time is the number of minutes of any planned or scheduled down-time, outside of any standard maintenance window as outlined in the Service Level Agreement. The ADES shall receive no less than twenty-four (24) hours advance notice of any planned or scheduled down-time required outside the standard maintenance window, and immediate notice of any emergency down-time. Clustered servers are to be measured together as a single unit for calculated down-time measurements.

9.3 Disaster Recovery

9.3.1 Disaster Recovery Plan. This Plan shall describe the Contractor's plan to protect the System against natural disasters, hardware and software failures, human error, and other contingencies that could interrupt System services. Disaster Recovery plan is required and shall be completed prior to federal certification. The Plan shall address recovery of business functions, human resources, and technology infrastructure associated with the Solution. Disaster Recovery Plan shall consist of the following at a minimum:

9.3.1.1 Threat considerations (including natural, technical, and human) with impact assessments:

9.3.1.1.1 Strategies and related procedures for recovery of facilities, hardware, software, data, customer services, and Key Personnel responsible for the strategies and related procedures;

9.3.1.1.2 System and System data backup, retention, and restoration; and

9.3.1.1.3 Testing procedures for the Disaster Recovery Plan.

9.3.1.2 The Plan shall specifically:

9.3.1.2.1 Set forth the protocols to provide immediate response to and subsequent recovery from any major unplanned business disruption, such as loss of utility service, building evacuation, or a crisis event such as a major fire, flooding, earthquake, etc.;

9.3.1.2.2 Be consistent with ADES disaster recovery plans;

9.3.1.2.3 Identify the hardware, software, data, and communications components needed to provide for alternative site operations for production and development;

9.3.1.2.4 Identify the means for duplicating the System at the alternative site and specify the retention period for all application and operating System components;

9.3.1.2.5 Include the Program's requirements for Recovery Point Objectives (RPO) and Recovery Time Objectives (RTO);

9.3.1.2.6 Outline the steps for troubleshooting, replacing/reconfiguring System hardware and software, restoring the System, and verifying the use of System backups;

9.3.1.2.7 Outline the conditions under which the Program shall use the alternative site; and

9.3.1.2.8 Define the procedures for testing the alternative site.

9.4 Warranty

9.4.1 The Contractor shall provide Post-Implementation Warranty Services for the Solution Replacement System for a minimum twelve (12)-month period beginning day one (1) following completion of Implementation with statewide system roll out. Post-Implementation Warranty Services provided by the Contractor shall include Defect correction, System operations and maintenance, and knowledge transfer to State staff, and completion of certain Enhancements. The Contractor shall warranty the System against any defects for a period of twelve (12) months from full System Implementation. Determination as to whether or not a System issue constitutes a Defect, an Enhancement within scope of the requirements, or an Enhancement outside the scope of the Contract shall be resolved based upon a review of the Requirements Traceability Matrix, as delivered at the end of Implementation, using the Project's scope control and change management procedures. ADES shall determine and prioritize all defects identified.

9.4.2 Develop a Warranty Support Plan and deliver services in accordance with the approved Deliverables. This Deliverable shall be in a format acceptable to the ADES, and the Contractor shall update the Deliverable as requested by ADES to reflect evolving services, priorities, and resources. This Deliverable shall identify and describe the Contractor's strategy and approach to providing the required Warranty Support for the Solution. The Warranty Support Plan shall address at least all Services described in this section, and describe how the Contractor shall coordinate this Task with other Tasks leading up to Post-Implementation Warranty Services. This plan shall, at a minimum, include:

9.4.2.1 Correction of any System functional deficiencies;

9.4.2.2 Adding any post-System Implementation deficiencies;

9.4.2.3 Operations and Maintenance for the Solution in accordance with Service Level Agreement(s) (SLA) documented in the Contract and any other applicable Deliverables; including at a minimum:

9.4.2.3.1 Help Desk support from 6 AM to 5 PM (Arizona Time) Monday through Friday on State Business Days. In addition, the Help Desk shall be available on an on-call basis 24/7/365 in order to support State technical and operational needs;

9.4.2.3.2 Assessment and identification of Required Warranty Repairs or modifications.

9.4.2.4 Participation in periodic meetings (at least weekly) with Project Management Team and other ADES-designated participants for discussions regarding System performance and the status of Warranty Task activities.

9.4.3 Provide Operations and Maintenance, and Defect corrections for the Solution. This shall reflect at least the System support, Help Desk support, System maintenance, and Defect correction Services provided in Operations and Maintenance. In addition, for Post-Implementation Warranty Support the Contractor shall:

9.4.3.1 Add as required post-System Implementation Enhancements;

9.4.3.2 Participate in periodic meetings (at least weekly) with the Project Management Team and other ADES-designated participants for discussions regarding System performance and the status of Warranty activities. These status meetings shall follow a preset agenda developed by the ADES PM and the Contractor shall be responsible for producing minutes of these meetings as part of its weekly written reporting. These status meetings shall address:

9.4.3.2.1 System performance review, including identification of required hardware, software, data corrections, and modifications;

9.4.3.2.2 Program staff feedback through the Project Management Team on the System and Help Desk services;

9.4.3.2.3 Weekly and monthly reports submitted by the Contractor;

9.4.3.2.4 IV&V Contractors' reports;

9.4.3.2.5 Tests of all Defect corrections;

9.4.3.2.6 Performance metrics, including performance of data exchange interfaces and end-user response time; and

9.4.3.2.7 Content of the online user and technical materials, including updates to the materials.

9.4.4 Develop and deliver Weekly Warranty Reports. These reports shall be submitted to the ADES and to the, and to the IV&V Contractor as necessary to support their respective evaluation and reporting requirements. This Deliverable shall be in a format acceptable to the ADES. The ADES anticipates using the Contractors Weekly Warranty Reports to update the status reports generated by the ADES PM. These reports shall, at a minimum, include:

9.4.4.1 Minutes from weekly meetings addressing System performance issues and the status of Warranty Task activities;

9.4.4.2 IV&V Contractor Report feedback;

9.4.4.3 Help Desk and any Program Staff feedback through the Project Management Team;

9.4.4.4 System performance metrics, including System Interfaces; and

9.4.4.5 Operation of the online policy manual System, including the ability to update and amend the policy.

9.4.5 Develop and deliver Monthly Warranty Reports. Monthly Warranty Reports are due on or before the tenth (10th) Business Day of each month. These reports shall be in a format acceptable to the ADES and shall be a basic tool for reporting to State officials on funding issues and Program matters related to the Project schedule, scope, and budget. This Deliverable shall include a report on Contractual SLAs and performance metrics.

9.5 Enhancements

9.5.1 ADES may require Enhancement or modification of the Solution for new and updated Requirements that reflect changes in law, administrative rules, or policy. Enhancements may result when the ADES or the Contractor determine that an additional Requirement needs to be met which results in adding new functionality or significantly modifying existing functionality and/or file structures. Examples of Enhancements include but are not limited to:

9.5.1.1 Implementation of capabilities neither specified in the RTM, nor agreed to during the Planning, Development and Implementation Phases;

9.5.1.2 Implementation of functionality not defined in the RTM, in the current operating System, or in the System accepted by the ADES;

9.5.1.3 Activities necessary to meet new or revised federal requirements, or requirements generated from the Arizona Legislature, which exceed the boundaries of a Change Request; and

9.5.1.4 Request for change in interface with other systems.

9.6 Transition Services

9.6.1 The Contractor shall provide a knowledge transfer plan for any infrastructure and system components that must be maintained by ADES technical staff post implementation (if applicable). At a minimum, the plan shall include:

9.6.1.1 Technical Training and Knowledge Transfer Plan

9.6.1.2 Technical Training Materials

9.6.1.3 Technical Training and Knowledge Transfer Reports

9.6.2 Develop an Entity Relationship Diagram (ERD) that depicts a conceptual data model, the logical data model, and the physical data model for the new Solution. This task shall be updated through the Project's Planning, Development, and Implementation Phases.

9.6.3 Support an effective Transition of all data, hardware, software, System, and Security Documentation and the knowledge and procedures necessary for the ADES to perform System Operations, Maintenance, and Enhancements.

9.6.4 Deliver an Operations Transition Plan

9.6.5 Operations and Technical Training Plan

9.6.6 Operations and Technical Training Reports

9.7 Future Functionality

9.7.1 The Solution shall be capable of supporting additional functionality not addressed in this RFP such as UI Tax and Workforce Programs.

10. Security Requirements

10.1 Contractor shall maintain physical access credentials (i.e., employee badge and security video) for all staff who have access to the System or its Data and shall ensure that all physical access is compliant with P-CISP-010.

10.2 Contractor shall fulfill all necessary physical security functions (e.g., identification of badge controls, alarm responses) at its work location.

10.3 Contractor shall ensure its physical security maintains full compliance with Section 9 of the PCI Audit Requirement for physical security and all future additions to applicable PCI Audit standards.

10.4 Contractor shall provide offsite storage for media devices containing ADES Data in accordance with the physical storage specifications, retention periods and security in the backup location per Exhibit A. Detailed Requirements, Detailed Technical Requirements Section 4. Data Accessibility and 5. Documents and Media. Contractor shall maintain backup storage and replicate to a disaster recovery facility within the continental United States. Contractor shall ensure that long-term archives are maintained on tape-based media that will be stored at a third-party location, hardened magnetic media storage facility.

10.5 Contractor shall enable ADES staff or contractors, at any time, to perform non-bandwidth, non-destructive, intensive scanning of System resources (IT servers, networks, and databases) and provide a list of those resources so as to prevent unintentional scanning of non-ADES State machines. Contractor shall provide the necessary System credentials to such ADES staff or contractors to perform authorized scans of the System.

10.6 The System shall be proactively managed, monitored and controlled by a team dedicated and trained for cloud operations. The System shall be monitored 24 X 7 by near real time system monitoring software. ADES will be alerted of System issues or downtime as per Service Levels.

10.7 Contractor shall provide reasonable administrative and advisory support to the ADES Project Manager (or designated representative) in their performance of any security activities or the creation of required security plan(s) for ADES IT Security Offices (during both the development and production phases).

10.8 Contractor shall prepare and deliver to ADES a System Security Plan(s) that comply with P-CISP-001.001 (the “System Security Plan(s)”). The System Security Plan(s) shall include the NIST 800-53 checklist, as well as address any ADES required scans or known System vulnerabilities. Contractor shall ensure that all critical vulnerabilities are addressed with a plan of action and provided in advance for Approval by ADES.

10.9 The System Security Plan(s) shall also include specific details on the required notification and coordination process with designated ADES staff in the event System Data has been compromised.

10.10 In addition, Contractor shall record and maintain the status of all Contractor and Subcontractor background checks in the System Security Plan(s). Contractor shall update the System Security Plan(s) no less than on an annual basis.

10.11 Contractor shall provide reasonable administrative and advisory support to each ADES Project Manager (or designated representative) in connection with such Project Manager’s performance of annual independent IT Risk Assessment Reviews (during both the development and production phases).

10.12 Prior to obtaining access to ADES Data or Systems, all Contractor personnel shall be required to sign ADES-specific acceptable use and user affirmation policies and statements (compliant with P-CISP-013), and which shall define responsibilities with respect to accessing such ADES development or production Systems, Data, or code.

10.13 ADES has the authority to shut down or disable accessibility of the System (by such temporarily) if it has been determined that a System fix will not be made in sufficient time to avoid a significant System vulnerability. In this event, ADES shall not be required to get agreement or permission from any other entity to shut down the use of the System, and such shut down shall not adversely affect the functionality/availability or the data retention as identified in Section 9.3.1.2.5.

10.14 Data Security

10.14.1 Provide secure FTP (File Transfer Protocol) capability.

10.14.2 Conduct regular vulnerability testing to enable robust security, including:

10.14.2.1 Static code analysis used to analyze source code for quality, safety, security and intellectual property violations

10.14.2.2 Virtualized/scanning and provide results to the ADES's Security Administration.

10.14.3 Statement on Auditing Standards (SAS) 70 Compliant.

10.14.4 The Contractor shall observe and abide by all applicable State and Federal statutes, rules and regulations regarding the use or disclosure of information. To the extent permitted by law the Contractor shall release information to the Department and to the Arizona Attorney General's Office as required by the terms of this contract, by law or upon their request

10.14.5 All Personally Identifiable Information (PII) transmitted between the ADES and the Contractor, both in transit and at rest while in possession of the Contractor, shall be encrypted to meet or exceed The NIST 800-53, Rev 4s. The term ''personally identifiable information (PII) and trade secret information'' or ''personal information'' means individually identifying information for or about an individual including information likely to disclose the location of a victim of domestic violence, dating violence, sexual assault, or stalking, including: (A) a first and last name; (B) a home or other physical address; (C) contact information, including a postal, e-mail or Internet protocol address or a telephone or facsimile number; (D) a social security number; and (E) any other information, including date of birth, racial or ethnic background, or religious affiliation that in combination with any of subparagraphs (A) through (D) would serve to identify any individual.

10.14.6 Restrict access to all PII to authorized users who need it to perform their official duties.

10.14.7 Store all PII, at all times, in a manner which is physically and electronically secure from access by unauthorized persons.

10.14.8 Process all PII under the immediate supervision and control of personnel who have obtained security screening.

10.14.9 Employ both physical and technological safeguards so that unauthorized personnel cannot retrieve PII by means of a computer, remote terminal, or other means.

10.14.10 Have in place formal PII incident response mechanisms. Respond to any security incident, whether caused by malware, unauthorized access, software issues, acts of nature or other causes, in a manner which protects PII affected by the security incident. Notify the ADES's Division of Technology Services, Information Risk Management (IRM), of all security incidents. IRM can be reached at (602) 771-4760. The contact information for the ADES will be provided after award of the contract.

10.14.11 Inform all employees with access to PII of the confidentiality of the information and obtain employees written understanding of the safeguards required to protect the information and the civil and criminal sanctions for non-compliance contained in the applicable Federal and State laws.

10.14.12 Allow the ADES, at its discretion, to conduct onsite security reviews to determine whether Contractor maintains adequate security control to protect PII.

10.14.13 Physically secure all Contractor facilities used to access or house PII in order to prevent unauthorized access to, release of, use of or re-disclosure of PII.

10.14.14 Establish a process to scrub data, obscure or mask from test databases to ensure it is not visible in test environments. Backup or data redundancy System including storage at an off-site location. Any data backup or data redundancy System shall fully comply with all confidentiality, data sharing and data security provisions of this Contract. All backup data shall have the level of encryption and protection as stated herein.

10.14.15 Coordinate with ADES to notify individuals whose PII was either disclosed, accessed, released or otherwise compromised as a result of any unauthorized access, release or re-disclosure, or any breach of the security provisions herein.

10.14.16 The ADES will, at Contractor's expense, assist the Contractor in notifying any individual whose PII was compromised.

10.14.17 Offer each client, whose PII was compromised, a one (1) year credit monitoring service at Contractor's expense.

10.14.18 Destroy all information gathered while performing duties related to this Contract, at intervals defined by the ADES that are consistent with the current State policy and Federal regulations for destruction of Personally Identifiable Information (PII).

10.14.19 Complete an annual ADES Security monitoring activity, as required by the ADES.

10.14.20 Submit a completed Arizona Baseline Security Controls Assessment (Attachment 10). https://aset.az.gov/arizona-baseline-security-controls-2016-excel

10.15 Data and Information Handling

10.15.1 Applicability

10.15.1.1 Section 10.15 applies to the extent the work includes handling of any (1) State's proprietary and sensitive data or (2) confidential or access-restricted information obtained from State or from others at State's behest.

10.15.2 Data Protection and Confidentiality of Information

10.15.2.1 Contractor warrants that it will establish and maintain procedures and controls acceptable to State for ensuring that State's proprietary and sensitive data is protected from unauthorized access and information obtained from State or others in performance of its contractual duties is not mishandled, misused, or inappropriately released or disclosed. For purposes of this paragraph, all data created by Contractor in any way related to the Contract, provided to Contractor by State, or prepared by others for State are proprietary to State, and all information by those same avenues is State's confidential information. To comply with the foregoing warrant:

10.15.2.1.1 Contractor shall: (a) notify State immediately of any unauthorized access or inappropriate disclosures, whether stemming from an external security breach, internal breach, System failure, or procedural lapse; (b) cooperate with State to identify the source or cause of and respond to each unauthorized access or inappropriate disclosure; and (c) notify State promptly of any security threat that could result in unauthorized access or inappropriate disclosures; and

10.15.2.1.2 Contractor shall not: (a) release any such data or allow it to be released or divulge any such information to anyone other than its employees or officers as needed for each person's individual performance of his or her duties under the Contract, unless State has agreed otherwise in advance and in writing; or (b) respond to any

requests it receives from a third party for such data or information, and instead route all such requests to State's designated representative.

10.15.3 Personally Identifiable Information

10.15.3.1 Contractor warrants that it will protect any personally identifiable information ("PII") belonging to State's employees' or other contractors or members of the general public that it receives from State or otherwise acquires in its performance under the Contract.

10.15.3.2 For purposes of this paragraph:

10.15.3.2.1 PII has the meaning given in the [federal] Office of Management and Budget (OMB) Memorandum M- 17-12 Preparing for and Responding to a Breach of Personally Identifiable Information", January 3, 2017; and

10.15.3.2.2 "protect" means taking measures to safeguard personally identifiable information and prevent its breach that are functionally equivalent to those called for in that OMB memorandum and elaborated on in the [federal] General Services Administration (GSA) Directive CIO P 2180.1 GSA Rules of Behavior for Handling Personally Identifiable Information.

10.15.3.2.3 NOTE (1): For convenience of reference only, the OMB memorandum is available at:

10.15.3.2.3.1 https://dpcld.defense.gov/Privacy/Authorities-and-Guidance/

10.15.3.2.4 NOTE (2): For convenience of reference only, the GSA directive is available at:

10.15.3.2.4.1 http://www.gsa.gov/portal/directive/d0/content/658222

11. Contractor Responsibilities

11.1 Project Management

11.1.1 The Contractor shall provide a dedicated and experienced project manager for the implementation effort, who will leverage project management tools and methodologies in a manner consistent with the Project Management Body of Knowledge (PMBOK) in order to ensure product quality and timeliness for the duration of the project. Project management shall include but not be limited to status reporting, risk and issue management, schedule management, and resource management.

11.2 Staffing Model

11.2.1 The Contractor shall provide a project team that is knowledgeable, experienced, and has the skills necessary to ensure the success of the implementation. Overall staffing levels must be sufficient to meet or exceed quality and timeline expectations, and key project personnel must have subject matter expertise in UI Benefits and prior implementation experience on projects similar in scope. The Contractor will be expected to participate in day-to-day activities remotely.

11.2.2 Key personnel are those positions that are considered to be critical and essential to the effective management, performance, and success of the project. It is essential that key positions are filled with qualified, experienced staff committed to the success of the UI Modernization Project. It is essential that there is stability of the staff chosen to fill the key positions. ADES will take key personnel proposed by Contractor into consideration during the proposal evaluation. The

Contractor must ensure that substitutions of personnel subsequent to Contract award are with staff of equal or greater knowledge, skills, abilities, and experience.

11.2.3 The Contractor must provide a sufficient mix of project staff with qualifications and experience to fulfill the requirements of this RFP. While ADES has given the Contractor latitude on the structuring of resources for these interrelated efforts, the Project Schedule submitted and as required by this RFP should not show an over-allocation for resources that are assigned to multiple roles.

11.2.4 The Contractor must propose a minimum of six (6) Design, Development, and Implementation (DDI) key personnel roles and four (4) Operation & Maintenance (O&M) key personnel roles (if this is SaaS) that are considered mandatory for the success of the Contractor's proposed approach to service delivery. The Contractor must designate one person as part of the O&M key personnel to be the point of contact between the Contractor and ADES.

11.3 Organizational Change Management (OCM):

11.3.1 Support organizational change management activities for the project in collaboration with DERS (it is DERS' intent to staff an OCM lead for the project).

11.3.2 Participate in change management processes for the full term of the Project. This shall include following change management protocols designed and managed by the ADES Project Manager.

11.3.3 The implementation shall include a specific communications plan to ensure claimants expect the changes (e.g., to the claimant portal) and know what to do.

11.4 Independent Validation and Verification (IV&V):

11.4.1 IV&V activities are intended to enhance and strengthen the project work by assessing whether the Project satisfies the needs for which it was undertaken and that Project risks are well understood and appropriately mitigated or managed. The IV&V Contractor will be responsible for reviewing Project plans and documentation from an independent perspective and will provide all plans, reports of findings, and recommendations to ADES. The IV&V Contractor will not participate in the daily Project activities. The Contractor shall cooperate with and provide all necessary information to a third-party IV&V vendor, to be selected at the discretion of the ADES.

11.5 The Contractor shall certify compliance with the Safeguard requirements of IRS Publication 1075, Tax Information Security Guidelines for Federal, State and Local Agencies.

11.6 Provide and acquire any required third-party products needed to operate the Solution that ADES does not already own. The contractor shall provide ADES with the option to transfer the license for third-party product to DES, at no additional cost, where applicable.

12. ADES's Responsibilities

12.1 Provide input and clarifications to the Contractor during the development of deliverables.

12.2 Provide access to ADES and Program policies and procedures related to the Contractor's deliverables.

12.3 When applicable, provide access to appropriate staff to clarify requirements.

12.4 Provide acceptance of deliverables.

12.5 Execute testing according the UAT Plan; provide staff for each part of UAT activities; monitor and record testing results; review documentation and participate in correction of problems, including re-testing; and provide feedback on UAT Results Report.

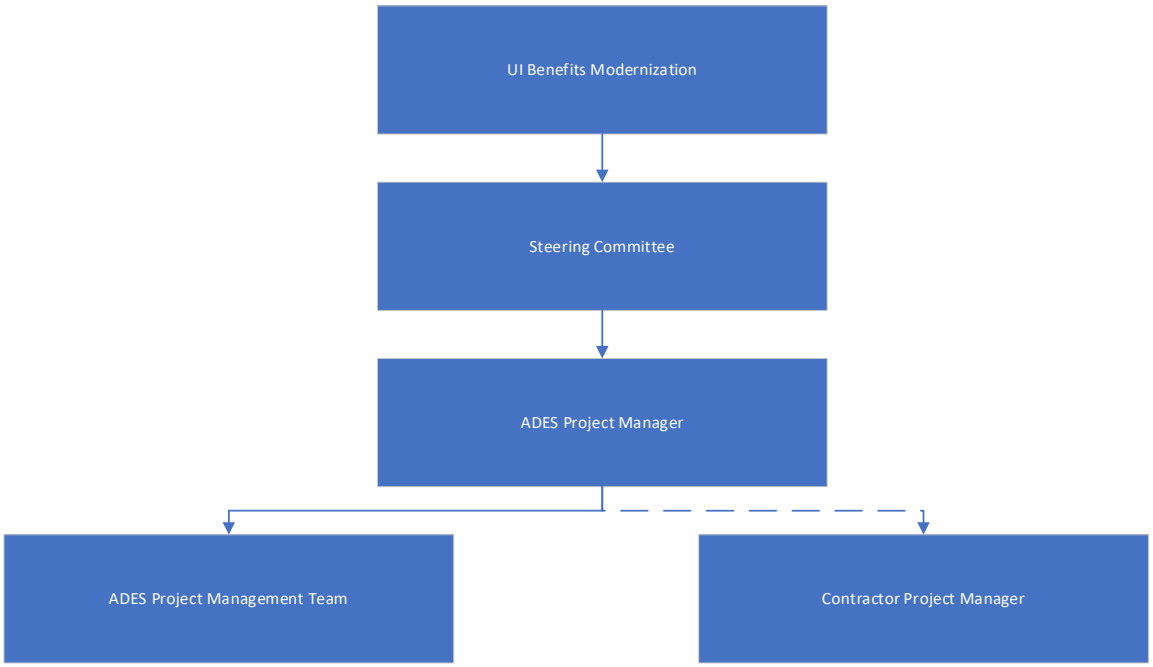
12.6 Provide the necessary training personnel; provide subject matter experts to assist with training development; assist the Contractor during training with Program staff; scheduling Program and partner staff to attend training sessions and manage attendance; and arrange for training facilities, including physical locations for Statewide training locations.

12.7 The ADES will establish a Project Management Team (PMT) to oversee the Project in accordance with the established Project Management Plan (PMP).

12.8 ADES's PMT will assume and exercise specific project management responsibilities which may be refined by ADES after a Contract award. These responsibilities may include, but are not limited to:

12.8.1 Project Integration Management
12.8.2 Project Scope Management
12.8.3 Project Schedule Management
12.8.4 Project Cost Management
12.8.5 Project Quality Management
12.8.6 Project Resource Management
12.8.7 Project Communication Management
12.8.8 Project Risk Management
12.8.9 Project Procurement Management
12.8.10 Project Stakeholder Management

12.9 **ADES Organization and Staffing Structure:** This project will be overseen by the PMT which will be comprised of ADES personnel and/or ADES contracted staff as determined necessary by ADES. The PMT will be responsible for the day-to-day details of the Project and ADES anticipates the following structure for the PMT:



Draft Diagram

12.9.1 <u>ADES Project Management Team Responsibilities:</u>

The PMT will be responsible for developing and implementing the project control plans and structure for the entire project. The PMT will monitor and update the PMP and manage the activities of Project participants to ensure successful execution of the project. The PMT will ensure that all project participants stay on schedule or otherwise mitigate any project delays. A single individual may be assigned to more than one PMT role at ADES's discretion.

12.9.1.1 ADES Project Manager (PM):

12.9.1.1.1 The ADES Project Manager will

12.9.1.1.1.1 Review and make recommendations to the Steering Committee, to enable the members to make informed decisions on risk mitigation, changes proposed and any issues that arise.

12.9.1.1.1.2 Monitor, update the PMP and manage the activities of ADES Project participants to ensure successful execution of the project.

12.9.2 Steering Committee (Committee)

12.9.2.1 The Committee will provide executive oversight of the project which will include resolution of issues escalated to the Committee by the ADES Project Manager and review of changes that exceed the Change Control Board's budget thresholds. Specific members and responsibilities of the Committee will be determined during the initial stages of the project. The Committee will be comprised of representatives (or designees) from departments, divisions, and programs that are most impacted by the project. The committee will meet quarterly and may meet more frequently as needed. This may also include representatives from other agencies or local areas.

12.9.3 Change Control Board (CCB)

12.9.3.1 ADES and the Contractor shall utilize the change control procedures set forth in this section to process all Change Requests during the project Lifecycle (whether initiated by Contractor or the ADES). Additionally, the Contractor shall track and report budget changes as appropriate for time and materials additions to scope under this SOW.

12.9.3.2 The CCB will be responsible for initiating/receiving Change Requests and reviewing Change Requests submitted. The CCB will consist of the following members, in addition to other personnel as deemed necessary by ADES:

12.9.3.2.1 One (1) member from each project domain (These individuals are the voting members of the CCB)

12.9.3.2.2 ADES Project Manager (non-voting)

12.9.3.2.3 Contractor's Project Manager (non-voting)

12.9.3.2.4 Contributing ADES subject matter experts (non-voting)

12.9.3.2.5 Contributing members of the Contractor's project team. (non-voting)

12.9.3.2.6 Meeting Frequency: The CCB shall meet as often as necessary to review/process potential Change Requests.

12.9.3.2.7 Approval Authority: The CCB has the authority to:

12.9.3.2.7.1 Approve, deny or escalate Change Requests that have no impact on cost, schedule, scope or quality of the Project; and

12.9.3.2.7.2 Recommend approval of, deny or escalate Change Requests that have an impact on cost, schedule, scope or quality of the Project.

12.9.3.2.7.3 Documenting Decisions. All Change Requests approved, denied or escalated by the CCB shall be documented by the CCB in a Change Control document.

12.9.3.2.8 Change Request Escalation: If the CCB recommends approval of a potential Change Request as described above or is otherwise unable to come to a decision with regard to a potential Change Request, the CCB shall present such Change Request to the Steering Committee for review and decision.

12.9.3.2.9 Review Timelines:

12.9.3.2.9.1 The CCB shall make all reasonable efforts to review and respond to Change Requests prior to the Requested Response Date listed in the Change Request form:

12.9.3.2.9.2 If the CCB is unable to respond by the Required Response Date, the Contractor reserves the right to submit an updated Change Request.

12.9.3.2.9.3 If an approved Change Request requires a change to the Statement of Work or the Agreement, the ADES Project Manager shall proceed expeditiously to establish a contract amendment that sets forth the mutually-approved terms of such change(s) to the Statement of Work or Agreement. Any Change Request requiring a contract amendment shall not become effective until mutually approved by the Parties. Furthermore, the Contractor shall take no action to implement such Change Request until the effective date of the associated contract amendment.

12.9.3.2.10 Documenting Change Requests—Change Request Form:

12.9.3.2.10.1 Once a potential Change Request has been identified, the details of such Change Request shall be incorporated in a Change Request Form that includes the following information, at a minimum:

12.9.3.2.10.2 Title of Change Request;

12.9.3.2.10.3 Change Request Functional Area (if applicable);

12.9.3.2.10.4 Date of Request;

12.9.3.2.10.5 Name and Contact Information of Requesting Party;

12.9.3.2.10.6 Requested Response Date;

12.9.3.2.10.7 Description of Change to include: Type of change; Description of the change; Why the change request is necessary; No schedule or budget impact; Schedule impact; Budget impact; Schedule and Budget Impact; Change to the Agreement;

12.9.3.2.10.8 Impact on Change on Cost, Schedule, Scope or Quality;

12.9.3.2.10.9 Contract Sections potentially impacted by Change Request;

12.9.3.2.10.10 Indication of Approval or Denial by the appropriate authority and date;

12.9.3.2.10.11 Update to the RTM and project schedule as necessary

12.9.3.2.10.12 Reason for Denial (if applicable); and

12.9.3.2.10.13 Signature line(s) and Date.

12.9.3.2.11 Review and Approval of Project Deliverables

12.9.3.2.11.1 It is the sole responsibility of ADES to review and approve all aspects of the Project, to include:

12.9.3.2.11.2 Defined Contractor project deliverables and milestones;

12.9.3.2.11.3 Acceptability of the efforts of the Contractor and staff; and

12.9.3.2.11.4 Acceptability of Contractor results.

12.10 Independent Verification and Validation Contractor: ADES will utilize state procurement procedures to obtain the services of an Independent Verification and Validation (IV&V) Contractor. The IV&V Contractor shall not be associated with the successful Contractor. Additionally, Contractors that bid on the UI Benefits Modernization shall not be eligible to bid on the related procurement of the IV&V Contractor.

13. Qualification Requirements

13.1 The Contractor shall have had a UI Benefits Solution similar in size and scope to the UI Benefits Modernization Solution implemented into production within the last five (5) years.

13.2 The Solution proposed in response to this solicitation may differ from the UI Benefits Solution that has been implemented by the Contractor within the last five (5) years.

13.3 The Solution proposed shall not leverage implemented technology that has not undergone a platform or technology upgrade within the last seven (7) years.

14. Deliverables and Acceptance Criteria

14.1 The Contractor shall provide the below deliverables in accordance with the respective acceptance criteria listed in the table below:

Scope of Work

Solicitation No.: **BPM003908**

Description: **UI Benefits Modernization**

DEPARTMENT OF ECONOMIC SECURITY
Your Partner For A Stronger Arizona

Deliverables	Acceptance Criteria
1. Project Planning	
1.1 Project Management Plan	• Describes procedures for project status meetings, executive briefings, issue capture, issue escalation and risk management. • Includes organization chart for project and documents roles and responsibilities of each project participant. • Includes templates for status reporting and executive briefings. • Status report template includes metrics for tracking project progress and progress. Project metrics include cost, number of approved change requests, cost of approved change requests, estimated number of interfaces and actual number of interfaces (with separate categories for low, medium and high complexity), estimated number of customizations, actual number of customizations. • Includes reporting estimated cost to complete for current phase and entire project. • Documents change control procedures. • Documents quality assurance process and associated responsibilities • Identify the ALM tool to be used during the project and provide a plan for training ADES staff on the use of the ALM tool.
1.2 Detailed Project Schedule	• Plan documents all tasks, deliverables, dependencies, and resource requirements to complete the project. • Identifies ADES resources required throughout the project.
1.3 ALM Tool Delivery	• Delivery of ALM Tool • Provide ALM Tool User Guide • Provide ALM Tool Training
2. Analysis, Design, Development, and UAT Requirements	
2.1 Process Design	• Document that explains future business processes and how the System must be configured to support those processes. • Documents Configuration Requirements that specify how System must be configured to in-scope processes/business functions. • Meets requirements specified in vendor proposal
2.2 System Design	• Documents each module to be configured • Meets Configuration Requirements specified in Process Design • Enables business subject matter experts to confirm that System will support the in-scope processes/business functions • Documents all customizations, extensions or other work that will be necessary to configure System to support Process Design • Identifies deliverables that will be provided to configure and customize System for and the acceptance criteria for each deliverable
2.3 Data Quality Assessment	• A document that explains the quality of data sources that must be converted in this effort • Includes an itemization of data sources • Includes a quality assessment of each data source

	• Includes Risk Remediation Actions for data sources with data quality issues
2.4 Integration Plan	• Documents all System interfaces, data sources, frequency of updates, expected data volume and technical tools that will be used for data transformation, transport and error recovery. • Documents data sources, data targets and field mappings. • Documents incremental infrastructure requirements. • Documents tasks, deliverables and resources necessary to complete interface development and implementation effort.
2.5 Data Conversion Plan	• A document that shows all data sources, data targets, field mappings and programs that will be used or will need to be written to support data conversion. • Identifies quality requirements for data conversions. • Documents the deliverables necessary to complete conversion effort and the acceptance criteria for each deliverable.
2.6 Testing Plan	• Documents how testing activities will be conducted and how test results will be reported and how test variances will be tracked and reported • Includes plan and deliverables for performance testing, security testing, unit testing, integration testing and user acceptance testing • Performance testing includes testing at maximum anticipated workload • User acceptance testing must include specific tests to confirm the System meets key requirements • Documents the specific deliverables that will be provided for testing and the acceptance criteria for each deliverable
2.7 Training Plan	• Documents training goals/standards and the specific plan for training each end user • Documents tasks and resources necessary to complete training effort • Identifies tools and documentation that will be necessary to support proposed training effort • Documents that deliverables that will be provided for training and the acceptance criteria for each deliverable
2.8 Change Management Plan	• A document that explains the specific plan and deliverables for organizational change management. • Includes a change readiness assessment that identifies change management risks • Identifies the specific actions that will be taken to mitigate organizational change management risks • Clarifies the deliverables that will be provided for change management and the acceptance criteria for each deliverable.
2.9 Communications Plan	• A document that explains the plan for communications with affected stakeholders • Explains the stakeholders and goals for each stakeholder • Identifies the specific messages, delivery methods and timing • Clarifies the deliverables that will be provided and the acceptance criteria for each deliverable.

2.10 Infrastructure Plan	• Identifies changes that may be required to the network to support new traffic patterns (move to SaaS would alter traffic patterns) • A document that details the specific "instances" that will needed for on-premise infrastructure to support production, training, testing and quality assurance and the technical specifications and requirements attendant to each • Includes capacity plan for servers, storage and networks as applicable • Identifies changes to client devices required to support the Solution • Includes configuration management and software change management tools and procedures • Documents the deliverables relative to IT infrastructure and the acceptance criteria for each deliverable
2.11 Support Plan	• Documents that explains how the System will be supported after implementation into production. • Describes the approach to System releases, upgrades and maintenance, and ongoing operations and customer support. • Documents service level objectives for availability, response time, and hours of operation. • Documents procedure for reporting performance against service level objectives. • Documents deliverables (including training) for implementing the plan and the acceptance criteria for each deliverable.
2.12 Release Plan	• A document that explains the how the Solution will be rolled out. • Identifies the specific releases by which the Systems, reports and analytics will be deployed. • Documents the total cost and effort for each release. • Documents how release notes will be provided.
2.13 Transition Plan	• Documents tasks that will be performed to support cutover to production • Includes checklist of items that must be validated or verified prior to executing cutover. Items to be verified include confirming that System is stabilized and not exhibiting unplanned outages • Includes risk assessment prior to cutover that any significant risks, estimated impact and probably of occurrence • Includes developing reporting for benefits realization metrics • Includes documented and approved contingency plans for all significant risks.
2.14 Technical Solution Design	• A description of the hardware and software components, including programming platforms and tools, which shall be used for developing, implementing, enhancing, operating, and maintaining the Solution, and its interfaces to services partners and other organizations with which the ADES has cooperative agreements, Identification of the key technical requirements and constraints on the Solution. • Details about the general System design, System specifications, hardware, software requirements, the database model, the data dictionary, and use cases. • A System Capacity Plan describing the elements of System capacity:

2.15 Updated Project Plan	• Meets acceptance criteria for Project Plan, but is updated to reflect all planning deliverables (test plan, training plan…etc.) • Includes update estimate of cost to completion • Includes updated forecast of the resources ADES will need to provide during System deployment and the required timing
3. Implementation	
3.1 Configuration and Customization	• Includes all deliverables and meets acceptance criteria specified in System Design for the scope of the current release • Configurations have been identified and documented • Enables business subject matter experts to confirm that System will support the in-scope processes/business functions • Customizations or other work that will be necessary to configure System to support Process Design have been completed and tested in Development
3.2 Integration	• Includes all deliverables and meets acceptance criteria specified in Integration Plan or the scope of the current release
3.3 Data Conversion	• All data sources have been mapped to the target database • Source data anomalies have been identified and remediated • Extraction, Transformation and Load of source data to target database has been completed for all source data. • Ensures quality checks have been completed
3.4 Testing	• All testing activities have been completed and functionality verified.
3.5 Training	• All Train-the-Trainer sessions have been conducted • Train-the-Trainer documentation and associated materials have been provided to ADES.
3.6 Transition	• Includes all deliverables and meets all acceptance criteria specified in the Transition Plan.
3.7 Production Acceptance	• Go/No Go Decision prior to “Go Live” • Official acceptance and sign off of the Solution.
3.8 Post-Implementation Assessment	• A document that explains the extent to which the Solution, inclusive of the current release, meets functional, reporting and technical requirements. • Knowledge transfer including technical support and maintenance • Includes reporting of metrics to track benefits realization • Must include evaluation of risks related to next release • Risk assessment must include risk that ADES may not be able to provide sufficient resources to the effort. • Identifies any outstanding issues that must be addressed. • Final Solution Acceptance • Release of 10% Hold Back

15. Payment Unit/ Payment for Services

15.1 The contract type will be Fixed Price, and payments will be associated with the completion of project deliverables. Deliverables-based pricing shall be inclusive of all costs associated with the delivery of the

service, including direct and indirect services, staff time, participation at staffing meetings, travel time, mileage, administrative costs, including insurance and all overhead. ADES shall not pay separately for these or any other costs.

15.2 Payments to the Contractor shall be contingent upon the ADES' written approval and acceptance of each Phase Milestone and/or deliverable. Upon written ADES' acceptance of each Phase Milestone and/or deliverable, the Contractor shall submit a complete and accurate invoice. Multiple Phase Milestones may be performed simultaneously in parallel to other Phase Milestones. In this event, invoicing shall be submitted separately for each Phase Milestone.

15.2.1 Payment Methodology.

The Contractor shall submit Certifications of Phase Milestones after all project deliverables for that Phase Milestone are completed, approved and accepted by the State.

15.2.1.1 The Planning Phase payment shall be made based on the successful completion of all project planning deliverables.

15.2.1.2 The Analysis Phase payment shall be made based on the successful completion of all Project Analysis deliverables, as well as all Phase deliverables completed and approved by the ADES

15.2.1.3 The Design Phase payment shall be made based on the successful completion of all Project Design deliverables, as well as all Phase deliverables completed and approved by the ADES

15.2.1.4 The Development Phase payment shall be made based on the successful completion of all final Acceptance Testing, as well as all Phase deliverables completed and approved by the ADES

15.2.1.5 The Test Phase payment shall be made based on successful completion of Integration Testing of all interfaces, self-service functions, execution of all job processing steps, as well as all Phase deliverables completed and approved by the ADES

15.2.1.6 The Implementation Phase payment shall be made when the System has been fully implemented into the Production environment, capacity and performance measures met, processing and all of the Phase deliverables completed and approved by the ADES

15.2.1.7 The Post-Implementation Phase payment shall be in four (4) increments based on meeting quarterly performance measures for availability, timeliness, and accuracy, as well as all Phase deliverables completed for the quarter and approved by the ADES

15.2.2 Project Phase Milestones.

The Contractor shall meet the specified percentage of the Total System Cost per Phase as provided in the table below:

PROJECT PHASE MILESTONES
1. Planning Phase This is **5**% of Total System Cost

2. Analysis Phase This is **10**% of Total System Cost
3. Design Phase This is **10**% of Total System Cost
4. Development Phase This is **40**% of Total System Cost
5. Test Phase This is **15**% of Total System Cost
6. Implementation Phase This is **10%** of Total System Cost
7. Post-Implementation Phase This is **10%** of Total System Cost

15.3 Ninety (90) percent of Deliverable Payments shall be billable upon Deliverable completion and written acceptance by ADES. The remaining ten (10) percent of Deliverable Payments shall be billable upon the Department's Final Project Acceptance criteria being met.

16. Service Level Agreement (SLA) Requirements

The SLA's contained herein cover the Scope of Work stipulated in this RFP and the resulting Contract. This section contains expectations related to SLA requirements. In addition, this section contains minimum service levels required for the duration of the Contract. ADES may add to or adjust SLAs upon written mutual agreement between ADES and the Contractor during the term of the Contract to align with changes to the business, organizational objectives, and technology. ADES will not hold the Contractor liable for failed SLAs caused by circumstances beyond the Contractor's control. ADES has the discretion to add new Service Level requirements upon mutually written agreement by both parties. The Contractor must consistently meet or exceed performance specifications classified as SLAs. Solution shall perform within the SLA Requirements listed below:

16.1 SLA Definitions

16.1.1 Availability: The percentage of time the production System is fully operational. Availability represents a measure of the fraction of time during a defined period when the service provided is deemed to be equal to or better than the defined Quality of Service (QoS) threshold.

16.1.2 Business Hours [Online Reporting]: Public website that accepts reports of suspicious System activity must be available and able to accept and process reports 24/7/365.

16.1.3 First Contact: Initial contact with a Help Desk agent for an incident or problem report.

16.1.4 Impacted Service: The extent of service disruption, as defined by Severity Levels.

16.1.5 Incident/Issue: A single support issue, typically denoted by a request for service or identification of a problem.

16.1.6 Measurement Interval: The period of time performance will be calculated. For the purpose of this SLA, weekly will refer to a Sunday through Saturday period, monthly will refer to the calendar month in question, and yearly/annually will reflect the 365 days starting with implementation.

16.1.7 Minimum Performance: The lowest level of acceptable service performance before Weighting Factor applies for non-performance during a monthly service schedule.

16.1.8 Outage Duration/Incident/Issue Resolution Time: Outage duration/incident resolution time starts from the time the Contractor or the customer identifies the problem until the problem fix or workaround.

16.1.9 Outage Reporting: Upon detection of a service outage, the Department will notify the designated

16.1.10 Repeat Calls for Service: A recurring failure of the same device, or request for same service, within 30 days.

16.1.11 Reporting Interval: The covered time span of a performance report.

16.2 SLA Severity Levels

16.2.1 Severity Levels define the impact of a problem on the ability of the ADES users to perform their business functions. Severity Level is based on business impact, the number of affected users, and the type of user. Severity levels are outages not caused by Schedules Outages. The Contractor shall perform to the Resolution Times associated with each Severity Level as described in the following sections.

16.3 Severity Levels Definitions:

16.3.1 Level One: There is a complete or severe loss of service in the production System in at least one Critical PUA business function, which the Department reports such loss to Contractor within 1 hour, the PUA business operations cannot reasonably continue or can continue only in a restricted fashion, and service delivery to customers is disrupted.

16.3.2 Level Two: There is a minor loss of service in the production System, and the Department reports such loss to Contractor within one business day. The impact is an inconvenience and Critical PUA business functions are not significantly impaired. The PUA business operations continue with minimal disruption to customers. A workaround, acceptable to ADES, may be employed temporarily to restore service and/or business operations.

16.3.3 Level Three: There is a deviation from the standard of performance that causes no loss of service in the production System, and the Department reports such loss to Contractor within one business day. This may be a minor error, incorrect behavior, or a documentation error that does not impede the operation of a System or affect PUA business operations. Cases are not impacted.

16.4 Critical SLA's and Weighting

Incident Resolution Service Level Agreements

Service Level Type	Service Measure	Response Time	Resolution Time	SLA	Credit	Service Level Start Date
Severity 1	Time to Resolve from First Contact	30 minutes	2 hours	95%	3%	Steady State commencement date

Severity 2	Time to Resolve from First Contact	4 hours	8 hours	95%	2%	Steady State commencement date
Severity 3	Time to Resolve from First Contact	1 business day	2 business days	95%	1%	Steady State commencement date

Availability Service Level Agreements

Service-Level Category	Description	Performance Target	SLA	Credit	Measurement Formula	Measurement Interval
Planned Service window	The number of hours per week that an application must be available. Maximum 168 (7 * 24) Excludes planned maintenance down-time.	168 hours	99.5%	1%	(D * H) - M Where D = number of days per week System must be available H = hours per day when System must be available M = hours of planned downtime permitted for maintenance activities	Weekly
Availability	Percentage of planned service time that application is available	99.5%	99.5%	3%	(Uptime / Planned Service Window) * 100 Where Uptime = hours application is available during the month Planned Service Window = hours application is targeted to be available during the month	Monthly
Response Time of the Application	Effective response time for users accessing the application is Sun-Sat, 00:00-24:00 CET (7 x 24)	3 seconds (Mean), 7 seconds (Max)	99.5%	3%	Complex Response time of the application for the user to include all functions of the application at the server, but excluding any latency caused by a failed or low-	Daily

					performance network. This service level does not apply to complex transactions such as large reports, queries and searches	

16.5 Failure to Meet Service Levels

16.5.1 Fee Reductions: The apportionment of monthly at risk fee reductions amount for each Contract Month for failure to meet agreed SLAs is 13 percent (%) of the then applicable Monthly Services Charge. The Fee Reductions for Contractor failure to achieve the SLAs are set forth in Section 16.4. The non-attainment of SLAs by Contractor will result in a reduction of fees for each affected SLA by the percentage amount shown in Section 16.4. Fee reductions are capped on a monthly basis, not to exceed the total Monthly At-Risk Amount at any point during the Contract Year. The ADES has the discretion to change the credit percentage upon mutual written agreement.

16.5.2 ADES and Contractor acknowledge that all service levels shall be set to meet the organization's minimum business requirements. ADES has identified the critical SLs and have outlined the corresponding fee reductions as indicated in Section 16.5.

16.5.3 Any events that do not match the characteristics shown in Section 16.5 will be classified Severity 4. Contractor will respond to Severity 4 events as workloads permit. This service level applies to incidents on the ADES' production System. This service level does not cover legacy data and interface issues. All times for Severity 1 issues refer to clock hours. All other times refer to support hours and do not include time that the issue is in ADES' queue.

16.5.4 Failure to resubmit a Deliverable within five (5) days of rejection and/or make the changes requested by ADES will result in ADES retaining five (5) percent (%) of the invoice value of the Phased Milestone Deliverable in addition to any other amounts withheld under other provisions of this contract. This additional deliverable retainage will be released after successful completion of the DDI project and implementation of the System.

17. Code Escrow

17.1 Prior to full implementation, the Contractor shall enter into an escrow agreement (the "Escrow Agreement") in a form reasonably acceptable to ADES and a mutually acceptable third-party escrow agent (the "Escrow Agent"). The Escrow Agreement shall provide for the establishment and maintenance of a Source Code Escrow Package. In addition, the Escrow Agreement shall set forth the rights and obligations of ADES regarding the released escrow materials, as set forth below. The "Source Code Escrow Package" is defined as the source code.

17.1.1 Escrow of Code and Documentation

17.1.1.1 Contractor shall deliver the Source Code Escrow Package to the Escrow Agent pursuant to the Escrow Agreement at each of the following events:

17.1.1.1.1 Upon Acceptance of the implemented System by ADES.

17.1.1.1.2 Upon the release of any major upgrade to the system, but in any case, no less than twelve (12) months from the last Source Code Escrow Package delivery.

17.1.1.1.3 Contractor will provide written notice to ADES within ten (10) business days after each delivery of a Source Code Escrow Package to the Escrow Agent. The Escrow Agreement shall require the Escrow Agent to provide verification to ADES. At ADES's sole cost and expense, may, either itself or through a third-party contractor, verify delivery of the Source Code Escrow Package with the Escrow Agent. The Escrow Agreement shall provide that, upon thirty (30) days written notice to the Escrow

17.1.1.1.4 ADES at its sole cost and expense, shall have the right to conduct, through a means acceptable to ADES any testing necessary to verify that all necessary elements of System and Documentation related to the System as a whole or to ADES's customizations have been placed in escrow as part of the applicable Source Code Escrow Package.

17.1.2 Escrow Release Events

17.1.2.1 The Escrow Agreement will allow for the release of all material in the escrow account upon any of the following (each, a "Release Condition"):

17.1.2.1.1 The institution of proceedings under any bankruptcy, insolvency, reorganization or similar law, by or against Contractor, or the appointment of a receiver or similar officer for Contractor, which is not vacated or fully stayed within sixty (60) days after the institution or occurrence thereof; or

17.1.2.1.2 Any termination of the Agreement by ADES for Contractor's material breach pursuant to Section 52 of the Agreement

17.1.3 Escrow Agreement Release Procedures

17.1.3.1 Upon the occurrence of the Release Condition, ADES may request the release of the complete Source Code Escrow Package pursuant to the terms set forth in the Escrow Agreement. Upon any release of the Source Code Escrow Package from escrow, ADES may use the Source Code Escrow Package for the sole purpose of operating (on its own or using a third-party provider) an "instance" of the System.

17.1.3.2 ADES will not provide or make available the Source Code Escrow Package (or any individual element of the Source Code Escrow Package) to any third party except with regard to third party service providers engaged to maintain the System, provided that such service providers are subject to confidentiality restrictions in compliance with those set forth in the Agreement. In addition, the use of the released Source Code Escrow Package, whether by ADES or any third- party service provider, shall be subject to the applicable license restrictions set forth in the Escrow Agreement.

17.1.3.3 Any modifications to any released escrow materials that are made by ADES in accordance with the terms of the Escrow Agreement shall be subject to the same restrictions applicable to the released Source Code Escrow Package. For the avoidance of doubt, the Source Code Escrow Package shall contain, without limitation, the following Component Type Artifacts:

17.1.3.3.1 Program Libraries

17.1.3.3.1.1 Base-lined application in production (Presentation, Application, Business, Infrastructure, Integration layers)

17.1.3.3.1.2 Interfaces and Adaptors

17.1.3.3.1.3 Images and Content

17.1.3.3.1.4 Correspondences and Notices

17.1.3.3.1.5 Reports

17.1.3.3.1.6 Drools/BRMS BPMN files and executables

17.1.3.3.2 Data Services

17.1.3.3.2.1 Data (UAT prior to production implementation/prod after production implementation)

17.1.3.3.2.1.1 Database table creation scripts

17.1.3.3.2.1.2 Related meta-data

17.1.3.3.2.1.3 Database views

17.1.3.3.2.1.4 Stored Procedures

17.1.3.3.2.1.5 Database triggers

17.1.3.3.2.2 Third Party application Data (e.g., Business Rules Engine, Document Management System)

17.1.3.3.2.2.1 Data extract (UAT prior to production implementation/ prod after production implementation)

17.1.3.3.2.2.2 Meta-data

17.1.3.3.3 Business Requirements Artifacts

17.1.3.3.3.1 Use Cases

17.1.3.3.3.2 Extension Documents

17.1.3.3.3.3 Story Boards

17.1.3.3.3.4 Supplement Specifications

17.1.3.3.4 Technical Artifacts

17.1.3.3.4.1 Physical Architecture

17.1.3.3.4.2 Environment Specification (Presentation, Application, Business, Infrastructure, Integration layers)

17.1.3.3.4.3 Configuration files

17.1.3.3.4.4 Settings

17.1.3.3.4.5 File and Folder structures

17.1.3.3.4.6 Technical specifications (including versions, compatibility with other tools and environments)

17.1.3.3.4.7 Deployment Guide (including material (includes Deployment Descriptors, EAR files) and instructions to export, assemble and proper functioning of the System)

17.1.3.3.4.8 Build Scripts

17.1.3.3.4.9 Security Specifications

17.1.3.3.4.10 Hardware and Software details

17.1.3.3.5 Training Artifacts

17.1.3.3.5.1 Training Manuals

17.1.3.3.5.2 Admin Manual

17.1.3.3.5.3 Known Errors Data Base

17.1.3.3.6 Testing

17.1.3.3.6.1 Environment Test Scripts

17.1.3.3.6.2 Component Type Artifacts

17.1.3.3.6.3 Defects Database

17.1.3.3.6.4 Handover Plan

17.1.3.3.7 Change Management Artifacts

17.1.3.3.7.1 Change Log

17.1.3.3.7.2 Release History Contractor

18. Reporting Requirements

18.1 Weekly Project Status Reports

The Contractor shall provide a written weekly Project Status Report delivered to ADES by the date and time mutually agreed upon by the Contractor and ADES during project initiation. Weekly project status reports must include, but not be limited to, the following:

18.1.1 Overall completion status of the project in terms of the ADES-accepted Project\ Schedule;
18.1.2 Accomplishments during the reporting period;
18.1.3 Activities in progress, and percentage complete;
18.1.4 Planned activities for the next reporting period;
18.1.5 Pending decisions and open action items;
18.1.6 Issues encountered and proposed/actual resolutions;
18.1.7 Active risks and proposed mitigation strategies;
18.1.8 Transaction time mean and max response time.

18.2 Defect Remediation Report

During UAT, and Implementation the Contractor is required to provide a weekly Defect Remediation Report as an addendum to the Weekly Status Report. This document is not a payment Deliverable and may be submitted as an attachment to the weekly status report.

18.3 Steering Committee Monthly Project Status Updates

The Contractor must provide a monthly Project Status Update for the UI Modernization, delivered to ADES by the date and time mutually agreed upon by the Contractor and ADES during project initiation. The primary purpose of the meeting is to review project progress and any issues affecting the project scope, schedule, budget, quality, and SLA's to allow the SC to advise the project team on key project decisions. The Contractor must prepare a presentation in MS PowerPoint (or similar format) and supporting materials (as necessary) and must distribute all materials to attendees at least two (2) days prior to the meeting. The presentation, supporting documents and teleconferencing software used to conduct the meeting must be ADA Section 508 compliant.

19. Notices and Correspondence

19.1 Notices, correspondence, reports and invoices from the Contractor to ADES should be sent to:

19.2 Reports designated as milestone payment Deliverables are stated in Section 8.

19.3 The Contractor shall submit the following reports:

19.3.1 Financial Reports: Invoices in the format required by the Department shall be accurately prepared and submitted, via email to Mark Monroe at mmonroe@azdes.gov.

19.3.2 All reports and deliverables shall be submitted, via email to Mark Monroe at mmonroe@azdes.gov.

19.3.3 All notices to ADES regarding this agreement shall be sent to:

Arizona Department of Economic Security
ATTN: DERS Contracts
1789 W. Jefferson, MD 53C1
Phoenix, Arizona 85007
email: alexisramirez@azdes.gov

19.4 Current Certificates of Insurance, as required in the ADES' Special Terms and Conditions, shall be submitted, via email no later than ten (10) days subsequent to the expiration of the existing Certificate of Insurance to:

Arizona Department of Economic Security
ATTN: DERS Contracts
1789 W. Jefferson, MD 53C1
Phoenix, Arizona 85007
email: mmonroe@azdes.gov

ADES Special Terms and Conditions	
Solicitation No.: **BPM003908**	
Description: UI Benefits Modernization	

ADES Special Terms and Conditions

1. Definition of Terms

In addition to the Uniform Terms and Conditions, Section 1, the following shall apply:

1.1 **"***Award Date***"** The date the Contract is executed by the Department. This may or may not be the same date as the "Effective Date" which is the date specified on the Offer and Award or Signature Page.

1.2 "*Client Specific Referral*" Services or activities for which a referral has been made for a client by an authorized representative of the Department.

1.3 **"***Department***"** The Arizona Department of Economic Security (ADES), unless otherwise indicated.

1.4 **"***Effective Date***"** The date the Contractor is to start delivering services. The Effective Date is specified on the Offer and Award or Signature Page.

1.5 **"***Equipment***"** All vehicles, furniture, machinery, electronic data processing (EDP) equipment, software and all other equipment costing $5,000.00 or more, including all normal and necessary expenses incurred to make the equipment ready for its intended use (e.g., taxes, freight, installation, assembly and testing charges, etc.), and with a useful life of greater than one (1) year. Equipment as used herein does not include real property (e.g., land, building, structures, or facilities' improvements).

1.6 **"***May***"** Indicates something that is not mandatory but permissible.

1.7 "*Purchase Order*" also known as "Purchase Authorization" or "Release Order" is an authorized document to procure goods or services.

1.8 **"***Shall, Must***"** Indicates a mandatory requirement. Failure to meet these mandatory requirements may result in the rejection of a proposal as non-responsive.

1.9 **"***Should***"** Indicates something that is recommended but not mandatory. If the Contractor fails to provide recommended information, the State may, at its sole option, ask the Contractor to provide the information.

2. Acceptance

Determination of the acceptability of services shall be made by the sole judgment of the State. Acceptance shall be in writing, verbal acceptance will not be allowed. Services shall be completed in accordance with the Scope of Work, agreed to and accepted schedules, plans, and agreed to performance standards. Acceptance shall be one hundred percent (100%) functionality, which will be reasonably determined by the State. Acceptance criteria shall include, but not be limited to conformity to the scope of work, quality of workmanship and successfully performing all required Tasks. Nonconformance to any of the stated acceptance and performance criteria of both services and or products as required shall result in a delay for payment. Payment shall not be made until nonconformance to the criteria is corrected as determined by the State.

3. Advertising, Publishing and Promotion of Contract

In addition to the Uniform Terms and Conditions, Section 3.6, the following shall apply:

3.1 The Contractor shall provide to the Department for review and approval all reports or publications (written, visual or sound) which are funded or partially funded under this Contract, a minimum of fifteen (15) calendar days prior to public release. All reports and publications whether written, visual or verbal shall contain the following statement:

3.1.1 "This program was funded through a contract with the Arizona Department of Economic Security. Points of view are those of the author and do not necessarily represent the official position or policies of the Department."

4. Assignment

In addition to the Uniform Terms and Conditions, Section 5.3, the following shall apply:

4.1 **Merger, Reorganization or Change of Ownership**

4.1.1 A proposed merger, reorganization or change in ownership of the Contractor shall require prior written approval of the Department and may require an assignment of the Contract documented by a Contract Amendment. The Department may terminate this Contract pursuant to the Termination clauses of the Contract, if the Contractor does not obtain prior written approval or the Department determines that the change in ownership is not in the best interest of the State.

4.1.2 This Contract is voidable and subject to immediate cancellation by the Department upon the Contractor becoming insolvent or filing proceedings in bankruptcy or reorganization under the United States Code, or assigning any right(s) or obligations under this Contract without the prior written consent of the Department.

4.1.3 The Contractor shall submit a detailed merger, reorganization and/or transition of ownership plan to the Department, for review at least sixty (60) days prior to the effective date of the proposed change.

5. Audit

In addition to the Uniform Terms and Conditions, Section 3.3, the following shall apply:

5.1 In compliance with the Federal Single Audit Act (31 U.S.C. § 7501-7506 as may be amended), Contractors designated as sub-recipients shall comply with the Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards as prescribed in 2 C.F.R. § 200.

5.2 Audits of non-profit corporations receiving Federal or State monies are required pursuant to Federal or State law and shall be conducted as provided in 31 U.S.C. § 7501-7506, and A.R.S. § 35-181.03, as may be amended, and any other applicable statutes, rules, regulations, and standards.

5.3 In accordance with A.R.S. § 35-214, the Contractor shall retain and shall contractually require each subcontractor to retain all data, books and other records ("records") relating to this Contract for a period of five (5) years after completion of the Contract, except if subject to Health Insurance Portability & Accountability Act which is six (6) years. All records shall be subject to inspection and audit by the State at reasonable times. Upon request, the Contractor shall produce the original of any or all such records.

6. Certification of Cost or Pricing Data

By submittal of the offer, the Contractor is certifying that, to the best of the Contractor's knowledge and belief, any cost or pricing data submitted is accurate, complete and current as of the date submitted or other mutually agreed upon date. Furthermore, the price to the State shall be adjusted to exclude any significant amounts by which the State finds the price was increased because the Contractor-furnished cost or pricing data was inaccurate, incomplete or not current as of the date of certification. Such adjustment by the State may include overhead, profit or fees. The certifying of cost or pricing data does not apply when contract rates are set by law or regulation.

7. Certification Regarding Lobbying

The Contractor agrees by submittal of the Certification Regarding Lobbying form, in compliance with 49 C.F.R. Part 20.

8. Code of Conduct

The Contractor shall avoid any action that might create or result in the appearance of having:

8.1 Inappropriate use or divulging of information gathered or discovered pursuant to the performance of its duties under the contract;

8.2 Acted on behalf of the State without appropriate authorization;

8.3 Provided favorable or unfavorable treatment to anyone;

8.4 Made a decision on behalf of the State that exceeded its authority, could result in partiality, or have a political consequence for the State;

8.5 Misrepresent or otherwise impeded the efficiency, authority, actions, policies, or adversely affect the confidence of the public or integrity of the State; or

8.6 Loss of impartiality when advising the State.

9. Compliance with Applicable Laws

In addition to the Uniform Terms and Conditions, Section 7.6, the following shall apply:

9.1 In accordance with A.R.S. § 36-557 as may be amended (Purchase of community developmental disabilities services; application; contracts; limitation), as applicable, all recipients of contract services shall have all of the same specified rights as they would have if enrolled in a service program operated directly by the State.

9.2 The Contractor shall comply with the requirements related to reporting to a peace officer or child protective services incidents of crimes against children as specified in A.R.S. §13-3620 as may be amended.

9.3 The Contractor shall comply with P.L. 101-121, Section 319 (31 U.S.C. section 1352) as may be amended, and 29 C.F.R. Part 93 as may be amended which prohibit the use of federal funds for lobbying and which state, in part: Except with the express authorization of Congress, the Contractor, its employees or agents, shall not utilize any federal funds under the terms of this contract to solicit or influence, or to attempt to solicit or influence, directly or indirectly, any member of Congress regarding pending or prospective legislation. Indian tribes, tribal organizations and any other Indian organizations are exempt from these lobbying restrictions with respect to expenditures that are specifically permitted by other federal law.

9.4 The Contractor shall comply with all applicable state and federal statutes and regulations. This shall include A.R.S. § 23-722.01 as may be amended relating to new hire reporting, A.R.S. § 23-722.02 as may be amended relating to wage assignment orders to provide child support, and A.R.S. § 25-535 as may be amended relating to administrative or court-ordered health insurance coverage for children.

9.5 The Contractor shall comply with the Administrative Simplification rules in Title II of the Health Insurance Portability and Accountability Act of 1996 (Public Law 104-191) and all Federal regulations that are applicable to the operations of the Contractor by the dates required by the implementing Federal regulations as well as all subsequent requirements and regulations as published.

10. Confidentiality

10.1 The Contractor shall observe and abide by all applicable State and federal statutes, rules and regulations regarding the use or disclosure of information including, but not limited to, information concerning applicants for and recipients of contract services. To the extent permitted by law, the Contractor shall release information to the Department and to the Attorney General's Office as required by the terms of this Contract, by law or upon their request.

10.2 The Contractor shall comply with the requirements of Arizona Address Confidentiality Program, A.R.S. §41-161 et. seq. The Arizona Department of Economic Security will advise the Contractor as to applicable policies and procedures the Arizona Department of Economic Security has adopted for such compliance.

11. Contract Term and Option to Extend

11.1 The term of the resultant initial Contract shall be effective the date specified on the Offer and Award or Signature page and shall remain in effect for a period of up to three (3) years or as otherwise specified, unless terminated, cancelled, or extended as otherwise provided herein.

11.2 The State has no obligation to extend or renew this Contract. However, the State shall have the right, at its sole option, to renew the Contract in accordance with any extensions the State may receive for supplemental periods up to a maximum Contract term of up to ten (10) years. In the event that the State exercises such right, all terms, conditions and provisions of the original Contract shall remain the same and apply during the renewal period with the exception of price. The Contractor shall agree that the price stated in the original Contract shall apply unless otherwise allowed.

11.3 Any extension or renewal must be made prior to the end of the Contract period specified in this Contract.

11.4 The Contractor shall not provide services prior to Contract term commencing or after the end date of the Contract. There shall be no billable activity outside of the Contract effective dates.

12. Cooperation

The Department may undertake or award other contracts for additional work related to the work performed by the Contractor, and the Contractor shall fully cooperate with such other Contractors and State employees, and carefully fit its own work to such other Contractors' work. The Contractor shall not commit or permit any act which will interfere with the performance of work by any other Contractor or by State employees. The Contractor shall cooperate as the State deems necessary, with the transfer of work, services, case records and files performed or prepared by the Contractor to other Contractor(s).

13. Cooperation with the Department's Investigation

All contractors, providers, vendors and volunteers are to cooperate fully and truthfully with any ADES investigation, including but not limited to an Investigation by Division or Internal Affairs. Failure to adhere to this policy may result in ADES taking whatever actions it deems appropriate, from removal of the subject and or witness from working with ADES clients up to terminating the Contract with ADES.

14. Data Sharing Agreement

14.1 When determined by the Department that sharing of confidential data will occur with the Contractor, the Contractor shall complete the ADES Data Sharing Request Agreement and submit the completed Agreement to the ADES Program Designated Staff prior to any work commencing or data shared. A separate Data Sharing Request Agreement shall be required between the Contractor and each DES Program sharing confidential data.

14.2 The Data Sharing Request Agreement is located at: http://des.az.gov/documents-center. In the "Search" field type "Data Sharing" and click "Apply". The search will produce the following results:

14.2.1 Document Number J-119-Single (For requests involving a single division or program).

15. Evaluation

15.1 The Department may evaluate, and the Contractor shall cooperate in the evaluation of, contract services. Evaluation may assess the quality and impact of contract services, either in isolation or in comparison with other similar services, and assess the Contractor's progress and/or success in achieving the goals, objectives and deliverables set forth in this Contract.

15.2 As requested by the Department, the Contractor shall participate in third party evaluations relative to Contract impact in support of Department goals.

16. E-Verify

In addition to the Uniform Terms and Conditions, Section 3.10, the following shall apply:

16.1 The Contractor warrants compliance with all Federal immigration laws and regulations relating to employees and warrants its compliance with Section A.R.S. § 23-214, A, as may be amended. (That subsection reads: "After December 31, 2007, every employer, after hiring an employee, shall verify the employment eligibility of the employee through the e-verify program.")

16.2 A breach of a warrant regarding compliance with immigration laws and regulations shall be deemed a material breach of the Contract and the Contractor may be subject to penalties up to and including termination of the Contract.

16.3 Failure to comply with a State audit process to randomly verify the employment records of contractors and subcontractors shall be deemed a material breach of the Contract and the Contractor may be subject to penalties up to and including termination of the Contract.

16.4 The Department retains the legal right to inspect the papers of any employee who works on the Contract to ensure that the Contractor or subcontractor is complying with the warranty above.

17. Federal Immigration and Nationality Act

In addition to the Uniform Terms and Conditions, Section 3.9, the following shall apply:

17.1 By entering into the Contract, the Contractor warrants compliance with the Federal Immigration and Nationality Act (FINA) and all other Federal immigration laws and regulations related to the immigration status of its employees. The Contractor shall obtain statements from its subcontractors certifying compliance and shall furnish the statements to the Procurement Officer upon request. These warranties shall remain in effect through the term of the Contract. The Contractor and its subcontractors shall also maintain Employment Eligibility Verification forms (I-9) as required by the U.S. Department of Labor's Immigration and Control Act, for all employees performing work under the Contract. I-9 forms are available for download at USCIS.GOV.

17.2 The State may request verification of compliance for any Contractor or subcontractor performing work under the Contract.

18. Inclusive Contractor

Contractor is encouraged to make every effort to utilize subcontractors that are small, women-owned and/or minority owned business enterprises. This could include subcontractors for a percentage of the administrative or direct service being proposed. Contractor who is committing a portion of its work to such subcontractors shall do so by identifying the type of service and work to be performed by providing detail concerning the Contractor's utilization of small, women-owned and/or minority business enterprises. Emphasis should be placed on specific areas that are subcontracted and percentage of contract.

19. Indemnification and Insurance

19.1 **Indemnification Clause**

19.1.1 To the fullest extent permitted by law, Contractor shall defend, indemnify, and hold harmless the State of Arizona, and its departments, agencies, boards, commissions, universities, officers, officials, agents, and employees (hereinafter referred to as "Indemnitee") from and against any and all claims, actions, liabilities, damages, losses, or expenses (including court costs, attorneys' fees, and costs of claim processing, investigation and litigation) (hereinafter referred to as "Claims") for bodily injury or personal injury (including death), or loss or damage to tangible or intangible property caused, or alleged to be caused, in whole or in part, by the negligent or willful acts or omissions of Contractor or any of its owners, officers, directors, agents, employees or subcontractors. This indemnity includes any claim or amount arising out of, or recovered under, the Workers' Compensation Law or arising out of the failure of such Contractor to conform to any federal, state, or local law, statute, ordinance, rule, regulation, or court decree. It is the specific intention of the parties that the Indemnitee shall, in all instances, except for Claims arising solely from the negligent or willful acts or omissions of the Indemnitee, be indemnified by Contractor from and against any and all claims. It is agreed that Contractor will be responsible for primary loss investigation, defense, and judgment costs where this indemnification is applicable. In consideration of the award of this contract, the Contractor agrees to waive all rights of subrogation against the State of Arizona, its officers, officials, agents, and employees for losses arising from the work performed by the Contractor for the State of Arizona.

19.1.2 This indemnity shall not apply if the contractor or sub-contractor(s) is/are an agency, board, commission or university of the State of Arizona.

19.2 **Insurance Requirements**

19.2.1 Contractor and subcontractors shall procure and maintain, until all of their obligations have been discharged, including any warranty periods under this Contract, insurance against claims for injury to persons or damage to property arising from, or in connection with, the performance of the work hereunder by the Contractor, its agents, representatives, employees or subcontractors.

19.2.2 The Insurance Requirements herein are minimum requirements for this Contract and in no way limit the indemnity covenants contained in this Contract. The State of Arizona in no way warrants that the minimum limits contained herein are sufficient to protect the Contractor from liabilities that arise out of the performance of the work under this Contract by the Contractor, its agents, representatives, employees or subcontractors, and the Contractor is free to purchase additional insurance.

19.3 **Minimum Scope and Limits of Insurance**

Contractor shall provide coverage with limits of liability not less than those stated below.

19.3.1 Commercial General Liability (CGL) – Occurrence Form
Policy shall include bodily injury, property damage, and broad form contractual liability coverage.

● General Aggregate	$2,000,000
● Products – Completed Operations Aggregate	$1,000,000
● Personal and Advertising Injury	$1,000,000
● Damage to Rented Premises	$50,000
● Each Occurrence	$1,000,000

a. The policy shall be endorsed, as required by this written agreement, to include the State of Arizona, and its departments, agencies, boards, commissions, universities, officers, officials, agents, and employees as additional insureds with respect to liability arising out of the activities performed by or on behalf of the Contractor.

b. Policy shall contain a waiver of subrogation endorsement, as required by this written agreement, in favor of the State of Arizona, and its departments, agencies, boards, commissions, universities, officers, officials, agents, and employees for losses arising from work performed by or on behalf of the Contractor.

19.3.2 Business Automobile Liability

Bodily Injury and Property Damage for any owned, hired, and/or non-owned automobiles used in the performance of this Contract.

● Combined Single Limit (CSL)	$1,000,000

a. Policy shall be endorsed, as required by this written agreement, to include the State of Arizona, and its departments, agencies, boards, commissions, universities, officers, officials, agents, and employees as additional insureds with respect to liability arising out of the activities performed by, or on behalf of, the Contractor involving automobiles owned, hired and/or non-owned by the Contractor.

b. Policy shall contain a waiver of subrogation endorsement as required by this written agreement in favor of the State of Arizona, and its departments, agencies, boards, commissions, universities, officers, officials, agents, and employees for losses arising from work performed by or on behalf of the Contractor.

19.3.3 Workers' Compensation and Employers' Liability

- Workers' Compensation — Statutory
- Employers' Liability
  - Each Accident — $1,000,000
  - Disease – Each Employee — $1,000,000
  - Disease – Policy Limit — $1,000,000

a. Policy shall contain a waiver of subrogation endorsement, as required by this written agreement, in favor of the State of Arizona, and its departments, agencies, boards, commissions, universities, officers, officials, agents, and employees for losses arising from work performed by or on behalf of the Contractor.

b. This requirement shall not apply to each Contractor or subcontractor that is exempt under A.R.S. § 23-901, and when such Contractor or subcontractor executes the appropriate waiver form (Sole Proprietor or Independent Contractor).

19.3.4 Technology Errors & Omissions Insurance

- Each Claim — $10,000,000
- Annual Aggregate — $10,000,000

a. Such insurance shall cover any, and all errors, omissions, or negligent acts in the delivery of products, services, and/or licensed programs under this contract.

b. Coverage shall include copyright infringement, infringement of trade dress, domain name, title or slogan.

c. In the event that the Tech E&O insurance required by this Contract is written on a claims-made basis, Contractor warrants that any retroactive date under the policy shall precede the effective date of this Contract and, either continuous coverage will be maintained, or an extended discovery period will be exercised for a period of two (2) years, beginning at the time work under this Contract is completed.

19.3.5 Network Security (Cyber) and Privacy Liability

- Each Claim — $5,000,000
- Annual Aggregate — $5,000,000

a. Such insurance shall include, but not be limited to, coverage for third party claims and losses with respect to network risks (such as data breaches, unauthorized access or use, ID theft, theft of data) and invasion of privacy regardless of the type of media involved in the loss of private information, crisis management and identity theft response costs. This should also include breach notification costs, credit remediation and credit monitoring, defense and claims expenses, regulatory defense costs plus fines and penalties, cyber extortion, computer program and electronic data restoration expenses coverage (data

asset protection), network business interruption, computer fraud coverage, and funds transfer loss.

b. In the event that the Network Security and Privacy Liability insurance required by this Contract is written on a claims-made basis, Contractor warrants that any retroactive date under the policy shall precede the effective date of this Contract and, either continuous coverage will be maintained, or an extended discovery period will be exercised for a period of two (2) years beginning at the time work under this Contract is completed.

c. The policy shall be endorsed, as required by this written agreement, to include the State of Arizona, and its departments, agencies, boards, commissions, universities, officers, officials, agents, and employees as additional insureds with respect to vicarious liability of the insured arising out of the activities performed by or on behalf of the Contractor.

d. Policy shall contain a waiver of subrogation endorsement, as required by this written agreement, in favor of the State of Arizona, and its departments, agencies, boards, commissions, universities, officers, officials, agents, and employees for losses arising from work performed by or on behalf of the Contractor.

19.4 **Additional Insurance Requirements**

The policies shall include, or be endorsed to include, as required by this written agreement, the following provisions:

19.4.1 The Contractor's policies, as applicable, shall stipulate that the insurance afforded the Contractor shall be primary and that any insurance carried by the Department, its agents, officials, employees or the State of Arizona shall be excess and not contributory insurance, as provided by A.R.S. § 41-621 (E).

19.4.2 Insurance provided by the Contractor shall not limit the Contractor's liability assumed under the indemnification provisions of this Contract.

19.5 **Notice of Cancellation**

Applicable to all insurance policies required within the Insurance Requirements of this Contract, Contractor's insurance shall not be permitted to expire, be suspended, be canceled, or be materially changed for any **reason** without thirty (30) days prior written notice to the State of Arizona. Within two (2) business days of receipt, Contractor must provide notice to the State of Arizona if they receive notice of a policy that has been or will be suspended, canceled, materially changed for any reason, has expired, or will be expiring. Such notice shall be sent directly to the Department and shall be mailed, emailed, hand delivered or sent by facsimile transmission to (State Representative's Name, Address & Fax Number).

19.6 **Acceptability of Insurers**

Contractor's insurance shall be placed with companies licensed in the State of Arizona or hold approved non-admitted status on the Arizona Department of Insurance List of Qualified Unauthorized Insurers. Insurers shall have an "A.M. Best" rating of not less than A- VII. The State of Arizona in no way warrants that the above-required minimum insurer rating is sufficient to protect the Contractor from potential insurer insolvency.

19.7 **Verification of Coverage**

Contractor shall furnish the State of Arizona with certificates of insurance (valid ACORD form or equivalent approved by the State of Arizona) evidencing that Contractor has the insurance as required by this Contract. An authorized representative of the insurer shall sign the certificates.

19.7.1 All such certificates of insurance and policy endorsements must be received by the State before work commences. The State's receipt of any certificates of insurance or policy endorsements that do not comply with this written agreement shall not waive or otherwise affect the requirements of this agreement.

19.7.2 Each insurance policy required by this Contract must be in effect at, or prior to, commencement of work under this Contract. Failure to maintain the insurance policies as required by this Contract, or to provide evidence of renewal, is a material breach of contract.

19.7.3 All certificates required by this Contract shall be sent directly to the Department. The State of Arizona project/contract number and project description shall be noted on the certificate of insurance. The State of Arizona reserves the right to require complete copies of all insurance policies required by this Contract at any time.

19.8 **Subcontractors**

Contractor's certificate(s) shall include all subcontractors as insureds under its policies or Contractor shall be responsible for ensuring and/or verifying that all subcontractors have valid and collectable insurance as evidenced by the certificates of insurance and endorsements for each subcontractor. All coverages for subcontractors shall be subject to the minimum Insurance Requirements identified above. The Department reserves the right to require, at any time throughout the life of this contract, proof from the Contractor that its subcontractors have the required coverage.

19.9 **Approval and Modifications**

The Contracting Agency, in consultation with State Risk, reserves the right to review or make modifications to the insurance limits, required coverages, or endorsements throughout the life of this contract, as deemed necessary. Such action will not require a formal Contract Amendment but may be made by administrative action.

19.10 **Exceptions**

In the event the Contractor or subcontractor(s) is/are a public entity, then the Insurance Requirements shall not apply. Such public entity shall provide a certificate of self-insurance. If the Contractor or subcontractor(s) is/are a State of Arizona agency, board, commission, or university, none of the above shall apply.

20. IT 508 Compliance

Unless specifically authorized in the Contract, any electronic or information technology offered to the State of Arizona under this Contract shall comply with A.R.S. 41-3531 and 3532 as may be amended and Section 508 of the Rehabilitation Act of 1973, which requires that employees and members of the public shall have access to and use of information technology that is comparable to the access and use by employees and members of the public who are not individuals with disabilities.

21. Levels of Service

21.1 If the Contractor determines service recipient eligibility, the Contractor shall maintain and regulate the units or services set forth in this Contract to ensure continuity and availability of services to eligible persons during the term of this Contract and during any transition to a subsequent contractor.

21.2 The Department makes no guarantee to purchase specific quantities of goods or services, or to refer eligible persons as may be identified or specified herein. Further, it is understood and agreed that this Contract is for the sole convenience of the Department and that the Department reserves the right to obtain like goods or services from other sources when such need is determined necessary by the Department.

21.3 Any administration within the Department may obtain services under this Contract.

21.4 Contract services may be moved or expanded to other site locations within the geographic area awarded only by a written Contract Amendment.

21.5 The Department makes no guarantee to purchase all of the service units authorized or to provide any number of referrals. If quantities of units are specified, they are estimates only and the Department may decrease and/or increase them by providing written notice to the Contractor.

21.6 When the method of compensation for the service is Fixed Price with Price Adjustment, the Contract may be amended, by mutual agreement, to purchase additional services by increasing the contract itemized service budget and/or budget summary.

22. Limited English Proficiency

The Contractor shall ensure that all services provided are culturally relevant and linguistically appropriate to the population to be served following the ADES Policy, Limited English Proficiency, DES 1-01-34. To ensure compliance, the policy may be obtained at the following location: https://des.az.gov/digital-library/limited-english-proficiency.

23. Non-Availability of Funds

In accordance with A.R.S. § 35-154, every payment obligation of the State under the Contract is conditioned upon the availability of funds appropriated or allocated for payment of such obligation. If funds are not allocated and available for the continuance of this Contract, this Contract may be terminated by the State at the end of the period for which funds are available. The Director of the Department shall have the sole and unfettered discretion in determining the availability of funds. No liability shall accrue to the State in the event this provision is exercised, and the State shall not be obligated or liable for any future payments or for any damages as a result of termination under this paragraph.

24. Non-Discrimination

In addition to the Uniform Terms and Conditions, Section 3.2, the following shall apply:

24.1 Unless exempt under Federal law the Contractor shall comply with Title VII of the Civil Rights Act of 1964 as amended. Contractor shall comply with the Age Discrimination in Employment Act. The Contractor shall comply with the Rehabilitation Act of 1973, as amended, which prohibits discrimination in the employment or advancement in employment of qualified persons because of physical or mental handicap. The Contractor shall comply with the requirements of the Fair Labor Standards Act of 1938, as amended.

24.2 The Contractor shall comply with Title VI of the Civil Rights Act of 1964, which prohibits the denial of benefits of or participation in contract services on the basis of race, color, or national origin. The Contractor shall comply with the requirements of Section 504 of the Rehabilitation Act of 1973, as amended, which prohibits discrimination on the basis of disability in delivering contract services; and with Title II of the Americans with Disabilities Act, and the Arizona Disability Act, which prohibit discrimination on the basis of physical or mental disabilities in the provision of contract programs, services and activities.

24.3 The following shall be included in all publications, forms, flyers, etc. that are distributed to recipients of contract services:

24.3.1 "Under Titles VI and VII of the Civil Rights Act of 1964 (Title VI and VII) and the Americans with Disabilities Act of 1990 (ADA) Section 504 of the Rehabilitation Act of 1973 and the Age Discrimination Act of 1975, (**insert Contractor name here**) prohibits discrimination in admissions, programs, services, activities or employment based on race, color, religion, sex, national origin, age, and disability. The (**insert Contractor name here**) must make a reasonable accommodation to allow a person with a disability to take part in a program, service, or activity. Auxiliary aids and services are available upon request to individuals with disabilities. For example, this means that if necessary, the (**insert Contractor name here)** must provide sign language interpreters for people who are deaf, a wheelchair accessible location, or enlarged print materials. It also means that the **(insert Contractor name here)** will take any other reasonable action that allows you to take part in and understand a program or activity, including making reasonable changes to an activity. If you believe that you will not be able to understand or take part in a program or activity because of your disability, please let us know of your disability needs in advance if at all possible. To request this document in alternative format or for further information about this policy please contact: **(insert Contractor contact person and phone number here)** "*Para obtener este documento en otro formato o obtener información adicional sobre esta política***, nombre y telefono (insert Contractor contact person and phone number here**)."

25. Notices

In addition to the Uniform Terms and Conditions, Section 3.5, the following shall apply:

25.1 All notices shall reference the contract number.

25.2 The Contractor shall give written notice to the Department of changes to the following, and a written amendment to the contract shall not be necessary:

25.2.1 Change of telephone number;

25.2.2 Changes in the name and/or address of the person to whom notices are to be sent;

25.2.3 Changes in contract-related personnel positions of the Contractor which do not affect staffing ratios, staff qualifications or specific individuals required under this Contract; or

25.2.4 In a fixed price with price adjustment contract, whenever there is less than a ten percent (10%) increase in any budget category; any such increase must be offset by an equal value decrease in another budget category or categories.

26. Order of Precedence

In addition to the Uniform Terms and Conditions, Section 2.3, the following shall apply:

In the event of a conflict in the provisions of the Contract, as accepted by the State and as they may be amended, the following shall prevail in the order set forth below:

26.1 ADES Special Terms and Conditions;

26.2 Uniform Terms and Conditions;

26.3 Scope of Work or Specification;

26.4 Attachments that are not included in the Special Terms and Conditions or Uniform Terms and Conditions;

26.5 Exhibits; and

26.6 Documents referenced or included in the Solicitation.

27. Pandemic Contractual Performance

27.1 The State shall require a written plan that illustrates how the Contractor shall perform up to contractual standards in the event of a pandemic. The State may require a copy of the plan at any time prior or post award of a contract. At a minimum, the pandemic performance plan shall include:

27.1.1 Key succession and performance planning if there is a sudden significant decrease in Contractor's workforce.

27.1.2 Alternative methods to ensure there are services or products in the supply chain.

27.1.3 An up to date list of company contacts and organizational chart.

27.2 In the event of a pandemic, as declared by the Governor of Arizona, U.S. Government or the World Health Organization, which makes performance of any term under this Contract impossible or impracticable, the State shall have the following rights:

27.2.1 After the official declaration of a pandemic, the State may temporally void the Contract(s) in whole or specific sections if the Contractor cannot perform to the standards agreed upon in the initial terms.

27.2.2 The State shall not incur any liability if a pandemic is declared and emergency procurements are authorized by the Director of the Arizona Department of Administration per A.R.S. § 41-2537 as may be amended of the Arizona Procurement Code.

27.2.3 Once the pandemic is officially declared over and/or the Contractor can demonstrate the ability to perform, the State, at its sole discretion may reinstate the temporarily voided Contract(s).

28. Participation In Boycott of Israel

Contractor warrants it is not engaged in a boycott of Israel as defined by A.R.S. § 35-393.01.

29. Payments

In addition to the Uniform Terms and Conditions, Section 4.1, the following shall apply:

29.1 Payments shall be made according to the type of payment defined as follows:

29.1.1 Firm Fixed Price - The Contractor is paid a specified amount for each unit of service or deliverable as designated in the Contract, not to exceed the maximum percentage per Phase as indicated by the Department for each contract service/deliverable. The Department may authorize units throughout the term of the Contract by amending the Contract or through the process of issuing

Change Orders. A Change Order is a separate document and the amount of the Change Order may be increased or decreased throughout the term of the Contract without amending the Contract. A client specific referral is considered a form of Change Order as well as a Purchase Authorization or other similar named document.

29.2 The Contractor shall report to the Department in the manner prescribed in Sections 17 of the SOW and 41 of these Special Terms and Conditions, which govern the Reporting Requirements of this solicitation. Upon receipt of applicable, accurate and complete reports, the Department will authorize payment in accordance with the type of payment indicated by this Contract.

29.3 If the Contractor is in any manner in default in the performance of any obligation under this Contract, or if audit exceptions are identified, the Department may, at its option and in addition to other available remedies, either offset the amount or withhold payment up to the amount in dispute or default.

29.4 Under no circumstances will the Department make payment to the Contractor that exceeds the units authorized.

29.5 The Contractor may offer a price reduction adjustment at any time during the term of the Contract. Any price reduction shall be executed by a Contract Amendment.

30. Payment Recoupment

The Contractor shall reimburse the Department upon demand or the Department may deduct from future payments the following:

30.1 Any amounts received by the Contractor from the Department for contract services which have been inaccurately reported or are found to be unsubstantiated;

30.2 Any amounts paid by the Contractor to a subcontractor not authorized in writing by the Department;

30.3 Any amount or benefit paid directly or indirectly to an individual or organization not in accordance with the “Substantial Interest” section of these terms and conditions;

30.4 Any amounts paid by the Department for services which duplicate services covered or reimbursed by other specific grants, contracts, or payments;

30.5 Any amounts expended for items or purposes determined unallowable by the Department when this Contract provides for the reimbursement of costs, see the “Unallowable Costs” section of these terms and conditions;

30.6 Any amounts paid by the Department for which the Contractor’s books, records, and other documents are not sufficient to clearly substantiate that those amounts were used by the Contractor to perform contract services;

30.7 Any amounts received by the Contractor from the Department which are identified as a financial audit exception;

30.8 Any amounts paid or reimbursed in excess of the Contract or service reimbursement ceiling;

30.9 Any amounts paid to the Contractor which are subsequently determined to be defective pursuant to the "Certification of Cost or Pricing Data" section of these terms and conditions; and

30.10 Any payments made for services rendered before the Contract begin date or after the Contract termination date.

31. Personnel

The Contractor's personnel shall satisfy all qualifications, carry out all duties, and work the hours as set forth in this Contract.

32. Predecessor and Successor Contracts

The execution or termination of this Contract shall not be considered a waiver by the Department of any rights it may have for damages suffered through a breach of this or a prior contract with the Contractor.

33. Professional Standards

The Contractor shall deliver contract services in a humane and respectful manner and in accordance with any and all applicable professional accreditation standards. Levels of staff qualifications, professionalism, numbers of staff and individuals identified by name must be maintained as presented in the Contract.

34. Records

In addition to the Uniform Terms and Conditions, Section 3.1, the following shall apply:

34.1 Contract service records will be maintained in accordance with this Contract. Records shall, as applicable, meet the following standards:

34.1.1 Adequately identify the service provided and each service recipient's application for contract and subcontract activities;

34.1.2 Include personnel records which contain applications for employment, job titles and descriptions, hire and termination dates, a copy of the fingerprint clearance card, wage rates, and effective dates of personnel actions affecting any of these items;

34.1.3 Include time and attendance records for individual employees to support all salaries and wages paid;

34.1.4 For Fixed Price with Price Adjustment contracts, include:

34.1.4.1 Records of the source of all receipts and the deposit of all funds received by the Contractor;

34.1.4.2 Original copies of invoices, statements, sales tickets, billings for services, deposit slips, etc., and a cash disbursement journal and cancelled checks to reflect all disbursements applicable to the Contract;

34.1.4.3 A complete general ledger with accounts for the collection of all costs and/or fees applicable to the Contract; and

34.1.4.4 Copies of lease/rental agreements, mortgages and/or any other agreements which in any way may affect Contract expenditures.

34.2 Any such records not maintained shall mandate an audit exception in the amount of the inadequately documented expenditures.

34.2.1 Contractor shall ensure its subcontractor(s), preserve and make available all records for a period of five (5) years from the date of final payment under this Contract except if subject to Health Insurance Portability & Accountability Act which is six (6) years from the date of final payment:

34.2.2 If this Contract is completely or partially terminated, the records relating to the work terminated shall be preserved and made available for a period of five (5) years from the date of any such termination.

34.2.3 Records which related to disputes, litigation or the settlement of claims arising out of the performance of this Contract, or costs and expenses of this Contract to which exception has been taken by the State, shall be retained by the Contractor until such disputes, litigations, claims or exceptions have been disposed of.

35. Relationship of Parties

In addition to the Uniform Terms and Conditions, Section 2.4, the following shall apply:

35.1 In the event that the Contractor or its personnel is sued or prosecuted for conduct arising from this Contract, the Contractor or their personnel will not be represented by the Arizona Attorney General's Office.

35.2 Taxes or Social Security payments will not be withheld from a State payment issued hereunder and the Contractor shall make arrangements to directly pay such expenses, if any.

36. Reporting Requirements

36.1 Unless otherwise provided in this Contract, reporting shall adhere to the following schedule: with the exception of the last month of the Contract term, the Contractor shall submit programmatic and financial reports to the Department as specified in the Scope of Work no later than the fifteenth (15th) day following the end of each month during the Contract term. Failure to submit accurate and complete reports by the fifteenth (15th) day following the end of each month may result, at the option of the Department, in retention of payment. Failure to provide such report within forty-five (45) days following the end of a month may result, at the option of the Department, in a forfeiture of such payment.

36.2 Following the end of each contract term, the Contractor shall submit programmatic and financial reports to the Department in the form set forth in the contract no later than the forty-fifth (45th) day following the end of each Contract term. The final fiscal report for the Contract term shall include all adjustment to prior financial reports submitted for the Contract term.

36.3 No later than the forty-fifth (45th) day following the termination or the expiration of this Contract, Contractor shall submit to the Department a final program and fiscal report. Failure to submit the final program and fiscal report within the above time period may result, at the option of the Department, in forfeiture of final payment.

36.4 All report shall reference the contract number and be submitted to the person designated by the Department.

37. Responsibility for Payments Indemnification

The Contractor shall be responsible for issuing payment for services performed by the Contractor's employees, subcontractors, suppliers, or any other third party incurred in the furtherance of the performance or the arising out of the Contract and will indemnify and save the Department harmless for all claims whatsoever out of the lawful demands of such parties. The Contractor shall, at the Department's request, furnish satisfactory evidence that all obligations of the nature hereinabove designated have been paid, discharged or waived.

38. Subcontracts

In addition to Section 5.2 of the Uniform Terms and Conditions, the following shall apply:

47.1 The Contractor shall be responsible for any goods and/or services to be provided by the subcontractor and ensure performance, is in accordance with the requirements of the Contract.

47.2 Prior to adding a subcontractor to the Contract, the Contractor shall submit a formal, written request to the Procurement Officer. The request shall:

47.2.1 Be on the Contractors company letterhead;

47.2.2 Be signed by an authorized representative of the Contractor; and

47.2.3 Contain the following information:

47.2.3.1 The subcontractor's name, address, phone number, e-mail and primary point of contact;

47.2.3.2 The certifications required of the subcontractor (if any);

47.2.3.3 The subcontractor's small business status (if applicable);

47.2.3.4 The type of goods and/or services to be provided by the subcontractor;

47.2.3.5 The amount of time or effort (as a percent of total contract performance) that the subcontractor will perform in relation to total performance of the contract's requirements; and

47.2.3.6 A description of the quality assurance measures that the Contractor shall use to monitor the subcontractor's performance.

47.2.4 The State reserves the right to request additional information deemed necessary about any proposed subcontractor. The State reserves the right to approve or disapproved the proposed subcontractor if in the best interest of the State.

47.3 The Contractor shall provide copies of each contract with a subcontractor relating to the provision of contract services to the Department within five (5) calendar days of the request.

48. Substantial Interest Disclosure

48.1 Contractor shall not make any payments, either directly or indirectly, to any person, partnership, corporation, trust, or any other organization which has a substantial interest in Contractor's organization or with which Contractor (or one of its directors, officers, owners, trust certificate holders or a relative thereof) has a substantial interest, unless Contractor has made a full written disclosure of the proposed payments, including amounts, to the Department.

48.2 Leases or rental agreements or purchase of real property which are covered by Section 48.1 shall be in writing and accompanied by an independent commercial appraisal of fair market rental, lease, or purchase value, as appropriate.

48.3 For the purpose of this Section, "relative" shall have the same meaning as in A.R.S. § 38-502 as may be amended.

49. Supporting Documents and Information

In addition to any documents, reports or information required by any other section of this Contract, Contractor shall furnish the Department with any further documents and information deemed necessary by the Department. Upon receipt of a request for information from ADES, the Contractor shall provide complete and accurate information no later than fifteen (15) days after the receipt of the request.

50. Suspension or Debarment

In addition to the Uniform Terms and Conditions, Section 9.3, the Contractor shall submit the Certification Regarding Debarment, Suspension and Voluntary Exclusion Lower Tier Covered Transactions form.

51. Technical Assistance

The Department may, but shall not be obligated to, provide technical assistance to the Contractor in the administration of contract services, or relating to the terms and conditions, policies and procedures governing this Contract. Notwithstanding the foregoing, the Contractor shall not be relieved of full responsibility and accountability for the provision of contract services in accordance with the terms and conditions set forth herein.

52. Termination for Any Reason

52.1 In the event the Contract is terminated, with or without cause, or expires, the Contractor, whenever determined appropriate by the Department, shall assist the Department in the transition of services or eligible persons to other Contractors. Such assistance and coordination shall include, but not be limited to, the forwarding of program and other records as may be necessary to assure the smoothest possible transition and continuity of services. The cost of reproducing and forwarding such records and other materials shall be borne by the Contractor. The Contractor must make provisions for continuing all management/administrative services until the transition of services or eligible persons is complete and all other requirements of this Contract are satisfied.

52.2 In the event of termination or suspension of the Contract by the Department, such termination or suspension shall not affect the obligation of the Contractor to indemnify the Department and the State for any claim by any other party against the State or Department arising from the Contractor's performance of this Contract and for which the Contractor would otherwise be liable under this Contract. To the extent such indemnification is excluded by A.R.S. § 41-621 et seq.as may be amended or an obligation is unauthorized under A.R.S. § 35-154 as may be amended the provisions of this paragraph shall not apply.

52.3 In the event of early termination for any reason, any funds advanced to the Contractor shall be returned to the Department within ten (10) days after the date of termination or upon receipt of notice of termination of the Contract, whichever is earlier.

53. Termination for Default

In addition to the Uniform Terms and Conditions, Section 9.5, the Department may immediately terminate this Contract if the Department determines that the health or welfare or safety of service recipients is endangered.

54. Transfer of Knowledge

The Contractor shall, whenever feasible, share strategies and techniques with Department staff to transfer the skills and knowledge acquired in the delivery of the contracted service.

55. Transition of Activities

In the event that a contract is awarded to a new contractor for services similar to those being performed by Contractor under this Contract, there shall be a transition of services period. During this period, the Contractor under this Contract shall work closely with the new contractor's personnel and/or Department staff to ensure a smooth and complete transfer of duties and responsibilities. The Department's authorized representative will coordinate all transition activities. A transition plan will be developed in conjunction with the existing Contractor to assist the new contractor and/or Department staff to implement the transfer of duties. The Department reserves the right to determine which projects/service delivery nearing completion will remain with the current Contractor of record.

56. Unallowable Costs

The cost principles set forth in the Code of Federal Regulations, 2 C.F.R. § 200, (Issued December 26, 2013), including later amendments and editions, shall be used to determine the allowability of incurred costs for the purpose of reimbursing costs under contract provisions that provide for the reimbursement of costs. Costs that are specifically defined as unallowable therein will not be submitted for reimbursement by the Contractor and may not be reimbursed with Department funds.

57. Visitation, Inspection and Copying

Contractor's and/or subcontractor's facilities, services and individuals served, books and records pertaining to the Contract shall be available for visitation, inspection, monitoring, and copying by the Department and any other appropriate agent of the State or Federal Government. At the discretion of the Department, visitation, inspection and copying may be at any time during regular business hours, announced or unannounced. If the Department deems it to be an emergency situation, it may at any time visit and inspect the Contractor's or subcontractor's facilities, services and individuals served, as well as inspect and copy their contract-related books and records.

58. Warranty of Services

The Contractor warrants that all services provided under this Contract shall conform to the requirements stated herein and any amendments hereto. The Department's acceptance of services provided by the Contractor shall not relieve the Contractor from its obligations under this warranty. In addition to its other remedies, the Department Procurement Officer may, at the Contractor's expense, require prompt correction of any services failing to meet the Contractor's warranty herein. Services corrected by the Contractor shall be subject to all of the provisions of this Contract in the manner and to the same extent as the services originally furnished.

Uniform Terms and Conditions	
Solicitation No.: **BPM003908**	
Description: **UI Benefits Modernization**	

DEPARTMENT OF ECONOMIC SECURITY
Your Partner For A Stronger Arizona

Uniform Terms and Conditions

1. **Definition of Terms**

As used in this Solicitation and any resulting Contract, the terms listed below are defined as follows:

1.1. "*Attachment*" means any item the Solicitation requires the Offeror to submit as part of the Offer.

1.2. "*Contract*" means the combination of the Solicitation, including the Uniform and Special Instructions to Offerors, the Uniform and Special Terms and Conditions, and the Specifications and Statement or Scope of Work; the Offer and any Best and Final Offers; and any Solicitation Amendments or Contract Amendments.

1.3. "*Contract Amendment*" means a written document signed by the Procurement Officer that is issued for the purpose of making changes in the Contract.

1.4. "*Contractor*" means any person who has a Contract with the State.

1.5. "*Days*" means calendar days unless otherwise specified.

1.6. "*Exhibit*" means any item labeled as an Exhibit in the Solicitation or placed in the Exhibits section of the Solicitation.

1.7. "*Gratuity*" means a payment, loan, subscription, advance, deposit of money, services, or anything of more than nominal value, present or promised, unless consideration of substantially equal or greater value is received.

1.8. "*Materials*" means all property, including equipment, supplies, printing, insurance and leases of property but does not include land, a permanent interest in land or real property or leasing space.

1.9. "*Procurement Officer*" means the person, or his or her designee, duly authorized by the State to enter into and administer Contracts and make written determinations with respect to the Contract.

1.10. "*Services*" means the furnishing of labor, time or effort by a contractor or subcontractor which does not involve the delivery of a specific end product other than required reports and performance, but does not include employment agreements or collective bargaining agreements.

1.11. "*Subcontract*" means any Contract, express or implied, between the Contractor and another party or between a subcontractor and another party delegating or assigning, in whole or in part, the making or furnishing of any material or any service required for the performance of the Contract.

1.12. "*State*" means the State of Arizona and Department or Agency of the State that executes the Contract.

1.13. "*State Fiscal Year*" means the period beginning with July 1 and ending June 30.

2. **Contract Interpretation**

2.1. Arizona Law. The Arizona law applies to this Contract including, where applicable, the Uniform Commercial Code as adopted by the State of Arizona and the Arizona Procurement Code, Arizona Revised Statutes (A.R.S.) Title 41, Chapter 23, and its implementing rules, Arizona Administrative Code (A.A.C.) Title 2, Chapter 7.

2.2. Implied Contract Terms. Each provision of law and any terms required by law to be in this Contract are a part of this Contract as if fully stated in it.

2.3. Contract Order of Precedence. In the event of a conflict in the provisions of the Contract, as accepted by the State and as they may be amended, the following shall prevail in the order set forth below:

2.3.1. Special Terms and Conditions;

2.3.2. Uniform Terms and Conditions;

2.3.3. Statement or Scope of Work;

2.3.4. Specifications;

2.3.5. Attachments;

2.3.6. Exhibits;

2.3.7. Documents referenced or included in the Solicitation.

2.4. Relationship of Parties. The Contractor under this Contract is an independent Contractor. Neither party to this Contract shall be deemed to be the employee or agent of the other party to the Contract.

2.5. Severability. The provisions of this Contract are severable. Any term or condition deemed illegal or invalid shall not affect any other term or condition of the Contract.

2.6. No Parole Evidence. This Contract is intended by the parties as a final and complete expression of their agreement. No course of prior dealings between the parties and no usage of the trade shall supplement or explain any terms used in this document and no other understanding either oral or in writing shall be binding.

2.7. No Waiver. Either party's failure to insist on strict performance of any term or condition of the Contract shall not be deemed a waiver of that term or condition even if the party accepting or acquiescing in the nonconforming performance knows of the nature of the performance and fails to object to it.

3. Contract Administration and Operation

3.1. Records. Under A.R.S. § 35-214 and § 35-215, the Contractor shall retain and shall contractually require each subcontractor to retain all data and other "records" relating to the acquisition and performance of the Contract for a period of five years after the completion of the Contract. All records shall be subject to inspection and audit by the State at reasonable times. Upon request, the Contractor shall produce a legible copy of any or all such records.

3.2. Non-Discrimination. The Contractor shall comply with State Executive Order No. 2009-09 and all other applicable Federal and State laws, rules and regulations, including the Americans with Disabilities Act.

3.3. Audit. Pursuant to ARS § 35-214, at any time during the term of this Contract and five (5) years thereafter, the Contractor's or any subcontractor's books and records shall be subject to audit by the State and, where applicable, the Federal Government, to the extent that the books and records relate to the performance of the Contract or Subcontract.

3.4. Facilities Inspection and Materials Testing. The Contractor agrees to permit access to its facilities, subcontractor facilities and the Contractor's processes or services, at reasonable times for inspection of the facilities or materials covered under this Contract. The State shall also have the right to test, at its own cost, the materials to be supplied under this Contract. Neither inspection of the Contractor's facilities nor materials testing shall constitute final acceptance of the materials or services. If the State determines non-compliance of the materials, the Contractor shall be responsible for the payment of all costs incurred by the State for testing and inspection.

3.5. Notices. Notices to the Contractor required by this Contract shall be made by the State to the person indicated on the Offer and Acceptance form submitted by the Contractor unless otherwise stated in the Contract. Notices to the State required by the Contract shall be made by the Contractor to the Solicitation Contact Person indicated on the Solicitation cover sheet, unless otherwise stated in the Contract. An authorized Procurement Officer and an authorized Contractor representative may change their respective person to whom notice shall be given by written notice to the other and an amendment to the Contract shall not be necessary.

3.6. Advertising, Publishing and Promotion of Contract. The Contractor shall not use, advertise or promote information for commercial benefit concerning this Contract without the prior written approval of the Procurement Officer.

3.7. Property of the State. Any materials, including reports, computer programs and other deliverables, created under this Contract are the sole property of the State. The Contractor is not entitled to a patent or copyright on those materials and may not transfer the patent or copyright to anyone else. The Contractor shall not use or release these materials without the prior written consent of the State.

3.8. Ownership of Intellectual Property. Any and all intellectual property, including but not limited to copyright, invention, trademark, trade name, service mark, and/or trade secrets created or conceived pursuant to or as a result of this contract and any related subcontract ("Intellectual Property"), shall be work made for hire and the State shall be considered the creator of such Intellectual Property. The agency, department, division, board or commission of the State of Arizona requesting the issuance of this contract shall own (for and on behalf of the State) the entire right, title and interest to the Intellectual Property throughout the world. Contractor shall notify the State, within thirty (30) days, of the creation of any Intellectual Property by it or its subcontractor(s). Contractor, on behalf of itself and any subcontractor(s), agrees to execute any and all document(s) necessary to assure ownership of the Intellectual Property vests in the State and shall take no affirmative actions that might have the effect of vesting all or part of the Intellectual Property in any entity other than the State. The Intellectual Property shall not be disclosed by contractor or its subcontractor(s) to any entity not the State without the express written authorization of the agency, department, division, board or commission of the State of Arizona requesting the issuance of this contract.

3.9. Federal Immigration and Nationality Act. The contractor shall comply with all federal, state and local immigration laws and regulations relating to the immigration status of their employees during the term of the contract. Further, the contractor shall flow down this requirement to all subcontractors utilized during the term of the contract. The State shall retain the right to perform random audits of contractor and subcontractor records or to inspect papers of any employee thereof to ensure compliance. Should the State determine that the contractor and/or any subcontractors be found noncompliant, the State may pursue all remedies allowed by law, including, but not limited to; suspension of work, termination of the contract for default and suspension and/or debarment of the contractor.

3.10. E-Verify Requirements. In accordance with A.R.S. § 41-4401, Contractor warrants compliance with all Federal immigration laws and regulations relating to employees and warrants its compliance with Section A.R.S. § 23-214, Subsection A.

3.11. Offshore Performance of Work Prohibited. Any services that are described in the specifications or scope of work that directly serve the State of Arizona or its clients and involve access to secure or sensitive data or personal client data shall be performed within the defined territories of the United States. Unless specifically stated otherwise in the specifications, this paragraph does not apply to indirect or 'overhead' services, redundant back-up services or services that are incidental to the performance of the contract. This provision applies to work performed by subcontractors at all tiers.

4. Costs and Payments

4.1. Payments. Payments shall comply with the requirements of A.R.S. Titles 35 and 41, Net 30 days. Upon receipt and acceptance of goods or services, the Contractor shall submit a complete and accurate invoice for payment from the State within thirty (30) days.

4.2. Delivery. Unless stated otherwise in the Contract, all prices shall be F.O.B. Destination and shall include all freight delivery and unloading at the destination.

4.3. Applicable Taxes.

4.3.1. Payment of Taxes. The Contractor shall be responsible for paying all applicable taxes.

4.3.2. State and Local Transaction Privilege Taxes. The State of Arizona is subject to all applicable state and local transaction privilege taxes. Transaction privilege taxes apply to the sale and are the responsibility of the seller to remit. Failure to collect such taxes from the buyer does not relieve the seller from its obligation to remit taxes.

4.3.3. Tax Indemnification. Contractor and all subcontractors shall pay all Federal, state and local taxes applicable to its operation and any persons employed by the Contractor. Contractor shall, and require all subcontractors to hold the State harmless from any responsibility for taxes, damages and interest, if applicable, contributions required under Federal, and/or state and local laws and regulations and any other costs including transaction privilege taxes, unemployment compensation insurance, Social Security and Worker's Compensation.

4.3.4. IRS W9 Form. In order to receive payment the Contractor shall have a current I.R.S. W9 Form on file with the State of Arizona, unless not required by law.

4.4. Availability of Funds for the Next State fiscal year. Funds may not presently be available for performance under this Contract beyond the current state fiscal year. No legal liability on the part of the State for any payment may arise under this Contract beyond the current state fiscal year until funds are made available for performance of this Contract.

4.5. Availability of Funds for the current State fiscal year. Should the State Legislature enter back into session and reduce the appropriations or for any reason and these goods or services are not funded, the State may take any of the following actions:

4.5.1. Accept a decrease in price offered by the contractor;

4.5.2. Cancel the Contract; or

4.5.3. Cancel the contract and re-solicit the requirements.

5. **Contract Changes**

5.1. Amendments. This Contract is issued under the authority of the Procurement Officer who signed this Contract. The Contract may be modified only through a Contract Amendment within the scope of the Contract. Changes to the Contract, including the addition of work or materials, the revision of payment terms, or the substitution of work or materials, directed by a person who is not specifically authorized by the procurement officer in writing or made unilaterally by the Contractor are violations of the Contract and of applicable law. Such changes, including unauthorized written Contract Amendments shall be void and without effect, and the Contractor shall not be entitled to any claim under this Contract based on those changes.

5.2. Subcontracts. The Contractor shall not enter into any Subcontract under this Contract for the performance of this contract without the advance written approval of the Procurement Officer. The Contractor shall clearly list any proposed subcontractors and the subcontractor's proposed responsibilities. The Subcontract shall incorporate by reference the terms and conditions of this Contract.

5.3. Assignment and Delegation. The Contractor shall not assign any right nor delegate any duty under this Contract without the prior written approval of the Procurement Officer. The State shall not unreasonably withhold approval.

6. **Risk and Liability**

6.1. Risk of Loss: The Contractor shall bear all loss of conforming material covered under this Contract until received by authorized personnel at the location designated in the purchase order or Contract. Mere receipt does not constitute final acceptance. The risk of loss for nonconforming materials shall remain with the Contractor regardless of receipt.

6.2. Indemnification

6.2.1. Contractor/Vendor Indemnification (Not Public Agency) The parties to this contract agree that the State of Arizona, its departments, agencies, boards and commissions shall be indemnified and held harmless by the contractor for the vicarious liability of the State as a result of entering into this contract. However, the parties further agree that the State of Arizona, its departments, agencies, boards and commissions shall be responsible for its own negligence. Each party to this contract is responsible for its own negligence.

6.2.2. Public Agency Language Only Each party (as 'indemnitor') agrees to indemnify, defend, and hold harmless the other party (as 'indemnitee') from and against any and all claims, losses, liability, costs, or expenses (including reasonable attorney's fees) (hereinafter collectively referred to as 'claims') arising out of bodily injury of any person (including death) or property damage but only to the extent that such claims which result in vicarious/derivative liability to the indemnitee, are caused by the act, omission, negligence, misconduct, or other fault of the indemnitor, its officers, officials, agents, employees, or volunteers."

6.3. Indemnification - Patent and Copyright. The Contractor shall indemnify and hold harmless the State against any liability, including costs and expenses, for infringement of any patent, trademark or copyright arising out of Contract performance or use by the State of materials furnished or work performed under this Contract. The

State shall reasonably notify the Contractor of any claim for which it may be liable under this paragraph. If the contractor is insured pursuant to A.R.S. § 41-621 and § 35-154, this section shall not apply.

6.4. Force Majeure.

6.4.1. Except for payment of sums due, neither party shall be liable to the other nor deemed in default under this Contract if and to the extent that such party's performance of this Contract is prevented by reason of force majeure. The term *"force majeure"* means an occurrence that is beyond the control of the party affected and occurs without its fault or negligence. Without limiting the foregoing, force majeure includes acts of God; acts of the public enemy; war; riots; strikes; mobilization; labor disputes; civil disorders; fire; flood; lockouts; injunctions-intervention-acts; or failures or refusals to act by government authority; and other similar occurrences beyond the control of the party declaring force majeure which such party is unable to prevent by exercising reasonable diligence.

6.4.2. Force Majeure shall not include the following occurrences:

6.4.2.1. Late delivery of equipment or materials caused by congestion at a manufacturer's plant or elsewhere, or an oversold condition of the market;

6.4.2.2. Late performance by a subcontractor unless the delay arises out of a force majeure occurrence in accordance with this force majeure term and condition; or

6.4.2.3. Inability of either the Contractor or any subcontractor to acquire or maintain any required insurance, bonds, licenses or permits.

6.4.3. If either party is delayed at any time in the progress of the work by force majeure, the delayed party shall notify the other party in writing of such delay, as soon as is practicable and no later than the following working day, of the commencement thereof and shall specify the causes of such delay in such notice. Such notice shall be delivered or mailed certified-return receipt and shall make a specific reference to this article, thereby invoking its provisions. The delayed party shall cause such delay to cease as soon as practicable and shall notify the other party in writing when it has done so. The time of completion shall be extended by Contract Amendment for a period of time equal to the time that results or effects of such delay prevent the delayed party from performing in accordance with this Contract.

6.4.4. Any delay or failure in performance by either party hereto shall not constitute default hereunder or give rise to any claim for damages or loss of anticipated profits if, and to the extent that such delay or failure is caused by force majeure.

6.5. Third Party Antitrust Violations. The Contractor assigns to the State any claim for overcharges resulting from antitrust violations to the extent that those violations concern materials or services supplied by third parties to the Contractor, toward fulfillment of this Contract.

7. Warranties

7.1. Liens. The Contractor warrants that the materials supplied under this Contract are free of liens and shall remain free of liens.

7.2. Quality. Unless otherwise modified elsewhere in these terms and conditions, the Contractor warrants that, for one year after acceptance by the State of the materials, they shall be:

7.2.1. Of a quality to pass without objection in the trade under the Contract description;

7.2.2. Fit for the intended purposes for which the materials are used;

7.2.3. Within the variations permitted by the Contract and are of even kind, quantity, and quality within each unit and among all units;

7.2.4. Adequately contained, packaged and marked as the Contract may require; and

7.2.5. Conform to the written promises or affirmations of fact made by the Contractor.

7.3. Fitness. The Contractor warrants that any material supplied to the State shall fully conform to all requirements of the Contract and all representations of the Contractor, and shall be fit for all purposes and uses required by the Contract.

7.4. Inspection/Testing. The warranties set forth in subparagraphs 7.1 through 7.3 of this paragraph are not affected by inspection or testing of or payment for the materials by the State.

7.5. Compliance With Applicable Laws. The materials and services supplied under this Contract shall comply with all applicable Federal, state and local laws, and the Contractor shall maintain all applicable license and permit requirements.

7.6. Survival of Rights and Obligations after Contract Expiration or Termination.

7.6.1. Contractor's Representations and Warranties. All representations and warranties made by the Contractor under this Contract shall survive the expiration or termination hereof. In addition, the parties hereto acknowledge that pursuant to A.R.S. § 12-510, except as provided in A.R.S. § 12-529, the State is not subject to or barred by any limitations of actions prescribed in A.R.S., Title 12, Chapter 5.

7.6.2. Purchase Orders. The Contractor shall, in accordance with all terms and conditions of the Contract, fully perform and shall be obligated to comply with all purchase orders received by the Contractor prior to the expiration or termination hereof, unless otherwise directed in writing by the Procurement Officer, including, without limitation, all purchase orders received prior to but not fully performed and satisfied at the expiration or termination of this Contract.

8. State's Contractual Remedies

8.1. Right to Assurance. If the State in good faith has reason to believe that the Contractor does not intend to, or is unable to perform or continue performing under this Contract, the Procurement Officer may demand in writing that the Contractor give a written assurance of intent to perform. Failure by the Contractor to provide written assurance within the number of Days specified in the demand may, at the State's option, be the basis for terminating the Contract under the Uniform Terms and Conditions or other rights and remedies available by law or provided by the contract.

8.2. Stop Work Order.

8.2.1. The State may, at any time, by written order to the Contractor, require the Contractor to stop all or any part, of the work called for by this Contract for period(s) of days indicated by the State after the

order is delivered to the Contractor. The order shall be specifically identified as a stop work order issued under this clause. Upon receipt of the order, the Contractor shall immediately comply with its terms and take all reasonable steps to minimize the incurrence of costs allocable to the work covered by the order during the period of work stoppage.

8.2.2. If a stop work order issued under this clause is canceled or the period of the order or any extension expires, the Contractor shall resume work. The Procurement Officer shall make an equitable adjustment in the delivery schedule or Contract price, or both, and the Contract shall be amended in writing accordingly.

8.3. Non-exclusive Remedies. The rights and the remedies of the State under this Contract are not exclusive.

8.4. Nonconforming Tender. Materials or services supplied under this Contract shall fully comply with the Contract. The delivery of materials or services or a portion of the materials or services that do not fully comply constitutes a breach of contract. On delivery of nonconforming materials or services, the State may terminate the Contract for default under applicable termination clauses in the Contract, exercise any of its rights and remedies under the Uniform Commercial Code, or pursue any other right or remedy available to it.

8.5. Right of Offset. The State shall be entitled to offset against any sums due the Contractor, any expenses or costs incurred by the State, or damages assessed by the State concerning the Contractor's non-conforming performance or failure to perform the Contract, including expenses, costs and damages described in the Uniform Terms and Conditions.

9. **Contract Termination**

9.1. Cancellation for Conflict of Interest. Pursuant to A.R.S. § 38-511, the State may cancel this Contract within three (3) years after Contract execution without penalty or further obligation if any person significantly involved in initiating, negotiating, securing, drafting or creating the Contract on behalf of the State is or becomes at any time while the Contract or an extension of the Contract is in effect an employee of or a consultant to any other party to this Contract with respect to the subject matter of the Contract. The cancellation shall be effective when the Contractor receives written notice of the cancellation unless the notice specifies a later time. If the Contractor is a political subdivision of the State, it may also cancel this Contract as provided in A.R.S. § 38-511.

9.2. Gratuities. The State may, by written notice, terminate this Contract, in whole or in part, if the State determines that employment or a Gratuity was offered or made by the Contractor or a representative of the Contractor to any officer or employee of the State for the purpose of influencing the outcome of the procurement or securing the Contract, an amendment to the Contract, or favorable treatment concerning the Contract, including the making of any determination or decision about contract performance. The State, in addition to any other rights or remedies, shall be entitled to recover exemplary damages in the amount of three times the value of the Gratuity offered by the Contractor.

9.3. Suspension or Debarment. The State may, by written notice to the Contractor, immediately terminate this Contract if the State determines that the Contractor has been debarred, suspended or otherwise lawfully prohibited from participating in any public procurement activity, including but not limited to, being disapproved as a subcontractor of any public procurement unit or other governmental body. Submittal of an offer or execution of a contract shall attest that the contractor is not currently suspended or debarred. If the contractor becomes suspended or debarred, the contractor shall immediately notify the State.

9.4. Termination for Convenience. The State reserves the right to terminate the Contract, in whole or in part at any time when in the best interest of the State, without penalty or recourse. Upon receipt of the written notice, the Contractor shall stop all work, as directed in the notice, notify all subcontractors of the effective date of the termination and minimize all further costs to the State. In the event of termination under this paragraph, all documents, data and reports prepared by the Contractor under the Contract shall become the property of and be delivered to the State upon demand. The Contractor shall be entitled to receive just and equitable compensation for work in progress, work completed and materials accepted before the effective date of the termination. The cost principles and procedures provided in A.A.C. R2-7-701 shall apply.

9.5. Termination for Default.

9.5.1. In addition to the rights reserved in the contract, the State may terminate the Contract in whole or in part due to the failure of the Contractor to comply with any term or condition of the Contract, to acquire and maintain all required insurance policies, bonds, licenses and permits, or to make satisfactory progress in performing the Contract. The Procurement Officer shall provide written notice of the termination and the reasons for it to the Contractor.

9.5.2. Upon termination under this paragraph, all goods, materials, documents, data and reports prepared by the Contractor under the Contract shall become the property of and be delivered to the State on demand.

9.5.3. The State may, upon termination of this Contract, procure, on terms and in the manner that it deems appropriate, materials or services to replace those under this Contract. The Contractor shall be liable to the State for any excess costs incurred by the State in procuring materials or services in substitution for those due from the Contractor.

9.6. Continuation of Performance Through Termination. The Contractor shall continue to perform, in accordance with the requirements of the Contract, up to the date of termination, as directed in the termination notice.

10. **Contract Claims**

All contract claims or controversies under this Contract shall be resolved according to A.R.S. Title 41, Chapter 23, Article 9, and rules adopted thereunder.

11. **Arbitration**

The parties to this Contract agree to resolve all disputes arising out of or relating to this contract through arbitration, after exhausting applicable administrative review, to the extent required by A.R.S. § 12-1518, except as may be required by other applicable statutes (Title 41).

12. **Comments Welcome**

The State Procurement Office periodically reviews the Uniform Terms and Conditions and welcomes any comments you may have. Please submit your comments to: State Procurement Administrator, State Procurement Office, 100 North 15th Avenue, Suite 201, Phoenix, Arizona, 85007.

Exhibit A	
Solicitation No.:	**BPM003908**
Description:	**UI Benefits Modernization**

DEPARTMENT OF ECONOMIC SECURITY
Your Partner For A Stronger Arizona

Exhibit A – Detailed Requirements A2

Please see the attached Excel Spreadsheet titled BPM003908 Exhibit A Detailed Requirements.

Please note this spreadsheet consists of the following tabs:

- High-Value Use Cases
- Detailed Functional Requirement
- Core Technical Requirements
- Detailed Technical Requirements

Exhibit B	
Solicitation No.: **BPM003908**	
Description: **UI Benefits Modernization**	

DEPARTMENT OF ECONOMIC SECURITY
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Exhibit B – Existing Applications and Components for Data Conversion

The existing applications and components, and data conversion requirements are shown below. The applications designed as "retire" will be retired by ADES after the project is completed.

Existing Applications and Components and Date Conversion Requirements

Application or Component	Disposition	Data Conversion Requirements
1. Smarty Streets	Retain	None
2. GUIDE - General Unemployment Insurance Development Effort - UI Claims	Retire	18 months + active overpayments + appeals + documents with legal holds
3. ICON - Info Sharing State to State UI Benefits	Retain	None
4. AQuA - Production Adjudication Quality Application	Retire	3 years
5. ARRA Adjudications - Arizona Re-employment Rapid Access System	Retire	3 years
6. ARRA Call Center	Retire	3 years
7. AutoCoder	Retain	None
8. CCRS - Call Center Reporting System	Retire	3 years
9. IIC - Internet Initial Claims	Retire	None
10. IRMELogin - Internet Response Module for Employers	Retire	None
11. Shared Work	Retire	3 years
12. SIDES - State Information Exchange System	Retain	3 years
13. Time - Tracking Issue Management Environment - Adjudication assignment to worker and tracking	Retire	Point in Time - list of cases
14. UI Appeals	Retire	None
15. ICC - UI Internet Continued Claims	Retire	None
16. E-Response	Retain	3 years
17. BARTS	Retain	None
18. PUA - Pandemic Unemployment Assistance	Retire	3 years
19. SEB Access Code Tool	Retire	None

Exhibit C	
Solicitation No.:	**BPM003908**
Description:	**UI Benefits Modernization**

DEPARTMENT OF ECONOMIC SECURITY
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Exhibit C – Required Interfaces A1

The required interfaces are shown below. The implementation effort shall include implementing these interfaces.

Required Interfaces

Interface Name	Interface Agency	Type	Description	Domain	Data Flow (In / Out)
ACA-HEA PLUS	ACA/DES	SFTP	Extract File for processing	Benefit	Out
APS (Appeals Processing System)	ASA/DES	SFTP	Extract file for processing	Benefit	Bi-Directional
ARICS (overpmt office)	ARICS/DES	SFTP	Transactional Files	Benefit	Bi-Directional
ARICS (overpmt office)	ARICS/DES	SFTP	Extract File for processing	Benefit	Out
AZ Dept Health Mortality	DES	SFTP	Cross-match File	Benefit	In
AZ DOC Inmate Listing	DES	SFTP	Cross-match File	Benefit	In
BARTS	BARTS	SFTP	Multiple transmissions to support fraud detection	Benefit	Bi-Directional
Child Support Payment File	Child Support/DES	SFTP	Child Support	Benefit	In
Child Support File	Child Support/DES	SFTP	Child Support	Benefit	Out
Bank ACH files	Bank of America (BOA)	SFTP	Bank File	Benefit	Bi-Directional
ACH/Bank Positive Pay	Bank of America (BOA)	SFTP	Bank File	Benefit	In
Child Support File	Child Support/DES	SFTP	Child Support	Benefit	Bi-Directional
Debit Card Enrollment	Conduent	SFTP	Debit Card Enrollment sent for all monetarily eligible claimants	Benefit	Bi-Directional
Employment Services (ES) Connector.Claimant Status	AJC	SFTP	Employment Service related communications and file sharing.	Benefit	Bi-Directional
Employment Services (ES) Connector.JobOrderReq.AJLA	AJLA	Web Services	Employment Service related communications and file sharing.	Benefit	Bi-Directional

Interface Name	Interface Agency	Type	Description	Domain	Data Flow (In / Out)
Employment Services (ES) Connector.Negative Referral	AJC	SFTP	Employment Service related communications and file sharing.	Benefit	Bi-Directional
Employment Services (ES) Connector.RES Failed to Show	AJC	SFTP	Employment Service related communications and file sharing.	Benefit	Bi-Directional
ES Connector.AJLA.AutoReg	AJLA	Web Services	Employment Service related communications and file sharing.	Benefit	Bi-Directional
ETA Reports (SUN™ System)	Sun Systems	SFTP	ETA Reports	Benefits/Tax	Out
Genesys Call Center	Call Center System	Web Services	Integration to IVR	Benefit	Bi-Directional
ICON.WRIS & WRIS2	ICON	SFTP	ICON	Benefit	Bi-Directional
ICON-FCCC	ICON	SFTP	ICON	Benefit	Bi-Directional
ICON-IB1	ICON	SFTP	ICON	Benefit	Out
ICON-IB13	ICON	SFTP	ICON	Benefit	Bi-Directional
ICON-IB4	ICON	SFTP	ICON	Benefit	Bi-Directional
ICON-IB5	ICON	SFTP	ICON	Benefit	Bi-Directional
ICON-IB6	ICON	SFTP	ICON	Benefit	Bi-Directional
ICON-IBIQ	ICON	Web Services	ICON	Benefit	Bi-Directional
ICON-SIDI	ICON	Web Services	ICON	Benefit	Bi-Directional
ICON-UIQ	ICON	Web Services	ICON	Benefit	Bi-Directional
ICON-WIC2	ICON	SFTP	ICON	Benefit	Out
ICON-XMATCH	ICON	Web Services	ICON	Benefit	Bi-Directional
ID.ME	ID.ME	Identity Verification	Up front ID Verification with IDME prior to new claim filing	Benefits	Bi-Directional
Identity Verification-CIF (HLCI)	DES/CIF	Web Services	Alternate Claimaint ID, web-service provides alternate ID to UI System	Benefit	Bi-Directional
Image and Print Manager	Individual State	SFTP	Print Services	Benefits/Tax	Out
NDNH (New Hire)	NDNH	SFTP	Identifying hits against the NDNH file	Benefits	In
Profile List Generator	Profile List Generator	SFTP	RESEA to Workforce System	Benefits	Out

Interface Name	Interface Agency	Type	Description	Domain	Data Flow (In / Out)
QA Report SUN™ System	Sun Systems	Export file transmitted to SFTP	ETA Reports	Benefits	Out
RRB - Railroad Retirement Board	RRB	SFTP	RRB	Benefits	Bi-Directional
SDNH (New Hire)	SDNH	SFTP	Cross-match File	Benefits	In
SecureOne - Weekly Claims	Secure One	SFTP	Vendor provided file of paper filed weekly certifications	Benefits	In
SIDES	SIDES	Web Services	SIDES & E Response, multiple segments/modules	Benefits	Bi-Directional
SSA-mortality	DES	SFTP	Cross-match File	Benefits	In
Federal Tax Reporter (1099G-FireSys)	IRS/AZ DOR	SFTP	1099G Filing	Benefits	Out
Systematic Alien Verification for Entitlement (SAVE) Connector	USCIS	Web Services	Alien Registration Verification	Benefits	Bi-Directional
Wage File from Tax	DES - UI	SFTP	Wage files from Tax	Benefits	In
Worker's Compensation Cross-match	WC	SFTP	Cross-match File	Benefits	Bi-Directional
MISC Data Exchanges	DES/OEO	SFTP	Data Exchange	Benefits	Bi-Directional
Performance Measurement Review (PMR)	DES/DOL	SFTP	ETA Reporting	Benefits	Out

Exhibit D	
Solicitation No.: **BPM003908**	
Description: **UI Benefits Modernization**	

Exhibit D – Arizona Baseline Security Control Requirements

ARIZONA RISK AND AUTHORIZATION MANAGEMENT PROGRAM (AZRAMP)

1. **SECURITY STANDARDS**

Security of the State's Systems and data are of utmost importance to the State. In order to assure security from a personnel and operations perspective, Contractor shall comply with all requirements, in their entirety, as described in the statewide enterprise architecture, and statewide Information Technology security policies, standards and procedures:

https://aset.az.gov/resources/policies-standards-and-procedures.

In some instances, Contractor personnel will only be allowed inside of a State facility if accompanied by a State escort. This is applicable in the Correctional facilities, Public Safety facilities, State Lottery, or other facilities as designated by the State.

2. **SECURITY FRAMEWORK**

2.1. The State of Arizona information security policies and standards follow the National Institute of Standards and Technology (NIST) Cyber Security Framework (CSF) and NIST 800-53 revision 4. The State has established a process to assess risk associated with storing, processing and/or transmitting State of Arizona data with external, non-State of Arizona, entities. The Arizona Risk and Authorization Management Program (AZRamp) was developed to ensure State and contractors meet these requirements. All contractors responding to State solicitations must successfully complete the AZRamp risk assessment based upon the data classification involved as determined by the data owner and Arizona Strategic Enterprise Technology (ASET) Department. Failure to successfully complete AZRamp assessment will be deemed as breach of contract.

2.2. Contractor attests too, understands and agrees no other forms of Cyber Security Frameworks (CSF), Trust Documents, Self-Attestations, to include; ISO/IEC, SOC 2 & 3, PCI, or HIPAA reports of compliance are recognized nor accepted by the State. NIST SP 800-53 Rev. 4 Security and Privacy Guidelines can be located at: https://csrc.nist.gov/publications/detail/sp/800-53/rev-4/final

2.3. Contractor shall comply with all applicable security requirements including but not limited to:

2.3.1. Arizona Risk and Authorization Management Program (AZRamp):

2.3.1.1. Submit with your solicitation package a completed Arizona Baseline Infrastructure Security Controls assessment spreadsheet as found at: https://aset.az.gov/sites/default/files/Arizona%20Baseline%20Security%20Controls%20Pre-Requisite%20.xls, and mitigate gaps or install compensating controls for any issues of concern identified by State.

2.3.1.2. Contractor is required to provide Information Security documentation for the AZRamp assessment to include System Security Plan (SSP), or Written Information Security Programs (WISP) and supporting documentation for review of the assessment.

2.3.1.3. Note: The State of Arizona seeks a partnership with our supporting vendors, therefore, Non-Disclosure Agreements (NDA) for release to review submitted SSP's and/or WISP 's will not be considered. Procedures for submission of documents considered Confidential/Proprietary are identified within this RFP. Special secure transfer of documents related to this AZRamp review process can be made by contacting: AsetAssurance@azdoa.gov to make special arrangements for the transfer of these documents.

2.3.1.4. If selected for award, all awards are contingent on the successful completion of the AZRamp 125 Low Impact (public information) or the AZRamp 325 Moderate (Confidential, PII, or PHI) Impact Control spreadsheet titled "Arizona Infrastructure Security Controls 2017 (Excel)" to be determined by the Enterprise Security, Privacy & Risk Compliance team. Low (Column E) and Moderate (Column F) Impact controls spreadsheet can be located here: https://aset.az.gov/sites/default/files/Arizona%20Baseline%20Security%20Controls%202017_v2.xls

2.3.2. State reserves the right to conduct risk assessments, vulnerability assessments, black-box penetration tests or hire a third party to conduct risk assessments, vulnerability assessments, and black-box penetration tests of the Contractor's environment. Contractor will be alerted in advance and arrangements made for an agreeable time. Contractor shall respond to all serious flaws discovered by providing an acceptable timeframe to resolve the issue and/or implement a compensating control(s).

2.3.3. Contractor will submit copies of System logs from Contractor's environment to the State of AZ security team upon request to be added to the State SIEM (Security Information Event Monitor) or IDS (Intrusion Detection System).

2.3.4. The ideal vendor solution will be contained within a Federal Risk and Authorization Management Program (FedRAMP), government-rated, single tenant cloud compartment. This preferred architecture provides protection during storage, processing, and/or transmission of sensitive or regulated State data. Information about FedRAMP Authorized SaaS, PaaS or IaaS platforms can be located at: https://marketplace.fedramp.gov/#/products?sort=productName

2.4. Contractor shall comply with all applicable State and Federal laws and regulations, including, but not limited to;

2.4.1. Federal Information Security Modernization Act of 2014 (FISMA): https://csrc.nist.gov/topics/laws-and-regulations/laws/fisma

2.4.2. Tax Information Security Guidelines For Federal, State and Local Agencies: Safeguards for Protecting Federal Tax Returns and Return Information (IRS Publication 1075): https://www.irs.gov/pub/irs-pdf/p1075.pdf

2.4.3. A.R.S. 18-104 - Arizona Department of Administration, Arizona Strategic Enterprise Technology (ADOA-ASET), Powers and duties of the agency: https://www.azleg.gov/arsDetail/?title=18

2.4.4. A.R.S. 18-105 - Statewide information security and privacy office (SISPO): https://aset.az.gov/ars-18-105-statewide-information-security-and-privacy-office

2.4.5. A.R.S. 18-552 - Notification of security System breaches; requirements; enforcement; civil penalty; preemption; exceptions: https://www.azleg.gov/ars/18/00552.htm

2.4.6. Arizona Executive Order 2008-10 – Mitigating Cyber Security Threats: https://aset.az.gov/executive-order-2008-10-mitigating-cyber-security-threats

2.4.7. State of Arizona statewide policies, standards and procedures: https://aset.az.gov/resources/policies-standards-and-procedures

3. SECURITY STANDARDS

Security of the State's Systems and data are of utmost importance to the State. In order to assure security from a personnel and operations perspective, Contractor shall comply with all requirements, in their entirety, as described in the statewide enterprise architecture, and statewide Information Technology security policies, standards and procedures:

https://aset.az.gov/resources/policies-standards-and-procedures.

In some instances, Contractor personnel will only be allowed inside of a State facility if accompanied by a State escort. This is applicable in the Correctional facilities, Public Safety facilities, State Lottery, or other facilities as designated by the State.

4. SECURITY FRAMEWORK

4.1. The State of Arizona information security policies and standards follow the National Institute of Standards and Technology (NIST) Cyber Security Framework (CSF) and NIST 800-53 revision 4. The State has established a process to assess risk associated with storing, processing and/or transmitting State of Arizona data with external, non-State of Arizona, entities. The Arizona Risk and Authorization Management Program (AZRamp) was developed to ensure State and contractors meet these requirements. All contractors responding to State solicitations must successfully complete the AZRamp risk assessment based upon the data classification involved as determined by the data owner and Arizona Strategic Enterprise Technology (ASET) Department. Failure to successfully complete AZRamp assessment will be deemed as breach of contract.

4.2. Contractor attests too, understands and agrees no other forms of Cyber Security Frameworks (CSF), Trust Documents, Self-Attestations, to include; ISO/IEC, SOC 2 & 3, PCI, or HIPAA reports of compliance are recognized nor accepted by the State. NIST SP 800-53 Rev. 4 Security and Privacy Guidelines can be located at: https://csrc.nist.gov/publications/detail/sp/800-53/rev-4/final

4.3. Contractor shall comply with all applicable security requirements including but not limited to:

4.3.1. Arizona Risk and Authorization Management Program (AZRamp):

4.3.1.1. Submit with your solicitation package a completed Arizona Baseline Infrastructure Security Controls assessment spreadsheet as found at: https://aset.az.gov/sites/default/files/Arizona%20Baseline%20Security%20Controls%20Pre-Requisite%20.xls, and mitigate gaps or install compensating controls for any issues of concern identified by State.

4.3.1.2. Contractor is required to provide Information Security documentation for the AZRamp assessment to include System Security Plan (SSP), or Written Information Security Programs (WISP) and supporting documentation for review of the assessment.

4.3.1.3. Note: The State of Arizona seeks a partnership with our supporting vendors, therefore, Non-Disclosure Agreements (NDA) for release to review submitted SSP's and/or WISP 's will not be considered. Procedures for submission of documents considered Confidential/Proprietary are identified within this RFP. Special secure transfer of documents related to this AZRamp review process can be made by contacting: AsetAssurance@azdoa.gov to make special arrangements for the transfer of these documents.

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4.3.2. State reserves the right to conduct risk assessments, vulnerability assessments, black-box penetration tests or hire a third party to conduct risk assessments, vulnerability assessments, and black-box penetration tests of the Contractor's environment. Contractor will be alerted in advance and arrangements made for an agreeable time. Contractor shall respond to all serious flaws discovered by providing an acceptable timeframe to resolve the issue and/or implement a compensating control(s).

4.3.3. Contractor will submit copies of System logs from Contractor's environment to the State of AZ security team upon request to be added to the State SIEM (Security Information Event Monitor) or IDS (Intrusion Detection System).

4.3.4. The ideal vendor solution will be contained within a Federal Risk and Authorization Management Program (FedRAMP), government-rated, single tenant cloud compartment. This preferred architecture provides protection during storage, processing, and/or transmission of sensitive or regulated State data. Information about FedRAMP Authorized SaaS, PaaS or IaaS platforms can be located at: https://marketplace.fedramp.gov/#/products?sort=productName

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4.4.6. Arizona Executive Order 2008-10 – Mitigating Cyber Security Threats: https://aset.az.gov/executive-order-2008-10-mitigating-cyber-security-threats

4.4.7. State of Arizona statewide policies, standards and procedures: https://aset.az.gov/resources/policies-standards-and-procedures